

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. See "TAX MATTERS" herein with respect to tax consequences relating to the Bonds.

\$140,000,000**SOUTHWESTERN COMMUNITY COLLEGE DISTRICT****(San Diego County, California)****Election of 2016 General Obligation Bonds, Series A****Dated: Date of Delivery****Due: August 1, as shown on the inside cover**

This cover page contains information for quick reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used in this cover page and not otherwise defined shall have the meanings set forth herein.

The Southwestern Community College District (San Diego County, California) Election of 2016 General Obligation Bonds, Series A (the "Bonds") were authorized at an election of the registered voters of the Southwestern Community College District (the "District") held on November 8, 2016 at which the requisite 55% of the persons voting on the proposition voted to authorize the issuance and sale of \$400,000,000 principal amount of general obligation bonds of the District. The Bonds are being issued by the District to (i) finance the acquisition, construction, modernization and equipping of District sites and facilities and (ii) pay the costs of issuing the Bonds.

The Bonds are general obligations of the District, payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of San Diego County (the "County") is empowered and obligated to annually levy such *ad valorem* taxes for the payment of the principal of and interest on the Bonds upon all property within the District subject to taxation by the District, without limitation as to rate or amount (except for certain personal property which is taxable at limited rates).

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee of The Depository Trust Company, New York, New York (collectively referred to herein as "DTC"). Purchasers of the Bonds (the "Beneficial Owners") will not receive physical certificates representing their interests in the Bonds, but will receive credit balances on the books of their respective nominees.

The Bonds will be issued as current interest bonds, such that interest thereon will accrue from the date of delivery thereof and be payable semiannually on February 1 and August 1 of each year, commencing February 1, 2018. The Bonds are issuable as fully registered Bonds in denominations of \$5,000 principal amount or any integral multiple thereof.

Payments of principal of and interest on the Bonds will be made by the Treasurer-Tax Collector of the County as the designated paying agent, bond registrar and transfer agent (the "Paying Agent"), to DTC for subsequent disbursement to DTC Participants (defined herein) who will remit such payments to the Beneficial Owners of the Bonds.

The Bonds are subject to optional redemption and mandatory sinking fund redemption as further described herein.

MATURITY SCHEDULE
(see inside front cover)

The Bonds are offered when, as and if issued and received by the Underwriters subject to the approval as to their legality by Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel and Disclosure Counsel. Certain matters will be passed upon for the Underwriters by Kutak Rock LLP, Denver, Colorado. The Bonds, in book-entry form, will be available for delivery through the facilities of DTC in New York, New York on or about November 30, 2017.

PiperJaffray**Citigroup****Ramirez & Co., Inc.**

Dated: November 7, 2017

Maturity Schedule
Base CUSIP^(†): 845389

\$140,000,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2016 General Obligation Bonds, Series A

\$81,515,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield	CUSIP^(†) Suffix
2018	\$12,100,000	3.000%	0.990%	HE8
2019	13,350,000	4.000	1.080	HF5
2020	10,790,000	4.000	1.140	HG3
2023	160,000	3.000	1.480	HH1
2024	335,000	4.000	1.570	HJ7
2025	530,000	5.000	1.670	HK4
2026	740,000	5.000	1.740	HL2
2027	970,000	5.000	1.840	HM0
2028	1,220,000	5.000	1.960 ⁽¹⁾	HN8
2029	1,490,000	5.000	2.100 ⁽¹⁾	HP3
2030	1,780,000	5.000	2.230 ⁽¹⁾	HQ1
2031	2,095,000	4.000	2.620 ⁽¹⁾	HR9
2032	2,415,000	4.000	2.730 ⁽¹⁾	HS7
2033	2,755,000	4.000	2.780 ⁽¹⁾	HT5
2034	3,120,000	4.000	2.830 ⁽¹⁾	HU2
2035	3,510,000	3.000	3.100	HV0
2036	3,890,000	4.000	2.950 ⁽¹⁾	HW8
2037	4,330,000	4.000	2.990 ⁽¹⁾	HX6
2038	4,800,000	4.000	3.010 ⁽¹⁾	HY4
2039	5,300,000	4.000	3.040 ⁽¹⁾	HZ1
2040	5,835,000	3.125	3.260	JA4

\$13,300,000 - 4.000% Term Bonds due August 1, 2042 - Yield: 3.060%⁽¹⁾; CUSIP^(†) Suffix: JB2

\$45,185,000 - 4.000% Term Bonds due August 1, 2047 - Yield: 3.110%⁽¹⁾; CUSIP^(†) Suffix: JC0

⁽¹⁾ Yield to call at par on August 1, 2027.

^(†) CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services ("CGS"), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers have been assigned by an independent company not affiliated with the District, the municipal advisor, or the Underwriters and are included solely for the convenience of the registered owners of the applicable Bonds. None of the District, the municipal advisor, or the Underwriters is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

This Official Statement does not constitute an offering of any security other than the original offering of the Bonds of the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Sections 3(a)2 and 3(a)12, respectively, for the issuance and sale of such municipal securities. The Bonds are not registered under the securities laws of any state. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

Certain information set forth herein has been obtained from sources outside the District which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced in this Official Statement, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend,” and similar expressions identify “forward looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The Underwriters have provided the following sentence for inclusion in this Official Statement:

“The Underwriters have reviewed the information in this Official Statement pursuant to their responsibilities to investors under the federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.”

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS AT LEVELS ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE BONDS TO CERTAIN SECURITIES DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

The District maintains a website. However, the information presented on the District’s website is not incorporated into this Official Statement by any reference, and should not be relied upon in making investment decisions with respect to the Bonds.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

Governing Board

Tim Nader, *President, Seat 5*
Griselda A. Delgado, *Vice President, Seat 1*
Roberto Alcantar, *Member, Seat 3*
Norma L. Hernandez, *Member, Seat 4*
Nora E. Vargas, *Member, Seat 2*

District Administration

Dr. Kindred Murillo, *Superintendent/President*
Timothy Flood, *Vice President for Business and Financial Affairs*
Angelica Suarez, Ph.D., *Vice President for Student Affairs*
Renee Kilmer, *Interim Vice President for Academic Affairs*
Robert Unger, Esq., *Acting Vice President for Human Resources*

PROFESSIONAL SERVICES

Bond Counsel and Disclosure Counsel

Stradling Yocca Carlson & Rauth,
a Professional Corporation
San Francisco, California

Municipal Advisor

KNN Public Finance, LLC
Oakland, California

Paying Agent

San Diego County Treasurer-Tax Collector
San Diego, California

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\$140,000,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
Election of 2016 General Obligation Bonds, Series A

INTRODUCTION

This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale of the Southwestern Community College District (San Diego County, California) Election of 2016 General Obligation Bonds, Series A (the “Bonds”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement.

The District

The Southwestern Community College District (the “District”) was established in 1960 and provides higher education in San Diego County (the “County”). The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa. The District’s territory encompasses approximately 162 square miles. Southwestern College (the “College”) is fully accredited by the Accrediting Commission for Community and Junior Colleges (the “ACCJC”). For fiscal year 2017-18, the District has budgeted its full-time equivalent student (“FTES”) count at 15,594 students. Taxable property within the District has a fiscal year 2017-18 assessed valuation of \$53,469,167,268.

The governing board of the District is the Governing Board (the “Board”). The Board includes five voting members elected at-large by the voters of the District. Each member of the Board serves a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. The management and policies of the District are administered by a Superintendent/President appointed by the Board. Dr. Kindred Murillo currently serves as the District’s Superintendent/President.

For more information about the District generally, see “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT” herein. For more information regarding the District’s assessed valuation, see “TAX BASE FOR REPAYMENT OF BONDS” herein. The District’s audited financial statements for fiscal year ended June 30, 2016 are attached hereto as APPENDIX B and should be read in their entirety.

Purpose of Issue

The proceeds of the Bonds will be used to (i) finance the acquisition, construction, modernization and equipping of District sites and facilities and (ii) pay the costs of issuing the Bonds.

Authority for Issuance of the Bonds

The Bonds are issued pursuant to certain provisions of the State of California Government Code and other applicable law, and pursuant to a resolution adopted by the Board on October 10, 2017 (the “Resolution”). See “THE BONDS – Authority for Issuance” herein.

Security and Sources of Payment for the Bonds

The Bonds are general obligations of the District, payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to annually levy such *ad valorem* taxes for the payment of the principal of and interest on the Bonds upon all property within the District subject to taxation by the District, without limitation as to rate or amount (except for certain personal property which is taxable at limited rates). See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR REPAYMENT OF BONDS” herein.

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, without coupons, and will mature on August 1 in the years indicated on the inside cover page hereof. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased, but will instead receive credit balances on the books of their respective nominees. The Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository of the Bonds. See “THE BONDS – General Provisions” and “THE BONDS – Book-Entry Only System” herein. In the event that the book-entry only system described below is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolution. See “THE BONDS – Discontinuation of Book-Entry Only System; Payment to Beneficial Owners” herein.

So long as Cede & Co. is the registered Owner of the Bonds, as nominee of DTC, references herein to the “Owners” “Bond Owners” or “Holders” of the Bonds (other than under the captions “INTRODUCTION – Tax Matters” and “TAX MATTERS,” and in APPENDIX A) will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available in the denominations of \$5,000 principal amount or any integral multiple thereof.

Redemption. The Bonds maturing on or after August 1, 2028 are subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of funds, on August 1, 2027 or on any date thereafter, in whole or in part. The Bonds are further subject to mandatory sinking fund redemption as further described herein. See “THE BONDS – Redemption” herein.

Payments. The Bonds will be issued as current interest bonds, such that interest thereon will accrue from their initial date of delivery (the “Date of Delivery”), and be payable semiannually on each February 1 and August 1 (each, a “Bond Payment Date”), commencing February 1, 2018. Principal of the Bonds is payable on August 1 in the amounts and years set forth on the inside cover page hereof.

Payments of the principal of and interest on the Bonds will be made by the designated paying agent, bond registrar and transfer agent (the “Paying Agent”) to DTC for subsequent disbursement through DTC Participants (defined herein) to the Beneficial Owners of the Bonds. The Treasurer-Tax Collector of the County (the “Treasurer”) has been appointed Paying Agent for the Bonds. See “THE BONDS – Book-Entry Only System” herein.

Tax Matters

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“Bond Counsel”), based on existing statutes, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California (the “State”) personal income tax. See “TAX MATTERS” herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of DTC in New York, New York on or about November 30, 2017.

Bond Owner’s Risks

The Bonds are general obligations of the District payable solely from *ad valorem* taxes which may be levied without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates) on all property subject to taxation by the District, as further described herein. For more complete information regarding the District’s financial condition and taxation of property within the District, see “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT” and “TAX BASE FOR REPAYMENT OF BONDS” herein.

Continuing Disclosure

The District will covenant for the benefit of the Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events, in order to assist the Underwriters (as defined herein) in complying with the Securities and Exchange Commission Rule 15c2-12(b)(5) (the “Rule”). The specific nature of the information to be made available and of the notices of listed events required to be provided are summarized in “LEGAL MATTERS – Continuing Disclosure” herein and “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto.

Professionals Involved in the Offering

Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California is acting as Bond Counsel and Disclosure Counsel to the District and KNN Public Finance, LLC, Oakland, California, is acting as Municipal Advisor to the District, each with respect to the Bonds. Bond Counsel, Disclosure Counsel and the Municipal Advisor will receive compensation from the District contingent upon the sale and delivery of the Bonds. The Treasurer has been appointed as the Paying Agent with respect to the Bonds. Certain matters will be passed upon for the Underwriters by Kutak Rock LLP, Denver, Colorado.

Forward Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “intend” “expect,” “estimate,” “project,” “budget” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Copies of documents referred to herein and information concerning the Bonds are available from the Vice President for Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista, California 91910. The District may impose a charge for copying, mailing and handling.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each of such documents, statutes and constitutional provisions.

Certain of the information set forth herein, other than that provided by the District, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Capitalized terms used but not otherwise defined herein shall have the meanings assigned to such terms in the Resolution.

THE BONDS

Authority for Issuance

The Bonds are issued pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the “Act”), commencing with Section 53506 *et seq.*, as amended, Article XIII A of the California Constitution and the Resolution. The District received authorization at an election held on November 8, 2016 by the requisite 55% of the votes cast by eligible voters within the District to issue \$400,000,000 aggregate principal amount of general obligation bonds (the “2016 Authorization”). The Bonds are the first series of bonds issued under the 2016 Authorization, and following the issuance thereof, \$260,000,000 of the 2016 Authorization will remain unissued.

Security and Sources of Payment

The Bonds are general obligations of the District, payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to annually levy such *ad valorem* taxes for the payment of the principal of and interest on the Bonds upon all property within the District subject to taxation by the District, without limitation as to rate or amount (except for certain personal property which is taxable at limited rates).

Such *ad valorem* property taxes will be levied annually in addition to all other taxes during the period that the Bonds are outstanding in an amount sufficient to pay the principal of and interest thereon when due. The levy may include an allowance for an annual reserve, established for the purpose of avoiding fluctuating tax levies. However, the County is not obligated to establish or maintain such a reserve, and the District can make no representations that the County will do so. Such taxes, when collected, will be placed by the County in the Debt Service Fund (defined herein) established by the Resolution, which is required to be segregated and maintained by the County and which is designated for the payment of the Bonds and interest thereon when due, and for no other purpose. Pursuant to the Resolution, the District has pledged funds on deposit in the Debt Service Fund to the payment of the Bonds. Although the County is obligated to levy *ad valorem* property taxes for the payment of the Bonds as described above, and the County will maintain the Debt Service Fund, the Bonds are not a debt of the County.

The moneys in the Debt Service Fund, to the extent necessary to pay the principal of and interest on the Bonds, as the same becomes due and payable, will be transferred by the County to the Paying Agent. The Paying Agent will in turn remit the funds to DTC for remittance of such principal and interest to its Participants (as defined herein) for subsequent disbursement to the respective Beneficial Owners of such Bonds.

The rate of the annual *ad valorem* property taxes levied by the County to pay the Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Bonds in any year. Fluctuations in the annual debt service due on the Bonds and the assessed value of taxable property in the District may cause the annual tax rates to fluctuate. Economic and other factors beyond the District’s control, such as general market decline in real property values, disruption in financial markets that may reduce the availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of

the taxable property caused by a natural or manmade disaster, such as earthquake, drought, fire, toxic contamination or flooding could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the annual tax rates. For further information regarding the District's assessed valuation, tax rates, overlapping debt, and other matters concerning taxation, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" and "TAX BASE FOR REPAYMENT OF BONDS" herein.

Statutory Lien. Pursuant to State Government Code Section 53515, the Bonds will be secured by a statutory lien on all revenues received pursuant to the levy and collection of *ad valorem* property taxes for the payment thereof. The lien automatically attaches, without further action or authorization by the Board, and is valid and binding from the time the Bonds are executed and delivered. The revenues received pursuant to the levy and collection of the *ad valorem* property tax will be immediately subject to the lien, and such lien will be enforceable against the District, its successor, transferees and creditors, and all other parties asserting rights therein, irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

This statutory lien, by its terms, secures not only the Bonds, but also any other bonds of the District issued after January 2016 and payable, both principal and interest, from the proceeds of *ad valorem* taxes that may be levied pursuant to paragraphs (2) and (3) of subdivision (b) of Section 1 of Article XIII A of the State Constitution. The statutory lien provision does not specify the relative priority of obligations so secured or a method of allocation in the event that the revenues received pursuant to the levy and collection of the tax are insufficient to pay all amounts then due and owing that are secured by the statutory lien.

General Provisions

The Bonds will be issued in book-entry form only and will be initially issued and registered in the name of Cede & Co., as nominee for DTC. Purchasers will not receive physical certificates representing their interests in the Bonds, but will instead receive credit balances on the books of their respective nominees. See "THE BONDS – Book Entry Only System" herein.

The Bonds will be issued as current interest bonds, such that interest thereon will be payable semiannually on each Bond Payment Date, commencing February 1, 2018. Interest on the Bonds will be computed on the basis of a 360-day year of twelve, 30-day months. Each Bond will bear interest from the Bond Payment Date next preceding the date of authentication thereof unless it is authenticated as of a day during the period from the 16th day of the month immediately preceding any Bond Payment Date to and including such Bond Payment Date, in which event it will bear interest from such Bond Payment Date, or unless it is authenticated on or before January 15, 2018, in which event it will bear interest from the Date of Delivery. The Bonds are issuable in denominations of \$5,000 principal amount, or any integral multiple thereof, and mature on August 1 in the years and amounts set forth on the inside cover page hereof.

The principal of the Bonds will be payable in lawful money of the United States of America to the registered Owner thereof, upon the surrender thereof at the principal office of the Paying Agent. The interest on the Bonds will be payable in lawful money to the person whose name appears on the bond registration books of the Paying Agent as the registered Owner thereof as of the 15th day of the month preceding any Bond Payment Date (a "Record Date"), whether or not such day is a business day, such interest to be paid by wire transfer on such Bond Payment Date to such bank and account number as the registered Owner may have filed with the Paying Agent for that purpose.

Redemption

Optional Redemption. The Bonds maturing on or before August 1, 2027 are not subject to redemption. The Bonds maturing on or after August 1, 2028 are subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of available funds, in whole or in part, on any date on or after August 1, 2027, at a redemption price equal to the principal amount of the Bonds called for redemption, together with interest accrued thereon to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption. The Bonds maturing on August 1, 2042 (the “2042 Term Bonds”) are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2041, at a redemption price equal to the principal amount thereof as of the date fixed for redemption, together with interest accrued to the date set for such redemption, without premium. The principal amount of the 2042 Term Bonds to be so redeemed, the redemption dates therefor, and the final payment date are as indicated in the following table:

Redemption Date (August 1)	Principal Amount
2041	\$6,350,000
2042 ⁽¹⁾	6,950,000

⁽¹⁾ Maturity.

In the event that a portion of the 2042 Term Bonds is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments shown above shall be reduced proportionately, or as otherwise directed by the District, in integral multiples of \$5,000 of principal amount, in respect of the portion of such 2042 Term Bonds optionally redeemed.

The Bonds maturing on August 1, 2047 (the “2047 Term Bonds”) are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2043, at a redemption price equal to the principal amount thereof as of the date fixed for redemption, together with interest accrued to the date set for such redemption, without premium. The principal amount of the 2047 Term Bonds to be so redeemed, the redemption dates therefor, and the final payment date are as indicated in the following table:

Redemption Date (August 1)	Principal Amount
2043	\$7,590,000
2044	8,270,000
2045	8,995,000
2046	9,760,000
2047 ⁽¹⁾	10,570,000

⁽¹⁾ Maturity.

In the event that a portion of the 2047 Term Bonds is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments shown above shall be reduced proportionately, or as otherwise directed by the District, in integral multiples of \$5,000 of principal amount, in respect of the portion of such 2047 Term Bonds optionally redeemed.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds and less than all Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, shall select Bonds for redemption as directed by the District, and if not so directed, in inverse order of maturity. Within a maturity, the Paying Agent shall select Bonds for redemption as directed by the District, and if not so directed, by lot. Redemption by lot shall be in such manner as the Paying Agent shall determine; provided, however, that with respect to redemption by lot, the portion of any Bond to be redeemed in part shall be in a principal amount of \$5,000, or any integral multiple thereof.

Redemption Notice. When optional redemption is authorized or required pursuant to the Resolution, the Paying Agent, upon written instruction from the District, will give notice (a “Redemption Notice”) of the redemption of the Bonds. Each Redemption Notice will specify (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part.

The Paying Agent will take the following actions with respect to each such Redemption Notice: (a) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given to the respective Owners of Bonds designated for redemption by registered or certified mail, postage prepaid, at their addresses appearing on the bond register; (b) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by registered or certified mail, postage prepaid, telephonically confirmed facsimile transmission, or overnight delivery service, to the Securities Depository; (c) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by registered or certified mail, postage prepaid, or overnight delivery service, to one of the Information Services; and (d) the Redemption Notice will be given to such other persons as may be required pursuant to the Continuing Disclosure Certificate.

“Information Services” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System; or, such other services providing information with respect to called municipal obligations as the District may specify in writing to the Paying Agent or, in the absence of such specification, as the Paying Agent may select.

“Securities Depository” means The Depository Trust Company, 55 Water Street, New York, New York 10041.

A certificate of the Paying Agent or the District that a Redemption Notice has been given as provided in the Resolution will be conclusive as against all parties. Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given will affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds will bear or include the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Payment of Redeemed Bonds. When a Redemption Notice has been given substantially as described above, and, when the amount necessary for the redemption of the Bonds called for redemption (principal, interest and premium, if any) is irrevocably set aside in trust for that purpose, as described in “—Defeasance” herein, the Bonds designated for redemption in such notice will become due and payable on the date fixed for redemption thereof and upon presentation and surrender of said Bonds at the place

specified in the Redemption Notice, said Bonds will be redeemed and paid at the redemption price out of such funds. All unpaid interest payable at or prior to the redemption date will continue to be payable to the respective Owners, but without interest thereon.

Partial Redemption of Bonds. Upon the surrender of any Bond redeemed in part only, the Paying Agent will authenticate and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denominations equal in principal amount to the unredeemed portion of the Bond surrendered. Such partial redemption is valid upon payment of the amount required to be paid to such Owner, and the County and the District will be released and discharged thereupon from all liability to the extent of such payment.

Effect of Redemption Notice. If on the applicable designated redemption date, money for the redemption of the Bonds to be redeemed, together with interest to such redemption date, is held by an independent escrow agent selected by the District so as to be available therefor on such redemption date as described in “—Defeasance,” and if a Redemption Notice thereof will have been given substantially as described above, then from and after such redemption date, interest on the Bonds to be redeemed shall cease to accrue and become payable.

Rescission of Redemption Notice. With respect to any Redemption Notice in connection with the optional redemption of Bonds (or portions thereof) as described above, unless upon the giving of such notice such Bonds or portions thereof shall be deemed to have been defeased as described in “—Defeasance” herein, such Redemption Notice will state that such redemption will be conditional upon the receipt by an independent escrow agent selected by the District, on or prior to the date fixed for such redemption, of the moneys necessary and sufficient to pay the principal of, premium, if any, and interest on, such Bonds (or portions thereof) to be redeemed, and that if such moneys shall not have been so received said Redemption Notice will be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will within a reasonable time thereafter (but in no event later than the date originally set for redemption) give notice to the persons to whom and in the manner in which the Redemption Notice was given that such moneys were not so received. In addition, the District will have the right to rescind any Redemption Notice, by written notice to the Paying Agent, on or prior to the date fixed for such redemption. The Paying Agent will distribute a notice of the rescission of such Redemption Notice in the same manner as such notice was originally provided.

Bonds No Longer Outstanding. When any Bonds (or portions thereof), which have been duly called for redemption prior to maturity, or with respect to which irrevocable instructions to call for redemption prior to maturity at the earliest redemption date have been given to the Paying Agent, in form satisfactory to it, and sufficient moneys shall be held irrevocably in trust for the payment of the redemption price of such Bonds or portions thereof, and, accrued interest thereon to the date fixed for redemption, then such Bonds will no longer be deemed outstanding and shall be surrendered to the Paying Agent for cancellation.

Book-Entry Only System

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants (as defined herein) will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Participants are on file with DTC.

The DTC, New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC is rated "AA+" by Standard & Poor's. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. However, the information presented on such website is not incorporated herein by any reference to such website.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on

behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds and distribution on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds and distribution to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered.

Discontinuation of Book-Entry Only System; Payment to Beneficial Owners

So long as any of the Bonds remain outstanding, the District will cause the Paying Agent to maintain and keep at its designated corporate trust office all books and records necessary for the registration, exchange and transfer of the Bonds as provided in the Resolution (the "Bond Register"). Subject to the provisions of the Resolution, the person in whose name a Bond is registered on the Bond Register will be regarded as the absolute owner of that Bond for all purposes of the Resolution. Payment of or on account of the principal of and interest and premium, if any, on any Bond will be made only to or upon the order of that person; neither the District, nor the Paying Agent will be affected by any notice to the contrary, but the registration may be changed as provided in the Resolution. All such payments will be valid and effectual to satisfy and discharge the District's liability upon the Bonds, including interest, to the extent of the amount or amounts so paid.

In the event that the book-entry system described above is no longer used with respect to the Bonds, the following provisions will govern the payment, registration, transfer, exchange and replacement of the Bonds.

The principal of the Bonds and any premium and interest upon the redemption thereof prior to the maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the designated office of the Paying Agent. Interest on the Bonds will be paid by the Paying Agent by either (i) check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered Owner, and to that person's address appearing on the registration books as of the close of business on the Record Date, or (ii) by wire transfer to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for Bonds of like series, tenor, maturity and principal amount upon presentation and surrender at the principal office of the Paying Agent, together with a request for exchange signed by the registered Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred only on the Bond Register by the person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such Bond for cancellation at the office of the Paying Agent, accompanied by delivery of a written instrument of transfer in a form approved by the Paying Agent, duly executed. Upon exchange or transfer, the Paying Agent shall register, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations requested by the Owner equal to the principal amount of the Bond surrendered and bearing or accruing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required to (a) issue or transfer any Bonds during a period beginning with the opening of business on the 16th day next preceding either any Bond Payment Date, or any date of selection of Bonds to be redeemed and ending with the close of business on the Bond Payment Date or any day on which the applicable Redemption Notice is given or (b) transfer any Bonds which have been selected or called for redemption in whole or in part.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased at any time prior to maturity in the following ways:

(a) Cash: by irrevocably depositing with an independent escrow agent selected by the District an amount of cash which, together with any amounts transferred from the Debt Service Fund, is sufficient to pay all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon and redemption premiums, if any) at or before their maturity date; or

(b) Government Obligations: by irrevocably depositing with an independent escrow agent selected by the District noncallable Government Obligations, together with any amounts transferred from the Debt Service Fund and any other cash, if required, in such amount as will, together with interest to accrue thereon, in the opinion of an independent certified public accountant, be fully sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon and redemption premiums, if any) at or before their maturity date;

then, notwithstanding that any of such Bonds shall not have been surrendered for payment, all obligations of the District with respect to all such designated outstanding Bonds shall cease and terminate, except only the obligation of an independent escrow agent selected by the District to pay or cause to be paid from funds deposited pursuant to paragraphs (a) or (b) of this Section, to the Owners of such designated Bonds not so surrendered and paid, all sums due with respect thereto.

“Government Obligations” means direct and general obligations of the United States of America, obligations that are unconditionally guaranteed as to principal and interest by the United States of America (which may consist of obligations of the Resolution Funding Corporation that constitute interest strips), or obligations the payment of principal of and interest on which is secured, guaranteed or otherwise backed by, directly or indirectly, a pledge of the full faith and credit of the United States of America. In the case of direct and general obligations of the United States of America, Government Obligations shall include evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations. Investments in such proportionate interests must be limited to circumstances where (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; provided that such obligations are rated or assessed at least as high as direct and general obligations of the United States of America by either S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”) or Moody’s Investors Service (“Moody’s”).

Application and Investment of Bond Proceeds

Building Fund. The net proceeds of the sale from the Bonds will be deposited by the County to the credit of the fund created by the Resolution and known as the “Southwestern Community College District, Election of 2016 General Obligation Bonds, Series A Building Fund” (the “Building Fund”), and will be applied solely for the purposes approved by the voters of the District pursuant to the 2016 Authorization. Interest earnings in the Building Fund will be retained therein. Any excess proceeds of the Bonds not needed for authorized purposes for which the Bonds are being issued will be transferred to

the Debt Service Fund (as defined herein) and applied to the payment of principal of and interest on the Bonds. The County will have no responsibility for assuring the proper use of the proceeds of the Bonds.

Debt Service Fund. The *ad valorem* property taxes levied by the County for the payment of the Bonds, when collected, are required to be held separate and apart by the County in a fund created by the Resolution and known as the “Southwestern Community College District, Election of 2016 General Obligation Bonds, Series A Debt Service Fund” (the “Debt Service Fund”), and used only for payment of principal of and interest on the Bonds. Accrued interest and any premium received upon the sale of the Bonds will be deposited into the Debt Service Fund. Any interest earnings on moneys held in the Debt Service Fund will be retained therein. If, after all of the Bonds have been redeemed or paid and otherwise cancelled, there are moneys remaining in the Debt Service Fund, said moneys will be transferred to the general fund of the District as provided and permitted by law.

Moneys in the Debt Service Fund and the Building Fund will be invested through the County’s pooled investment fund. See “APPENDIX E - SAN DIEGO COUNTY INVESTMENT POOL” herein.

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Bonds are expected to be as follows:

Sources of Funds

Principal Amount of the Bonds	\$140,000,000.00
Net Original Issue Premium	<u>10,216,376.95</u>
Total Sources	<u>\$150,216,376.95</u>

Uses of Funds

Building Fund	\$139,266,675.00
Debt Service Fund	10,216,376.95
Costs of Issuance ⁽¹⁾	418,325.00
Underwriting Discount	<u>315,000.00</u>
Total Uses	<u>\$150,216,376.95</u>

⁽¹⁾ Reflects all costs of issuance of the Bonds, including, but not limited to, legal and municipal advisor fees, printing costs, rating agencies fees, and the costs and fees of the Paying Agent.

DEBT SERVICE SCHEDULE

The following table shows the debt service schedule with respect to the Bonds (assuming no optional redemptions are made):

<u>Year Ending (August 1)</u>	<u>Annual Principal Payment</u>	<u>Annual Interest Payment⁽¹⁾</u>	<u>Total Annual Debt Service</u>
2018	\$12,100,000.00	\$3,654,191.79	\$15,754,191.79
2019	13,350,000.00	5,095,543.76	18,445,543.76
2020	10,790,000.00	4,561,543.76	15,351,543.76
2021	--	4,129,943.76	4,129,943.76
2022	--	4,129,943.76	4,129,943.76
2023	160,000.00	4,129,943.76	4,289,943.76
2024	335,000.00	4,125,143.76	4,460,143.76
2025	530,000.00	4,111,743.76	4,641,743.76
2026	740,000.00	4,085,243.76	4,825,243.76
2027	970,000.00	4,048,243.76	5,018,243.76
2028	1,220,000.00	3,999,743.76	5,219,743.76
2029	1,490,000.00	3,938,743.76	5,428,743.76
2030	1,780,000.00	3,864,243.76	5,644,243.76
2031	2,095,000.00	3,775,243.76	5,870,243.76
2032	2,415,000.00	3,691,443.76	6,106,443.76
2033	2,755,000.00	3,594,843.76	6,349,843.76
2034	3,120,000.00	3,484,643.76	6,604,643.76
2035	3,510,000.00	3,359,843.76	6,869,843.76
2036	3,890,000.00	3,254,543.76	7,144,543.76
2037	4,330,000.00	3,098,943.76	7,428,943.76
2038	4,800,000.00	2,925,743.76	7,725,743.76
2039	5,300,000.00	2,733,743.76	8,033,743.76
2040	5,835,000.00	2,521,743.76	8,356,743.76
2041	6,350,000.00	2,339,400.00	8,689,400.00
2042	6,950,000.00	2,085,400.00	9,035,400.00
2043	7,590,000.00	1,807,400.00	9,397,400.00
2044	8,270,000.00	1,503,800.00	9,773,800.00
2045	8,995,000.00	1,173,000.00	10,168,000.00
2046	9,760,000.00	813,200.00	10,573,200.00
2047	<u>10,570,000.00</u>	<u>422,800.00</u>	<u>10,992,800.00</u>
	\$140,000,000.00	\$96,459,954.51	\$236,459,954.51

⁽¹⁾ Interest payments on the Bonds will be made semiannually on February 1 and August 1 of each year, commencing February 1, 2018.

See “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – District Debt Structure – General Obligation Bonds” herein for a schedule of the combined debt service requirements for all of the District’s outstanding general obligation bonds.

TAX BASE FOR REPAYMENT OF BONDS

The information in this section describes ad valorem property taxation, assessed valuation, and other measures of the tax base of the District. The Bonds are payable solely from ad valorem property taxes levied and collected by the County on taxable property in the District. The District's general fund is not a source for the repayment of the Bonds.

Ad Valorem Property Taxation

District property taxes are assessed and collected by the County at the same time and on the same tax rolls as county, city and special district taxes. Assessed valuations are the same for both District and County taxing purposes.

Taxes are levied for each fiscal year on taxable real and personal property which is located in the District as of the preceding January 1. For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the "unsecured roll." A supplemental roll is developed when property changes hands or new construction is completed. The County levies and collects all property taxes for property falling within the County's taxing boundaries.

The valuation of secured property is established as of January 1 and is subsequently enrolled in August. Property taxes on the secured roll are payable in two installments, due November 1 and February 1 of the calendar year. If unpaid, such taxes become delinquent on December 10 and April 10, respectively, and a 10% penalty attaches to any delinquent installment plus any additional amount determined by the Treasurer. After the second installment of taxes on the secured roll is delinquent, the tax collector shall collect a cost of \$10 for preparing the delinquent tax records and giving notice of delinquency. Property on the secured roll with delinquent taxes is declared tax-defaulted on July 1 of the calendar year. Such property may thereafter be redeemed, until the right of redemption is terminated, by payment of the delinquent taxes and the delinquency penalty, plus a \$15 redemption fee and a redemption penalty of 1.5% per month to the time of redemption. If taxes are unpaid for a period of five years or more, the property is subject to sale by the Treasurer.

Property taxes on the unsecured roll as of July 31 become delinquent if they are not paid by August 31 and are thereafter subject to a delinquent penalty of 10%. Taxes added to the unsecured tax roll after July 31, if unpaid, are delinquent and subject to a penalty of 10% on the last day of the month succeeding the month of enrollment. In the case of unsecured property taxes, an additional penalty of 1.5% per month begins to accrue when such taxes remain unpaid on the last day of the second month after the 10% penalty attaches. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the assessee; (2) filing a certificate in the office of the county clerk specifying certain facts in order to obtain a judgment lien on specific property of the assessee; (3) filing a certificate of delinquency for record in the county recorder's office in order to obtain a lien on specified property of the assessee; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee.

State law exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling, but this exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

All property is assessed using full cash value as defined by Article XIII A of the State Constitution. State law provides exemptions from *ad valorem* property taxation for certain classes of property such as churches, colleges, non-profit hospitals, and charitable institutions.

Assessed valuation growth allowed under Article XIII A (new construction, certain changes of ownership, 2% inflation) is allocated on the basis of “situs” among the jurisdictions that serve the tax rate area within which the growth occurs. Local agencies, including K-14 school districts (as defined herein) will share the growth of “base” revenues from the tax rate area. Each year’s growth allocation becomes part of each agency’s allocation in the following year.

Assessed Valuations

The following table shows the assessed valuations for the District for fiscal years 2008-09 through 2017-18.

ASSESSED VALUATIONS Fiscal Years 2008-09 through 2017-18 Southwestern Community College District

	<u>Local Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>
2008-09	\$44,178,161,739	\$245,294,818	\$1,108,233,556	\$45,531,690,113
2009-10	40,785,236,492	398,564,818	1,223,753,369	42,407,554,679
2010-11	39,736,841,347	509,107,818	1,201,102,721	41,447,051,886
2011-12	39,648,105,275	474,035,562	1,272,070,224	41,394,211,061
2012-13	39,801,598,579	413,594,818	1,194,140,333	41,409,333,730
2013-14	40,974,327,733	387,523,100	1,224,643,351	42,586,494,184
2014-15	43,435,579,006	330,083,100	1,209,974,897	44,975,637,003
2015-16	45,820,510,403	399,962,367	1,223,606,574	47,444,079,344
2016-17	48,030,365,997	--	1,211,484,370	49,241,850,367
2017-18	51,550,718,593	663,287,367	1,255,161,308	53,469,167,268

Source: California Municipal Statistics, Inc.

Economic and other factors beyond the District’s control, such as a general market decline in real property values, disruption in financial markets that may reduce availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, drought, fire, toxic contamination, or flooding could cause a reduction in the assessed value of taxable property within the District. Any such reduction would result in a corresponding increase in the annual tax rate levied by the County to pay the debt service with respect to the Bonds. See “THE BONDS – Security and Sources of Payment” herein.

Appeals and Adjustments of Assessed Valuation

Under State law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization (the “SBE”), with the appropriate county board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters such as earthquakes, floods, fire, drought or toxic contamination pursuant to relevant provisions of the State Constitution.

Whether resulting from taxpayer appeals or county assessor reductions, adjustments to assessed value are subject to yearly reappraisals by the county assessor and may be adjusted back to their original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under Article XIII A. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS — Article XIII A of the California Constitution” herein.

The District does not have information regarding pending appeals of assessed valuation of property within the District. No assurance can be given that property tax appeals currently pending or in the future, or actions by county assessors, will not significantly reduce the assessed valuation of property within the District.

Assembly Bill 102. On June 27, 2017, the Governor signed into law Assembly Bill 102 (“AB 102”). AB 102 restructures the functions of the SBE and creates two new agencies: (i) the California Department of Tax and Fee Administration, and (ii) the Office of Tax Appeals. Under AB 102, the California Department of Tax and Fee Administration will take over programs previously in the SBE Property Tax Department, such as the Tax Area Services Section, which is responsible for maintaining all property tax-rate area maps and for maintaining special revenue district boundaries. Under AB 102, the SBE will continue to perform the duties assigned by the State Constitution related to property taxes, however, beginning January 1, 2018, the SBE will only hear appeals related to the programs that it constitutionally administers and the Office of Tax Appeals will hear appeals on all other taxes and fee matters, such as sales and use tax and other special taxes and fees. AB 102 obligates the Office of Tax Appeals to adopt regulations as necessary to carry out its duties, powers, and responsibilities. No assurances can be given as to the effect of such regulations on the appeals process or on the assessed valuation of property within the District.

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Assessed Valuation of Single Family Homes

The following table shows the distribution of single family homes within the District among various fiscal year 2017-18 assessed valuation ranges, as well as the average and median assessed valuation of single family homes within the District.

ASSESSED VALUATION OF SINGLE FAMILY HOMES Fiscal Year 2017-18 Southwestern Community College District

	No. of <u>Parcels</u>	2017-18 <u>Assessed Valuation</u>	Average <u>Assessed Valuation</u>	Median <u>Assessed Valuation</u>
Single Family Residential	71,541	\$27,519,679,121	\$384,670	\$344,784

2017-18 <u>Assessed Valuation</u>	No. of <u>Parcels</u> ⁽¹⁾	% of <u>Total</u>	Cumulative <u>% of Total</u>	Total <u>Valuation</u>	% of <u>Total</u>	Cumulative <u>% of Total</u>
\$0 - \$49,999	1,093	1.528%	1.528%	\$45,498,442	0.165%	0.165%
50,000 - 99,999	6,899	9.643	11.171	494,308,332	1.796	1.962
100,000 - 149,999	4,580	6.402	17.573	575,774,177	2.092	4.054
150,000 - 199,999	5,385	7.527	25.100	949,366,572	3.450	7.504
200,000 - 249,999	6,041	8.444	33.544	1,361,175,470	4.946	12.450
250,000 - 299,999	6,001	8.388	41.933	1,650,281,702	5.997	18.446
300,000 - 349,999	6,414	8.965	50.898	2,087,244,018	7.585	26.031
350,000 - 399,999	7,291	10.191	61.089	2,733,557,771	9.933	35.964
400,000 - 449,999	6,822	9.536	70.625	2,888,128,909	10.495	46.459
450,000 - 499,999	5,397	7.544	78.169	2,552,493,925	9.275	55.734
500,000 - 549,999	4,164	5.820	83.990	2,171,845,613	7.892	63.626
550,000 - 599,999	3,003	4.198	88.187	1,719,838,149	6.249	69.875
600,000 - 649,999	2,372	3.316	91.503	1,472,299,351	5.350	75.225
650,000 - 699,999	1,375	1.922	93.425	920,904,530	3.346	78.572
700,000 - 749,999	926	1.294	94.719	667,737,034	2.426	80.998
750,000 - 799,999	617	0.862	95.582	474,448,027	1.724	82.722
800,000 - 849,999	416	0.581	96.163	340,906,718	1.239	83.961
850,000 - 899,999	320	0.447	96.610	278,907,213	1.013	84.975
900,000 - 949,999	267	0.373	96.984	245,890,550	0.894	85.868
950,000 - 999,999	221	0.309	97.292	214,482,796	0.779	86.647
1,000,000 and greater	<u>1,937</u>	<u>2.708</u>	100.000	<u>3,674,589,822</u>	<u>13.353</u>	100.000
Total	71,541	100.000%		\$27,519,679,121	100.000%	

⁽¹⁾ Improved single family residential parcels and condominiums. Excludes parcels with multiple family units.

Source: California Municipal Statistics, Inc.

Assessed Valuation and Parcels by Land Use

The following table shows the distribution of taxable property within the District by principal use, as measured by assessed valuation and parcels in fiscal year 2017-18.

ASSESSED VALUATION AND PARCELS BY LAND USE Fiscal Year 2017-18 Southwestern Community College District

	2017-18 <u>Assessed Valuation</u> ⁽¹⁾	% of <u>Total</u>	No. of <u>Parcels</u>	% of <u>Total</u>
<u>Non-Residential:</u>				
Rural/Undeveloped	\$233,688,377	0.45%	491	0.43%
Commercial	6,467,613,806	12.55	2,814	2.46
Vacant Commercial	195,852,709	0.38	469	0.41
Industrial	3,151,079,007	6.11	1,369	1.20
Vacant Industrial	458,957,249	0.89	615	0.54
Recreational	106,040,001	0.21	94	0.08
Government/Social/Institutional	<u>30,613,271</u>	<u>0.06</u>	<u>215</u>	<u>0.19</u>
Subtotal Non-Residential	\$10,643,844,420	20.65%	6,067	5.31%
<u>Residential:</u>				
Single Family Residence	\$27,519,679,121	53.38%	71,541	62.66%
Condominium/Townhouse	7,560,961,064	14.67	23,585	20.66
Mobile Home	129,100,338	0.25	2,001	1.75
Mobile Home Park	201,542,601	0.39	93	0.08
Timeshare Parcels	22,795,845	0.04	3,296	2.89
2-4 Residential Units	1,474,994,824	2.86	4,703	4.12
5+ Residential Units/Apartments	3,682,983,827	7.14	1,301	1.14
Miscellaneous Residential	7,074,539	0.01	69	0.06
Vacant Residential	<u>307,742,014</u>	<u>0.60</u>	<u>1,515</u>	<u>1.33</u>
Subtotal Residential	\$40,906,874,173	79.35%	108,104	94.69%
Total	\$51,550,718,593	100.00%	114,171	100.00%

⁽¹⁾ Local secured assessed valuation; excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

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Assessed Valuation by Jurisdiction

The following table shows an analysis of the distribution of taxable property in the District by jurisdiction, in terms of its fiscal year 2017-18 assessed valuation.

ASSESSED VALUATION BY JURISDICTION Fiscal Year 2017-18 Southwestern Community College District

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Chula Vista	\$27,351,591,591	51.15%	\$27,351,591,591	100.00%
City of Coronado	8,655,153,726	16.19	8,655,153,726	100.00
City of Imperial Beach	1,969,738,375	3.68	1,969,738,375	100.00
City of National City	3,880,209,826	7.26	3,884,138,658	99.90
City of San Diego	8,682,759,350	16.24	235,048,440,886	3.69
Unincorporated San Diego County	<u>2,929,714,400</u>	<u>5.48</u>	70,140,252,247	4.18
Total District	\$53,469,167,268	100.00%		
San Diego County	\$53,469,167,268	100.00%	\$495,955,509,848	10.78%

Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment - Teeter Plan

The Board of Supervisors of the County has approved the implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"), as provided for in Section 4701 *et seq.* of the California Revenue and Taxation Code. Under the Teeter Plan, the County apportions the unpaid secured property taxes as of June 30 of the current fiscal year (irrespective of actual collections) to its local political subdivisions, including the District, for which the County acts as the tax-levying or tax-collecting agency.

The Teeter Plan is applicable to all tax levies for which the County acts as the tax-levying or tax-collecting agency, or for which the County treasury is the legal depository of the tax collections. As adopted by the County, the Teeter Plan excludes Mello-Roos Community Facilities Districts and special assessment districts which provide for accelerated judicial foreclosure of property for which assessments are delinquent.

The *ad valorem* property tax to be levied to pay the interest on and principal of the Bonds will be subject to the Teeter Plan, beginning in the first year of such levy. The District will receive 100% of the current year's *ad valorem* property tax levied to pay the Bonds irrespective of actual delinquencies in the collection of the tax by the County.

The Teeter Plan is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors receives a petition for its discontinuance joined in by a resolution adopted by at least two-thirds of the participating revenue districts in the County. In the event the Board of Supervisors is to order discontinuance of the Teeter Plan subsequent to its implementation, only those secured property taxes actually collected would be allocated to political subdivisions (including the District) for which the County acts as the tax-levying or tax-collecting agency.

Tax delinquency data for the prior fiscal years is not available.

Largest Property Owners

The more property (by assessed value) which is owned by a single taxpayer within the District, the greater amount of tax collections that are exposed to weaknesses in such a taxpayer's financial situation and ability or willingness to pay property taxes. The following table lists the 20 largest local secured taxpayers in the District in terms of their fiscal year 2017-18 secured assessed valuations. Each taxpayer listed below is a name listed on the tax rolls. The District cannot make any representation as to whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below.

LARGEST LOCAL SECURED TAXPAYERS Fiscal Year 2017-18 Southwestern Community College District

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2017-18 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1.	BSK Del Partners LLC	Hotel	\$693,666,300	1.35%
2.	Chelsea San Diego Finance LLC	Shopping Center	226,040,946	0.44
3.	Rohr Inc.	Industrial	217,691,002	0.42
4.	Kreutzkamp Separate Property Trust	Apartments	178,066,654	0.35
5.	PR III / Broadstone Coronado LLC	Apartments	170,583,627	0.33
6.	One Park Apartments LP	Apartments	157,290,438	0.31
7.	John Hancock Life Insurance Co. USA	Apartments	146,864,856	0.28
8.	Centermark Properties Inc.	Shopping Center	142,995,831	0.28
9.	GGP-Otay Ranch LP	Shopping Center	125,287,700	0.24
10.	Corrections Corporation of America	Correctional Facilities	123,162,238	0.24
11.	Plaza Bonita LLC	Shopping Center	118,797,989	0.23
12.	Conrad Prebys Trust	Apartments	115,832,144	0.22
13.	Regulo Place Apartments Investors LLC	Apartments	113,373,179	0.22
14.	Homefed Otay Land II LLC	Residential Facilities	105,210,960	0.20
15.	Brisa Acquisitions LLC	Industrial	102,206,221	0.20
16.	Vista Pacific Villas LP	Apartments	95,210,381	0.18
17.	N M Pulse LLC	Apartments	95,114,480	0.18
18.	Host Hotels & Resorts LP	Hotel	92,055,890	0.18
19.	Wal-Mart Real Estate Business Trust	Commercial	91,630,715	0.18
20.	51 st St. & 8 th Avenue Corporation	Hotel	86,950,000	0.17
			<u>\$3,198,031,551</u>	<u>6.20%</u>

⁽¹⁾ The fiscal year 2017-18 local secured assessed valuation of the District is \$51,550,718,593.

Source: California Municipal Statistics, Inc.

Tax Rates

A representative tax rate area (“TRA”) located within the District is TRA 1-000. The table below demonstrates the total *ad valorem* property tax rates levied by all taxing entities in the TRA, as a percentage of assessed valuation, during the five-year period from fiscal years 2013-14 through 2017-18.

TYPICAL TAX RATE (TRA 1-000)⁽¹⁾
Fiscal Years 2013-14 through 2017-18
Southwestern Community College District

	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>
General	1.00000%	1.00000%	1.00000%	1.00000%	1.00000%
Chula Vista School District	.02259	.02006	.01898	.01781	.01686
Chula Vista School District SFID 2012-1	.02372	.02747	.02403	.02542	.01908
Sweetwater Union High School District	.05823	.05407	.05169	.05162	.05156
Southwestern Community College District	.03675	.03582	.03961	.03856	.04981
Metropolitan Water District	<u>.00350</u>	<u>.00350</u>	<u>.00350</u>	<u>.00350</u>	<u>.00350</u>
Total	1.14479%	1.14092%	1.13781%	1.13691%	1.14081%

⁽¹⁾ The fiscal year 2017-18 assessed valuation of TRA 1-000 is \$2,533,782,929.

Source: California Municipal Statistics, Inc.

Statement of Direct and Overlapping Debt

Set forth on the following page is a direct and overlapping debt report (the “Debt Report”) prepared by California Municipal Statistics, Inc. effective as of October 1, 2017, for debt issued as of September 15, 2017. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The following table shows the percentage of each overlapping entity’s assessed value located within the boundaries of the District. The table also shows the corresponding portion of the overlapping entity’s existing debt payable from property taxes levied within the District. The total amount of debt for each overlapping entity is not given in the table.

The first column in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. The second column shows the percentage of each overlapping agency’s assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in the third column, which is the apportionment of each overlapping agency’s outstanding debt to taxable property in the District.

STATEMENT OF DIRECT AND OVERLAPPING BONDED DEBT
Southwestern Community College District

2017-18 Assessed Valuation: \$53,469,167,268

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 10/1/17</u>
Metropolitan Water District	1.557%	\$1,166,520
Southwestern Community College District	100.000	314,043,676⁽¹⁾
Coronado Unified School District	100.000	8,520,000
Sweetwater Union High School District	99.991	384,920,444
Chula Vista School District	100.000	44,495,000
Chula Vista School District School Facilities Improvement District No. 2012-1	100.000	81,375,000
National School District	99.892	25,727,185
San Ysidro School District	100.000	124,119,286
South Bay Union School District	100.000	47,636,409
City of National City	99.899	3,631,329
Otay Municipal Water District, I.D. No 27	100.000	3,390,000
City of Chula Vista Community Facilities Districts	100.000	127,910,000
School District Community Facilities Districts	100.000	86,034,536
City 1915 Act Bonds	100.000	8,475,000
California Statewide Communities Development Authority 1915 Act Bonds	100.000	9,384,263
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$1,270,828,648

<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
San Diego County General Fund Obligations	10.781%	\$30,808,325
San Diego County Pension Obligation Bonds	10.781	60,214,580
San Diego County Superintendent of Schools Obligations	10.781	1,235,503
Southwestern Community College District General Fund Obligations	100.000	795,000
Sweetwater Union High School District Certificates of Participation	99.991	42,071,213
Coronado Unified School District Certificates of Participation	100.000	7,850,000
Chula Vista City School District Certificates of Participation	100.000	149,905,000
San Ysidro School District Certificates of Participation	100.000	54,234,715
City of Chula Vista General Fund Obligations	100.000	165,650,000
City of National City General Fund Obligations	99.899	489,505
City of San Diego General Fund Obligations	3.694	20,961,972
San Miguel Consolidated Fire Protection District Certificates of Participation	0.290	17,148
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$534,232,961

OVERLAPPING TAX INCREMENT DEBT (Successor Agency): \$234,507,692

COMBINED TOTAL DEBT \$2,039,569,301⁽²⁾

Ratios to 2017-18 Assessed Valuation:

Direct Debt (\$314,043,676)..... 0.59%
Total Direct and Overlapping Tax and Assessment Debt..... 2.38%
Combined Direct Debt (\$314,838,676) 0.59%
Combined Total Debt 3.81%

Ratio to Redevelopment Incremental Valuation (\$5,238,558,524):

Total Overlapping Tax Increment Debt..... 4.48%

⁽¹⁾ Excludes the Bonds.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and tax allocation bonds and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

The principal of and interest on the Bonds are payable from the proceeds of an ad valorem property tax levied by the County on the taxable property in the District for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein. Articles XIII A, XIII B, XIII C and XIII D of the Constitution, Propositions 98 and 111, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the County to levy taxes on behalf of the District and the District to spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such information that these laws impose any limitation on the ability of the County to levy taxes for payment of the Bonds. The tax levied by the County for payment of the principal of and interest on the Bonds was approved by the voters of the District in compliance with Article XIII A, Article XIII C, and all applicable laws.

Article XIII A of the California Constitution

Article XIII A (“Article XIII A”) of the State Constitution limits the amount of *ad valorem* taxes on real property to 1% of “full cash value” as determined by the county assessor of each county. Article XIII A defines “full cash value” to mean “the county assessor’s valuation of real property as shown on the fiscal year 1975-76 bill under ‘full cash value,’ or thereafter, the appraised value of real property when purchased, newly constructed or a change in ownership has occurred after the 1975 assessment,” subject to exemptions in certain circumstances of property transfer or reconstruction. Determined in this manner, the full cash value is also referred to as the “base year value.” The full cash value is subject to annual adjustment to reflect increases, not to exceed 2% for any year, or decreases in the consumer price index or comparable local data, or to reflect reductions in property value caused by damage, destruction or other factors.

Article XIII A has been amended to allow for temporary reductions of assessed value in instances where the fair market value of real property falls below the adjusted base year value described above. Proposition 8—approved by State voters in November of 1978—provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the adjusted base year value. Reductions in assessed value could result in a corresponding increase in the annual tax rates levied by the County to pay debt service on the Bonds. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR REPAYMENT OF BONDS – Assessed Valuations” herein.

Article XIII A requires a vote of two-thirds or more of the qualified electorate of a city, county, special district or other public agency to impose special taxes, while totally precluding the imposition of any additional *ad valorem*, sales or transaction tax on real property. Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service (i) on any indebtedness approved by the voters prior to July 1, 1978, or (ii) as the result of an amendment approved by State voters on June 3, 1986, on any bonded indebtedness approved by two-thirds or more of the votes cast by the voters for the acquisition or improvement of real property on or after July 1, 1978, or (iii) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% or more of the votes cast on the proposition, but only if certain accountability measures are included in the proposition. The tax for the payment of the Bonds falls within the exception described in item (iii) of the immediately preceding sentence. In addition, Article XIII A requires the approval of

two-thirds or more of all members of the Legislature of the State (the “State Legislature”) to change any State taxes for the purpose of increasing tax revenues.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the relevant county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property value included in this Official Statement is shown at 100% of taxable value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Both the United States Supreme Court and the State Supreme Court have upheld the general validity of Article XIII A.

State-Assessed Utility Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions. Under the State Constitution, such property is assessed by the SBE as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year. So long as the District is not a Community Supported (basic aid) district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s financing formula for community college districts. See “FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA – Major Revenues” herein.

Article XIII B of the California Constitution

Article XIII B of the State Constitution (“Article XIII B”), as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, community college district, or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. As amended, Article XIII B defines

(a) “change in the cost of living” with respect to school districts and community college districts (collectively, “K-14 school districts”) to mean the percentage change in State per capita income from the preceding year, and

(b) “change in population” with respect to a K-14 school districts to mean the percentage change in the average daily attendance of K-14 school districts from the preceding fiscal year.

For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for fiscal year 1986-87 adjusted for the changes made from that fiscal year pursuant to the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. "Proceeds of taxes" include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service, such as the Bonds, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the State Legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund pursuant to Section 8.5 of Article XVI of the State Constitution. See "—Propositions 98 and 111" herein.

Article XIII C and Article XIII D of the California Constitution

On November 5, 1996, State voters approved Proposition 218, popularly known as the "Right to Vote on Taxes Act." Proposition 218 added to the State Constitution Articles XIII C and XIII D (respectively, "Article XIII C" and "Article XIII D"), which contain a number of provisions affecting the ability of local agencies, including K-14 school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the "Title and Summary" of Proposition 218 prepared by the State Attorney General, Proposition 218 limits "the authority of local governments to impose taxes and property-related assessments, fees and charges." Among other things, Article XIII C establishes that every tax is either a "general tax" (imposed for general governmental purposes) or a "special tax" (imposed for specific purposes), prohibits special purpose government agencies such as K-14 school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the State Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District does not impose any taxes, assessments, or property-related fees or charges which are subject to the provisions of Proposition 218. It does, however, receive a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the State Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Proposition 26

On November 2, 2010, State voters approved Proposition 26. Proposition 26 amends Article XIII C of the State Constitution to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Propositions 98 and 111

On November 8, 1988, State voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). Certain provisions of the Accountability Act were modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changed State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-14 school districts at a level equal to the greater of (a) the same percentage of the State general fund revenues as the percentage appropriated to such districts in the 1986-87 fiscal year, or (b) the amount actually appropriated to such districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the State Legislature to suspend this formula for a one-year period.

The Accountability Act also changed how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount are, instead of returned to taxpayers, transferred to K-14 school districts. Any such transfer to K-14 school districts is excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year will automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K-14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an

Article XIIIIB surplus. The maximum amount of excess tax revenues which can be transferred to K-14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Since the Accountability Act is unclear in some details, there can be no assurances that the State Legislature or a court might not interpret the Accountability Act to require a different percentage of State general fund revenues to be allocated to K-14 school districts, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the Governor's budget for the State for each fiscal year.

On June 5, 1990, State voters approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limitation Act of 1990" ("Proposition 111") which further modified Article XIIIIB and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and education funding priority and allocation. Proposition 111 took effect on July 1, 1990.

The most significant provisions of Proposition 111 are summarized as follows:

- a. Annual Adjustments to Spending Limit. The annual adjustments to the Article XIIIIB spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in State per capita personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in pupil attendance.
- b. Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIIIIB are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess is to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of such districts' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into such districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.
- c. Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIIIIB spending limit. First, all appropriations for "qualified capital outlay projects," as defined by the Legislature, are excluded. Also, any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990 are all excluded. These latter provisions were necessary to make effective the transportation funding package approved by the State Legislature and the Governor, which was expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

- d. Recalculation of Appropriations Limit. The Article XIIIIB appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.
- e. School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) a certain percentage of State general fund revenues (Test 1) or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIIIIB by reference to per capita personal income) and enrollment (Test 2). Under Proposition 111, K-14 school districts will receive the greater of (1) Test 1, (2) Test 2, or (3) Test 3, which will replace Test 2 in any year when growth in per capita State general fund revenues from the prior year is less than the annual growth in State per capita personal income. Under Test 3, K-14 school districts will receive the amount appropriated in the prior year adjusted for change in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 will become a “credit” to K-14 school districts which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, State voters approved an amendment (commonly known as “Proposition 39”) to the State Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-14 school districts, including the District, and county offices of education. As noted above, the State Constitution previously limited property taxes to 1% of the value of property. Prior to the approval of Proposition 39, property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the governing board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the governing board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 places certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate levied as the result of any single election be no more than \$60 (for a unified school district), \$30 (for an elementary school district or high school district), or \$25 (for a community college district, such as the District), per \$100,000 of taxable property value, when assessed valuation is projected to increase in accordance with Article XIII A of the Constitution. These requirements are not part of Proposition 39 and can be changed with a majority vote of both houses of the State Legislature and approval by the Governor.

Jarvis vs. Connell

On May 29, 2002, the State Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State). The Court of Appeal held that either a final budget bill, an emergency appropriation, a self-executing authorization pursuant to State statutes (such as continuing appropriations) or the State Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District's budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the State Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 1A and Proposition 22

On November 2, 2004, State voters approved Proposition 1A, which amends the State Constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to K-14 school districts, (iii) change how property tax revenues are shared among local governments without two-thirds approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Proposition 1A allows the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amends the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, The Local Taxpayer, Public Safety, and Transportation Protection Act, approved by State voters on November 2, 2010, prohibits the State from enacting new laws that require redevelopment agencies to shift funds to K-14 school districts or other agencies and eliminates the State's authority to shift property taxes temporarily during a severe financial hardship of the State. In addition, Proposition 22 restricts the State's authority to use State fuel tax revenues to pay debt service on State transportation bonds, to borrow or change the distribution of State fuel tax revenues, and to use vehicle license fee revenues to reimburse local governments for State mandated costs. Proposition 22 impacts resources in the State's general fund and transportation funds, the State's main funding source for K-14 school districts, as well as universities, prisons and health and social services programs. According to an analysis of Proposition 22 submitted by the Legislative Analyst's Office (the "LAO") on July 15, 2010, the expected reduction in resources available for the State to spend on these other programs as a consequence of the passage of Proposition 22 was expected to be approximately \$1 billion in fiscal year 2010-11, with an estimated immediate fiscal effect equal to approximately 1% of the State's total general fund spending. The longer-term effect of Proposition 22, according to the LAO analysis, was expected to be an increase in the State's general fund costs by approximately \$1 billion annually for several decades.

Proposition 30 and Proposition 55

On November 6, 2012, State voters approved the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as “Proposition 30”), which temporarily increased the State Sales and Use Tax and personal income tax rates on higher incomes. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increases the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,001 for single filers (over \$500,000 but less than \$600,001 for joint filers and over \$340,000 but less than \$408,001 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,001 for single filers (over \$600,000 but less than \$1,000,001 for joint filers and over \$408,000 but less than \$680,001 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The California Children’s Education and Health Care Protection Act of 2016 (also known as “Proposition 55”) is a constitutional amendment approved by State voters on November 8, 2016. Proposition 55 extends the increases to personal income tax rates for high-income taxpayers that were approved as part of Proposition 30 through 2030. Proposition 55 did not extend the temporary State Sales and Use Tax rate increase enacted under Proposition 30, which expired as of January 1, 2017.

The revenues generated from the personal income tax increases will be included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Propositions 98 and 111” herein. From an accounting perspective, the revenues generated from the personal income tax increases are being deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the “EPA”). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to schools districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing board is prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

Proposition 2

On November 4, 2014, State voters approved the Rainy Day Budget Stabilization Fund Act (also known as “Proposition 2”). Proposition 2 is a legislatively-referred constitutional amendment which makes certain changes to State budgeting practices, including substantially revising the conditions under which transfers are made to and from the State’s Budget Stabilization Account (the “BSA”) established by the California Balanced Budget Act of 2004 (also known as Proposition 58).

Under Proposition 2, and beginning in fiscal year 2015-16 and each fiscal year thereafter, the State will generally be required to annually transfer to the BSA an amount equal to 1.5% of estimated State general fund revenues (the “Annual BSA Transfer”). Supplemental transfers to the BSA (a “Supplemental BSA Transfer”) are also required in any fiscal year in which the estimated State general fund revenues that are allocable to capital gains taxes exceed 8% of total estimated general fund tax revenues. Such excess capital gains taxes—net of any portion thereof owed to K-14 school districts pursuant to Proposition 98—will be transferred to the BSA. Proposition 2 also increases the maximum size of the BSA to an amount equal to 10% of estimated State general fund revenues for any given fiscal

year. In any fiscal year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold, Proposition 2 requires such excess to be expended on State infrastructure, including deferred maintenance.

For the first 15 year period ending with the 2029-30 fiscal year, Proposition 2 provides that half of any required transfer to the BSA, either annual or supplemental, must be appropriated to reduce certain State liabilities, including making certain payments owed to K-14 school districts, repaying State interfund borrowing, reimbursing local governments for State mandated services, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. Following the initial 15-year period, the Governor and the State Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities. Any amount not applied towards such reduction must be transferred to the BSA or applied to infrastructure, as described above.

Proposition 2 changes the conditions under which the Governor and the State Legislature may draw upon or reduce transfers to the BSA. The Governor does not retain unilateral discretion to suspend transfers to the BSA, nor does the State Legislature retain discretion to transfer funds from the BSA for any reason, as previously provided by law. Rather, the Governor must declare a “budget emergency,” defined as an emergency within the meaning of Article XIII B of the Constitution or a determination that estimated resources are inadequate to fund State general fund expenditures, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years. Any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of funds on deposit in the BSA unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also requires the creation of the Public School System Stabilization Account (the “PSSSA”) into which transfers will be made in any fiscal year in which a Supplemental BSA Transfer is required (as described above). Such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would be otherwise paid to K-14 school districts as part of the minimum funding guarantee. A transfer to the PSSSA will only be made if certain additional conditions are met, as follows: (i) the minimum funding guarantee was not suspended in the immediately preceding fiscal year, (ii) the operative Proposition 98 formula for the fiscal year in which a PSSSA transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the fiscal year in which a PSSSA transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the fiscal year in which a PSSSA transfer might be made is higher than the immediately preceding fiscal year, as adjusted for ADA growth and cost of living. Proposition 2 caps the size of the PSSSA at 10% of the estimated minimum funding guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Reductions to any required transfer to the PSSSA, or draws on the PSSSA, are subject to the same budget emergency requirements described above. However, Proposition 2 also mandates draws on the PSSSA in any fiscal year in which the estimated minimum funding guarantee is less than the prior year’s funding level, as adjusted for ADA growth and cost of living.

Proposition 51

The Kindergarten Through Community College Public Education Facilities Bond Act of 2016 (also known as Proposition 51) is an initiative that was approved by State voters on November 8, 2016. Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds for the new construction and modernization of K-14 facilities.

K-12 School Facilities. Proposition 51 includes \$3 billion for the new construction of K-12 facilities and an additional \$3 billion for the modernization of existing K-12 facilities. K-12 school districts will be required to pay for 50% of the new construction costs and 40% of the modernization costs with local revenues. If a school district lacks sufficient local funding, it may apply for additional State grant funding, up to 100% of the project costs. In addition, a total of \$1 billion will be available for the modernization and new construction of charter school (\$500 million) and technical education (\$500 million) facilities. Generally, 50% of modernization and new construction project costs for charter school and technical education facilities must come from local revenues. However, schools that cannot cover their local share for these two types of projects may apply for State loans. State loans must be repaid over a maximum of 30 years for charter school facilities and 15 years for career technical education facilities. For career technical education facilities, State grants are capped at \$3 million for a new facility and \$1.5 million for a modernized facility. Charter schools must be deemed financially sound before project approval.

Community College Facilities. Proposition 51 includes \$2 billion for community college district facility projects, including buying land, constructing new buildings, modernizing existing buildings, and purchasing equipment. In order to receive funding, community college districts must submit project proposals to the Chancellor of the community college system, who then decides which projects to submit to the Legislature and Governor based on a scoring system that factors in the amount of local funds contributed to the project. The Governor and Legislature will select among eligible projects as part of the annual State budget process.

The District makes no guarantees that it will either pursue or qualify for Proposition 51 State facilities funding.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the State Constitution and Propositions 22, 26, 30, 39, 98, 55 and 51 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA

The information in this section concerning State funding of community college districts is provided as supplementary information only, and it should not be inferred from the inclusion of the information under this heading that the principal of and interest on the Bonds are payable from State revenues. The Bonds are payable solely from the proceeds of an ad valorem property tax required to be levied by the County in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

Major Revenues

State community college districts (other than Community Supported (basic aid) districts, as described below) receive a majority of their funding from the State, and the balance from local and federal sources. State funds include general apportionment, categorical funds, capital construction, lottery funds (which generally is less than 3 percent), and other minor sources. Local funds include property taxes, student fees and miscellaneous sources.

Senate Bill 361 (“SB 361”) established the present system of funding for community college districts. This system includes allocation of state general apportionment revenues to community college districts based on criteria developed by the statewide governing board of the State community colleges (the “Board of Governors”) in accordance with prescribed statewide minimum requirements. In establishing these minimum requirements, the Board of Governors was required to acknowledge community college districts’ need to receive an annual allocation based on the number of colleges and comprehensive centers in each respective district, plus funding received based on the number of credit and noncredit FTES in each district.

SB 361 also specified that, commencing with the 2006-07 fiscal year, the minimum funding per FTES would be not less than \$4,367 per credit FTES and at a uniform rate of \$2,626 per noncredit FTES. SB 361 also created a new instructional category of “career development and college preparation” (“CDCP”) enhanced non-credit rate. Although CDCP FTES were initially funded at a lower rate than credit FTES, subsequent legislation effective as of the 2015-16 fiscal year set the minimum funding for CDCP FTES at the same level as credit FTES. Each such minimum funding rate is subject to cost of living adjustments (each, a “COLA”), if any, funded through the State budgeting legislation in each fiscal year. Pursuant to SB 361, the State Chancellor (the “Chancellor”) developed criteria for one-time grants for districts that would have received more funding under the prior system or a then-proposed rural college access grant, than under the new system.

One unit of FTES is equivalent to 525 student contact hours, which is determined based on a State formula of one student multiplied by 15 weekly contact hours multiplied by 35 weeks. Accordingly, the number of FTES in the District may not equal the number of students enrolled in the District.

In each fiscal year, the State budget will establish an enrollment cap on the maximum number of resident FTES, known as the “funded” FTES, for which a community college district will receive a revenue allocation, as determined by the program-based model. A district’s enrollment cap is based on the previous fiscal year’s reported FTES, plus the growth allowance provided for by the State budget, if any. All student hours in excess of the enrollment cap are considered “unfunded” FTES. Nonresident and international students are excluded from the State funding formula and pay full tuition.

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The table below shows the District's resident FTES figures for the last seven fiscal years, along with the budgeted FTES for fiscal year 2017-18.

FULL TIME EQUIVALENT STUDENTS⁽¹⁾
Fiscal Years 2010-11 through 2017-18
Southwestern Community College District

<u>Fiscal Year</u>	<u>Funded FTES</u>	<u>Unfunded FTES</u>	<u>Total FTES</u>
2010-11	15,876	57	15,933
2011-12	14,621	148	14,769
2012-13	14,745	--	14,745
2013-14	15,072	--	15,072
2014-15	15,427	--	15,427
2015-16	15,410 ⁽³⁾	--	14,914
2016-17	15,594	--	15,594
2017-18 ⁽²⁾	15,594	--	15,594

⁽¹⁾ Reflects resident FTES counts only; non-resident FTES are excluded from State funding formula calculations and pay full tuition.

⁽²⁾ Budgeted.

⁽³⁾ Includes FTES in excess of the District's actual FTES count, and for which it received stability funding. See "- Stability Funding" herein.

Source: *Southwestern Community College District.*

The major local revenue source is local property taxes that are collected from within District boundaries, with student enrollment fees accounting for most of the remainder. A small part of a community college district's budget is from local sources other than property taxes and student enrollment fees, such as interest income, donations, educational foundation contributions and sales of property. Every community college district receives the same amount of State lottery funds per pupil from the State, however, these are not categorical funds as they are not for particular programs or students. The initiative authorizing the lottery requires the funds to be used for instructional purposes, and prohibits their use for capital purposes.

The sum of the property taxes, student enrollment fees, and State aid generally comprise the District's State apportionment. State aid is subject to the appropriation of funds in the State's annual budget. Thus, decreases in State revenues may affect appropriations made by the State Legislature to the District.

"Community Supported" (basic aid) community college districts are those districts whose local property taxes, student enrollment fee collections, and EPA funds exceed the revenue allocation determined by the program based model. Community Supported districts do not receive any general apportionment funding from the State. See also "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 30 and Proposition 55" herein. The current law in the State allows these districts to keep the excess funds without penalty. The implication for Community Supported districts is that the legislatively determined annual COLAs and other politically determined factors are less significant in determining such districts' primary funding sources. Rather, property tax growth and the local economy become the determining factors. The District does not qualify as a Community Supported district.

Stability Funding. Under State Code of Regulations Section 58776, during the initial year of a decline in FTES, community college districts are eligible to receive "stability" funding, in an amount equal to the revenue loss associated with a decline in FTES for that year. If the decline in FTES continues into a second and third year, community college districts are eligible to receive 75% and 50%, respectively, of the revenue loss associated with such a decline. If FTES are not restored to the pre-decline level within a period of two years following the initial decline, a community college district that

has received stability funding is subject to a permanent reduction of its funded FTES and an attendant decline in operating revenue. For fiscal year 2015-16, the District received stability funding. For fiscal year 2016-17, the District experienced growth of 184 FTES and came out of stability funding. The District currently expects that it will receive stability funding in fiscal year 2017-18. The Board is currently studying the enrollment forecast of the District and steps to maintain and grow enrollment to minimize any reduction in operating revenues as a result of lower FTES. The District plans to open new District buildings in fiscal years 2017-18 and 2018-19, which the District currently expects will aid the District in achieving greater FTES stability.

Budget Procedures

On or before September 15, the Board of Trustees of a community college district is required under Section 58305 of the State Code of Regulations, Title V, to adopt a balanced budget. Each September, every State agency, including the Chancellor's Office of the California Community Colleges (the "Chancellor's Office"), submits to the State Department of Finance (the "DOF") proposals for changes in the State budget. These proposals are submitted in the form of Budget Change Proposals ("BCPs"), involving analyses of needs, proposed solutions and expected outcomes. Thereafter, the DOF makes recommendations to the Governor, and by January 10 a proposed State budget is presented by the Governor to the State Legislature. The Governor's State budget is then analyzed and discussed in committees and hearings begin in the State Assembly and Senate. In May, based on the debate, analysis and changes in the economic forecasts, the Governor issues a revised budget with changes he or she can support. The law requires the State Legislature to submit its approved budget by June 15, and by June 30 the Governor should announce his or her line item reductions and sign the State budget. In response to growing concern for accountability and with enabling legislation (AB 2910, Chapter 1486, Statutes of 1986), the Board of Governors and the Chancellor's Office have established expectations for sound district fiscal management and a process for monitoring and evaluating the financial condition to ensure the financial health of the State's community college districts. In accordance with statutory and regulatory provisions, the Chancellor has been given the responsibility to identify districts at risk and, when necessary, the authority to intervene to bring about improvement in their financial condition. To stabilize a district's financial condition, the Chancellor may, as a last resort, seek an appropriation for an emergency apportionment.

The monitoring and evaluation process is designed to provide early detection and amelioration that will stabilize the financial condition of a district before an emergency apportionment is necessary. This is accomplished by (1) assessing the financial condition of districts through the use of various information sources and (2) taking appropriate and timely follow-up action to bring about improvement in a district's financial condition, as needed. A variety of instruments and sources of information are used to provide a composite of each district's financial condition, including quarterly financial status reports, annual financial and budget reports, attendance reports, annual district audit reports, district input and other financial records. In assessing each district's financial condition, the Chancellor will pay special attention to each district's general fund balance, spending pattern, and FTES patterns. Those districts with greater financial difficulty will receive follow-up visits from the Chancellor's Office where financial solutions to the district's problems will be addressed and implemented.

See "SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – General Fund Budgeting" herein for more information regarding the District's recent budgeting trends.

Minimum Funding Guarantees for California Community College Districts Under Propositions 98 and 111

General. In 1988, State voters approved Proposition 98, an initiative that amended Article XVI of the State Constitution and provided specific procedures to determine a minimum guarantee for annual K-14 school district funding. The constitutional provision links the K-14 funding formulas to growth factors that are also used to compute the State appropriations limit. Proposition 111 (Senate Constitutional Amendment 1), adopted in June 1990, among other things, changed some earlier school funding provisions of Proposition 98 relating to the treatment of revenues in excess of the State spending limit and added a third funding “test” (“Test 3”) to calculate the annual funding guarantee. This third calculation is operative in years in which State general fund tax revenue growth is weak. The amendment also specified that under Test 2 (see below), the annual COLA for the minimum guarantee for annual K-14 funding would be the change in the State’s per-capita personal income, which is the same COLA used to make annual adjustments to the State appropriations limit (Article XIII B). See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Propositions 98 and 111” herein.

Calculating Minimum Funding Guarantee. There are currently three tests which determine the minimum level of K-14 funding. Under implementing legislation for Proposition 98 (AB 198 and SB 98 of 1989), each segment of public education (K-14 school districts and direct elementary and secondary level instructional services provided by the State) has separately calculated amounts under the Proposition 98 tests. The base year for the separate calculations is the 1989-90 fiscal year. Each year, each segment is entitled to the greater of the amounts separately computed for each under Test 1 or 2. Should the calculated amount under Proposition 98 guarantee (K-14 education aggregated) be less than the sum of the separate calculations, then the Proposition 98 guarantee amount shall be prorated to the three segments in proportion to the amount calculated for each. This statutory split has been suspended in every year beginning with fiscal year 1992-93. In those years, community colleges received less than was required from the statutory split.

Test 1 guarantees that K-14 education will receive at least the same funding share of the State general fund budget it received in fiscal year 1986-87. Initially, that share was just over 40%. Because of the major shifts of property tax from local government to K-14 school districts which began in fiscal year 1992-93 and increased in fiscal year 1993-94, the percentage dropped to 33.0%.

Test 2 provides that K-14 education will receive, at a minimum, its prior-year total funding (including State general fund and local revenues) adjusted for enrollment growth (FTES) and per-capita personal income COLA.

Test 3, established pursuant to Proposition 111, provides an alternative calculation of the funding base in years in which State per-capita General Fund revenues grow more slowly than per-capita personal income. When this condition exists, K-14 minimum funding is determined based on the prior-year funding level, adjusted for changes in enrollment and COLA where the COLA is measured by the annual increase in per-capita general fund revenues, instead of the higher per-capita personal income factor. The total allocation, however, is increased by an amount equal to one-half of 1% of the prior-year funding level as a funding supplement.

In order to make up for the lower funding level under Test 3, in subsequent years K-14 education receives a maintenance allowance (also referred to as a “maintenance factor”) equal to the difference between what should have been provided if the revenue conditions had not been weak and what was actually received under the Test 3 formula. This maintenance allowance is paid in subsequent years when the growth in per-capita State tax revenue outpaces the growth in per-capita personal income.

The enabling legislation to Proposition 111, Chapter 60, Statutes of 1990 (SB 98, Garamendi), further provides that K-14 education shall receive a supplemental appropriation in a Test 3 year if the annual growth rate in non-Proposition 98 per-capita appropriations exceeds the annual growth rate in per-pupil total spending.

Redevelopment Revenues

The District previously received tax offset revenue from the County as a part of certain redevelopment projects within the County (the “Tax Offset Revenues”). The Tax Offset Revenues received are deposited directly into the general fund of the District and offset the State apportionment received by the District. The District also receives pass-through tax increment revenue (the “Pass-Through Revenues”) from the redevelopment agencies within the District’s boundaries. The Pass-Through Revenues received by the District are deposited into the District’s Redevelopment Fund, and used for facilities improvements. The Pass-Through Revenues do not offset the State apportionment received by the District. The amount of Tax Offset Revenues and Pass-Through Revenues received by the District from fiscal years 2012-13 through 2016-17, and budgeted amounts for fiscal year 2017-18, are shown in the following table.

TAX OFFSET AND PASS-THROUGH REVENUES Fiscal Years 2012-13 through 2017-18 Southwestern Community College District

Fiscal Year	Tax Offset Revenues ⁽¹⁾	Pass-Through Revenues ⁽²⁾
2012-13	\$1,192,432	\$435,689
2013-14	870,982	480,591
2014-15	736,552	424,832
2015-16	756,193	546,841
2016-17	1,334,371	610,931
2017-18 ⁽³⁾	750,000	450,000

⁽¹⁾ Tax Offset Revenues received offset State apportionments received by the District.

⁽²⁾ Pass-Through Revenues received do not offset State apportionments received by the District.

⁽³⁾ Budgeted.

Source: Southwestern Community College District.

State Dissolution of Redevelopment Agencies

On December 30, 2011, the State Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos* (“*Matosantos*”), finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all redevelopment agencies in the State ceased to exist as a matter of law on February 1, 2012.

ABx1 26 was modified by Assembly Bill No. 1484 (Chapter 26, Statutes of 2011-12) (“AB 1484”), which, together with ABx1 26, is referred to herein as the “Dissolution Act.” The Dissolution Act provides that all rights, powers, duties and obligations of a redevelopment agency under the California Community Redevelopment Law that have not been repealed, restricted or revised pursuant to ABx1 26 will be vested in a successor agency, generally the county or city that authorized the creation of the redevelopment agency (each, a “Successor Agency”). All property tax revenues that would have been allocated to a redevelopment agency, less the corresponding county auditor-controller’s cost to administer the allocation of property tax revenues, are now allocated to a corresponding Redevelopment Property Tax Trust Fund (“Trust Fund”), to be used for the payment of pass-through payments to local taxing entities, and thereafter to bonds of the former redevelopment agency and any “enforceable obligations” of

the Successor Agency (as defined in the Dissolution Act), as well as to pay certain administrative costs. The Dissolution Act defines “enforceable obligations” to include bonds, loans, legally required payments, judgments or settlements, legal binding and enforceable obligations, and certain other obligations.

Among the various types of enforceable obligations, the first priority for payment is tax allocation bonds issued by the former redevelopment agency; second is revenue bonds, which may have been issued by the host city, but only where the tax increment revenues were pledged for repayment and only where other pledged revenues are insufficient to make scheduled debt service payments; third is administrative costs of the Successor Agency, equal to at least \$250,000 in any year, unless the oversight board reduces such amount for any fiscal year or a lesser amount is agreed to by the Successor Agency; then, fourth tax revenues in the Trust Fund in excess of such amounts, if any, will be allocated as residual distributions to local taxing entities in the same proportions as other tax revenues. Moreover, all unencumbered cash and other assets of former redevelopment agencies will also be allocated to local taxing entities in the same proportions as tax revenues. Notwithstanding the foregoing portion of this paragraph, the order of payment is subject to modification in the event a Successor Agency timely reports to the State Controller and the DOF that application of the foregoing will leave the Successor Agency with amounts insufficient to make scheduled payments on enforceable obligations. If the county auditor-controller verifies that the Successor Agency will have insufficient amounts to make scheduled payments on enforceable obligations, it shall report its findings to the State Controller. If the State Controller agrees there are insufficient funds to pay scheduled payments on enforceable obligations, the amount of such deficiency shall be deducted from the amount remaining to be distributed to taxing agencies, as described as the fourth distribution above, then from amounts available to the Successor Agency to defray administrative costs. In addition, if a taxing agency entered into an agreement pursuant to Health and Safety Code Section 33401 for payments from a redevelopment agency under which the payments were to be subordinated to certain obligations of the redevelopment agency, such subordination provisions shall continue to be given effect.

As noted above, the Dissolution Act expressly provides for continuation of pass-through payments to local taxing entities. Per statute, 100% of contractual and statutory 2% pass-throughs, and 56.7% of statutory pass-throughs authorized under the Community Redevelopment Law Reform Act of 1993 (AB 1290, Chapter 942, Statutes of 1993) (“AB 1290”), are restricted to educational facilities without offset against apportionments by the State. Only 43.3% of AB 1290 pass-throughs are offset against State aid so long as the affected local taxing entity uses the moneys received for land acquisition, facility construction, reconstruction, or remodeling, or deferred maintenance as provided under Education Code Section 42238(h).

ABX1 26 states that in the future, pass-throughs shall be made in the amount “which would have been received . . . had the redevelopment agency existed at that time,” and that the county auditor-controller shall “determine the amount of property taxes that would have been allocated to each redevelopment agency had the redevelopment agency not been dissolved pursuant to the operation of [ABX1 26] using current assessed values . . . and pursuant to statutory [pass-through] formulas and contractual agreements with other taxing agencies.”

Successor Agencies continue to operate until all enforceable obligations have been satisfied and all remaining assets of the Successor Agency have been disposed of. AB 1484 provides that once the debt of the Successor Agency is paid off and remaining assets have been disposed of, the Successor Agency shall terminate its existence and all pass-through payment obligations shall cease.

State Assistance

State community college districts' principal funding formulas and revenue sources are derived from the budget of the State. The following information concerning the State's budgets has been obtained from publicly available information which the District believes to be reliable; however, neither the District nor the Underwriters take responsibility as to the accuracy or completeness thereof and neither has independently verified such information. Furthermore, it should not be inferred from the inclusion of this information herein that the principal of or interest on the Bonds is payable from the general fund of the District. The Bonds are payable solely from the proceeds of an ad valorem property tax required to be levied by the County in an amount sufficient for the payment thereof.

2017-18 Budget. On June 27, 2017, the Governor signed into law the State budget for fiscal year 2017-18 (the "2017-18 Budget"). The following information is drawn from the LAO's preliminary review of the 2017-18 Budget.

For fiscal year 2016-17, the 2017-18 Budget projects total general fund revenues and transfers of \$118.5 billion and total expenditures of \$121.4 billion. The State is projected to end the 2016-17 fiscal year with total available reserves of \$7.4 billion, including \$642 million in the traditional general fund reserve and \$6.7 billion in the BSA. For fiscal year 2017-18, the 2017-18 Budget projects total general fund revenues of \$125.9 billion, reflecting a 6% increase over the prior year and driven primarily by a projected 5% increase in personal income, sales and use tax collections. The 2017-18 Budget authorizes expenditures of \$125.1 billion. The State is projected to end the 2017-18 fiscal year with total available reserves of \$9.9 billion, including \$1.4 billion in the traditional general fund reserve and \$8.5 billion in the BSA.

With respect to education funding, the 2017-18 Budget revises the Proposition 98 minimum funding guarantees for both fiscal years 2015-16 and 2016-17, as a result of lower-than-estimated general fund revenue collections. The 2017-18 Budget sets the Proposition 98 minimum funding guarantee for fiscal year 2015-16 at \$68.7 billion, a decrease of \$379 million from the prior year. However, total Proposition 98 funding exceeded the minimum guarantee by \$53 million as a result of various adjustments related to the Local Control Funding Formula and community college apportionments. The 2017-18 Budget revises the minimum funding guarantee for fiscal year 2016-17 at \$71.3 billion, reflecting a decrease of \$558 million from the prior year. Total spending, however, exceeded the minimum funding guarantee by approximately \$29 million, as a result of a \$514 million "settle up" payment related to an obligation created by understating the minimum guarantee in a prior year.

For fiscal year 2017-18, the 2017-18 Budget sets the minimum funding guarantee at \$74.5 billion, reflecting an increase of \$3.1 billion (or 4.4%) from the revised prior-year level. Fiscal year 2017-18 is projected to be a "Test 2" year, with the change in the minimum funding guarantee attributable to a 3.7% increase in per capita personal income and a projected 0.05% decline in school district attendance. With respect to community college education, the 2017-18 Budget sets Proposition 98 funding at \$8.6 billion, including \$5.7 billion from the State general fund, reflecting an increase of \$324 million (or 3.9%) from the prior year. Per-FTES spending increases \$363 (or 4.3%) to \$7,416.

Other significant features with respect to community college education funding include the following:

- *Enrollment; Apportionments* – An increase of \$58 million in Proposition 98 funding to base allocations to support a 1% growth in enrollment systemwide. The 2016-17 Budget also provides \$98 million to fund a 1.56% COLA to apportionments, \$5 million to fund a 1.56% COLA to selected categorical programs, and \$1 million to fund a COLA for financial aid

administration. In addition to these base increases, the 2017-18 Budget provides \$184 million that community college districts may use to fund any educational or operational purpose, including hiring additional faculty, paying retirement costs, professional development and facility maintenance.

- *Student Success* – An increase of \$150 million in one-time funding for an initiative focused on assisting community college districts (i) integrate existing student success programs and services, (ii) build internal capacity for data analysis, leadership, planning and program implementation, and (iii) develop structured academic courses for incoming students.
- *Financial Aid* – An increase of \$25 million in Proposition 98 funding to increase the maximum annual Full Time Student Success Grant. This grant was created in fiscal year 2015-16 and provides additional aid to community college students who carry 12 or more credits per term and qualify for Cal Grant B and Cal Grant C awards. The 2017-18 Budget also provides \$25 million for a Community College Completion Grant, which would provide an additional \$2,000 annually for grant recipients that develop a comprehensive education plan and carry 15 or more units per term. Lastly, the 2017-18 Budget includes \$1.7 million to double the Cal Grant C book and supply award.
- *Innovation Awards* – \$20 million in one-time Proposition 98 funding for awards to community college districts that develop innovations that both address specified groups of underrepresented students and use technology to improve instruction and support services.
- *On-line Education* – An increase of \$10 million in Proposition 98 funding, for total ongoing funding of \$20 million, to provide system-wide access to the California Online Education Initiative, a grant-funded collaborative effort among community colleges to increase access to and success in high-quality online courses.
- *Library Systems* – An increase of \$6 million in one-time Proposition 98 funding to the California Community College Technology Center, a grant funded project that coordinates statewide technology projects. The funding is intended to assist in the procurement and operational of an integrated library system for California community college students.
- *Deferred Maintenance and Instructional Equipment* – An increase of \$77 million in one-time Proposition 98 funding for deferred facility maintenance, special repairs, hazardous substance abatement, architectural barrier removal, or specified water conservation projects. Funds will be allocated based on FTES enrollment.
- *Proposition 51* – A total allocation of \$16.9 million in Proposition 51 bond funds for initial design activities at 15 community college districts.

For additional information regarding the 2017-18 Budget, see the DOF's website at www.dof.ca.gov and the LAO's website at www.lao.ca.gov. However, the information presented on such websites is not incorporated herein by reference.

Future Budgets and Actions. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address changing State revenues and expenditures. The District also cannot predict the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions or results could produce a significant shortfall of revenue and cash, and could consequently impair the State's ability to fund school

districts and community college districts. State budget shortfalls in future fiscal years may also have an adverse financial impact on the financial condition of the District. However, the obligation to levy *ad valorem* property taxes upon all taxable property within the District for the payment of principal of and interest on the Bonds would not be impaired.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

The information in this section concerning the operations of the District and the District's finances is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. The principal of and interest on the Bonds are payable only from the proceeds of an ad valorem property tax levied by the County for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

Introduction

The District was established in 1960 and provides higher education in the County. The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa. The District's territory encompasses approximately 162 square miles. The College is fully accredited by the ACCJC. For fiscal year 2017-18, the District has budgeted its FTES count at 15,594 students. Taxable property within the District has a fiscal year 2017-18 assessed valuation of \$53,469,167,268.

Administration

The District is governed by a five-member Board, each member of which is elected at-large to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. Current members of the Board, together with their office and the date their term expires, are listed below:

GOVERNING BOARD Southwestern Community College District

<u>Board Member</u>	<u>Office</u>	<u>Term Expires</u>
Tim Nader	President	November 2018
Griselda A. Delgado	Vice President	November 2020
Roberto Alcantar	Member	November 2020
Norma L. Hernandez	Member	November 2018
Nora E. Vargas	Member	November 2018

The Superintendent/President of the District is appointed by the Board and reports to the Board. The Superintendent/President is responsible for management of the District's day-to-day operations and supervises the work of other key administrators.

Brief biographies of the District's Superintendent/President and Vice President for Business and Financial Affairs follow:

Kindred Murillo, Ph.D., Superintendent/President. Dr. Kindred Murillo has served as the Superintendent/President at the District since January 2017. Immediately prior to joining the District, she served as Superintendent/President of Lake Tahoe Community College District. Her previous positions at community college districts also include: Vice Chancellor at Contra Costa Community College District, Vice President of Pasadena City College, and Vice President Business Services/Chief Business Officer

and Director of Fiscal Services at Copper Mountain Community College District. Dr. Murillo earned a B.S. in Business Administration from the University of Redlands and a Master's in Organizational Development and a Ph.D. in Organizational Leadership, each from Pepperdine University.

Timothy Flood, Vice President for Business and Financial Affairs. Mr. Timothy Flood has served as the Vice President for Business and Financial Affairs at the District since January 19, 2016 and served as Acting Superintendent/President from June 30, 2016 through August 14, 2016. Prior to joining the District, he served the Grossmont-Cuyamaca Community College District in various administrative roles, including: Interim President for six months, Vice President Administrative Services for seven years, and Director of Campus Facilities, Operations, and Maintenance for seven years. Mr. Flood earned a B.S. in Accountancy and a Master's in Public Administration with an emphasis in Finance from National University.

Accreditation

General. The ACCJC is authorized by the federal Department of Education as one of the seven regional associations that accredit public and private schools, colleges and universities in the United States. The ACCJC is the recognized accrediting association for the western region, which includes the States of California and Hawaii, as well as the territories of Guam, American Samoa and Northern Marianas Islands. The ACCJC reviews community colleges on rolling, six year cycles.

Accreditation by the ACCJC is voluntary and designed to evaluate and enforce standards of educational quality and institutional effectiveness. Accreditation is also a form of peer review. ACCJC standards and criteria are developed and implemented by representatives from the member institutions. Although the ACCJC is not a governmental agency, and has no direct authority over the operations of the District, it is responsible for determining whether the College receives or retains accreditation. For public colleges, the loss of accreditation would result in the loss of federal funding and most state funding, including student financial aid.

To obtain accreditation, institutions must first satisfy minimum ACCJC eligibility requirements (the "Eligibility Requirements"), of which there are 21 covering a wide range of areas. Accredited institutions must continually meet these Eligibility Requirements. As part of the institutional self-study prepared during each accreditation cycle, compliance with certain of the Eligibility Requirements must be specifically demonstrated, while the balance may be addressed as part of the institution's response to related Accreditation Standards (defined herein).

As part of each accrediting cycle, the ACCJC requires member institutions to demonstrate compliance with its accreditation standards (the "Accreditation Standards"). There are four main standards: (i) Mission, Academic Quality and Institutional Effectiveness, and Integrity, (ii) Student Learning Programs and Support Services, (iii) Institutional Resources, and (iv) Leadership and Governance. Each Accreditation Standard is subdivided in several components, for a total of 127 separate standards.

In addition, to maintain accreditation, institutions must also be in compliance with the ACCJC's policies at all times during the six-year review cycle. In support of its Policy on Monitoring Institutional Performance, the ACCJC applies a set of annual monitoring and evaluation approaches that assess an institution's continued compliance with the ACCJC Standards, and that take into account institutional strength and stability. Such annual monitoring includes, but is not limited to headcount enrollment data and the collection and analysis of key data and indicators of fiscal stewardship and stability. In furtherance of this policy, institutions are required to submit an Annual Financial Report ("AFR") including their annual audited financial statements to the ACCJC. The purpose of the AFR is to monitor

the fiscal condition of the institutions in accordance with federal requirements and to enable the ACCJC to identify institutions that are at potential financial risk. The ACCJC has developed a Composite Financial Index (“CFI”) to assess institutional finances. Based on their analysis, institutions are assigned one of three levels of financial risk. Institutions in Category N (Normal Monitoring) are not subject to additional monitoring. Institutions in Category M (Enhanced Monitoring) will have enhanced monitoring of their financial condition in the current and subsequent reporting years to assess whether financial conditions improve or deteriorate. Institutions assigned as Category R (Referred) undergo a more comprehensive analysis of their financial condition by the ACCJC’s financial reviewers.

If the ACCJC determines that a community college is out of compliance with Accreditation Standards, Eligibility Requirements or Policies, it may issue several levels of sanctions, including a warning, indicating the ACCJC’s concern regarding identified deficiencies. If a college significantly deviates from Accreditation Standards, Eligibility Requirements or Policies, it may also be placed on “probation” status. Finally, if a college continues to be significantly out of compliance with Accreditation Standards, Eligibility Requirements or Policies, or fails to properly respond to ACCJC recommendations with respect to identified deficiencies, the ACCJC may place the affected college on a “show cause” status, requiring the affected institution to show cause why its accreditation should not be withdrawn at the end of the stated period. For a community college district issued such show cause status, ACCJC policies require the development of a closure plan for the affected college, to become operative in the event such district is unable to remedy the identified deficiencies. The requirement to develop a closure plan ensures that all those affected by the potential loss of accreditation are informed as early as possible, and that the affected district has a contingency plan for the completion of programs by students, the securing of confidential student and employee records, and the disposition of assets of the affected college. The ACCJC’s policy, however, does not address State or federal laws that could bear on the ability of a community college district to close a college. Therefore, the development of a closure plan, as required by the ACCJC, should not be seen as an affirmative election to close an affected college.

Recent Accreditation History of the District. At its meeting of January 6-8, 2016, the ACCJC took action to impose “Warning” status, finding that the College was deficient in meeting certain portions of the following accreditation standards: (i) Standard I.A. (Mission, Academic Quality and Institutional Effectiveness, and Integrity – Mission); (ii) Standard II.A. (Student Learning Programs and Support Services – Instructional Programs); (iii) Standard III.A (Resources – Human Resources); (iv) Standard III.D. (Resources – Financial Resources); (v) Standard IV.A. (Leadership and Governance – Decision-Making Roles and Processes); and (vi) Standard IV.B. (Chief Executive Officer). The ACCJC advanced 15 recommendations for the College to address in the areas detailed above. At its meeting of June 7-9, 2017, the ACCJC took action to remove “Warning” status and reaffirm the College’s accreditation. The next report from the College will be the Midterm Report due in the fall of 2018.

Additional information regarding the College’s accreditation is available at <https://www.swccd.edu/index.aspx?page=3413>. However, the information presented on such website is not incorporated herein by any reference.

Labor Relations

The District currently employs 268 full-time certificated professionals, 349 full-time classified employees (includes classified bargaining unit-CSEA and 14 Classified Confidential Employees) and managers, 24 educational administrators and 39 classified administrators. In addition, the District employs 750 part-time faculty and 663 part-time staff (includes hourly and student employees). These employees, except management and some part-time employees, are represented by three bargaining units as noted below:

BARGAINING UNITS Southwestern Community College District

<u>Labor Organization</u>	<u>Number of Employees In Organization</u>	<u>Contract Expiration Date</u>
Southwestern College Education Association (SCEA)	1,018	June 30, 2017 ⁽¹⁾
California School Employees' Association (CSEA)	335	April 30, 2018
Southwestern Community College District Administrators Association (SCCDAA)	56	⁽²⁾

⁽¹⁾ Employees continue to work under terms of expired contract while a new contract is negotiated.

⁽²⁾ The District and the SCCDAA are currently negotiating the terms of the inaugural contract.

Source: Southwestern Community College District.

Retirement Programs

The information set forth below regarding the STRS and PERS programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the District or the Underwriters.

STRS. All full-time certificated employees, as well as certain classified employees, are members of the California State Teachers' Retirement System ("STRS"). STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended from time to time.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, the State recently passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by such statutes to contribute 8.25% of eligible salary expenditures, while participants contributed 8% of their respective salaries. On June 24, 2014, the Governor signed AB 1469 (“AB 1469”) into law as a part of the State’s fiscal year 2014-15 budget. AB 1469 seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the “2014 Liability”), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing July 1, 2014, the employee contribution rate increased over a three-year phase-in period in accordance with the following schedule:

**MEMBER CONTRIBUTION RATES
STRS Defined Benefit Program**

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired After January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205

Source: AB 1469.

Pursuant to the Reform Act (as defined below), the contribution rates for members hired after the Implementation Date (as defined below) will be adjusted if the normal cost increases by more than 1% since the last time the member contribution was set. While the contribution rate for employees hired after the Implementation Date will remain unchanged at 9.205% of creditable compensation for fiscal year commencing July 1, 2017, the STRS actuary currently estimates that member contribution rates for such members will have to increase to 10.205% of creditable compensation effective July 1, 2018, based on the new actuarial assumptions discussed below.

Pursuant to AB 1469, K-14 school districts’ contribution rate will increase over a seven-year phase-in period in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS Defined Benefit Program**

<u>Effective Date</u>	<u>K-14 school districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter, the STRS Teachers’ Retirement Board (the “STRS Board”) is required to increase or decrease the K-14 school districts’ contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than 1% of creditable compensation upon which members’ contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25%. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the

fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The District contributed to STRS in the amount of \$2,954,187 in fiscal year 2012-13, \$2,953,388 in fiscal year 2013-14, \$3,552,000 in fiscal year 2014-15, \$4,510,437 in fiscal year 2015-16, and \$4,997,695 (unaudited) in fiscal year 2016-17, and in each such year was equal to 100% of the required contributions. The District has budgeted a contribution of \$5,286,689 to STRS in fiscal year 2017-18.

The State also contributes to STRS, currently in an amount equal to 6.828% of teacher payroll for fiscal year 2017-18. The State's contribution reflects a base contribution rate of 2.017%, and a supplemental contribution rate that will vary from year to year based on statutory criteria. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to benefits in effect before July 1, 1990.

In addition, the State is currently required to make an annual general fund contribution up to 2.5% of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the "SBPA"), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85% of the purchasing power of their initial allowance.

PERS. Classified employees working four or more hours per day are members of the California Public Employees' Retirement System ("PERS"). PERS provides retirement and disability benefits, annual COLA's, and death benefits to plan members and beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. PERS operates a number of retirement plans including the Public Employees Retirement Fund ("PERF"). PERF is a multiple-employer defined benefit retirement plan. In addition to the State, employer participants at June 30, 2014 included 1,580 public agencies and 1,513 K-14 school districts. PERS acts as the common investment and administrative agent for the member agencies. The State and K-14 school districts (for "classified employees," which generally consist of school employees other than teachers) are required by law to participate in PERF. Employees participating in PERF generally become fully vested in their retirement benefits earned to date after five years of credited service. One of the plans operated by PERS is for K-14 school districts throughout the State (the "Schools Pool").

Contributions by employers to the Schools Pool are based upon an actuarial rate determined annually and contributions by plan members vary based upon their date of hire. The District is currently required to contribute to PERS at an actuarially determined rate, which is 15.531% of eligible salary expenditures for fiscal year 2017-18. Participants enrolled in PERS prior to January 1, 2013 contribute 7% of their respective salaries in fiscal year 2017-18, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 6.5% of their respective salaries for fiscal year 2017-18. See "—California Public Employees' Pension Reform Act of 2013" herein.

The District contributed to PERS in the amount of \$2,386,468 in fiscal year 2012-13, \$2,462,346 in fiscal year 2013-14, \$2,726,442 in fiscal year 2014-15, \$2,824,815 in fiscal year 2015-16, and \$3,424,643 (unaudited) in fiscal year 2016-17, and in each such year was equal to 100% of the required contributions. The District has budgeted a contribution of \$3,203,022 to PERS in fiscal year 2017-18.

For further information about the District's contributions to STRS and PERS, see "APPENDIX B – 2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 8" attached hereto.

State Pension Trusts. Each of STRS and PERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial reports may be obtained from each of STRS and PERS as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; (ii) PERS, P.O. Box 942703, Sacramento, California 94229-2703. Moreover, each of STRS and PERS maintains a website, as follows: (i) STRS: www.calstrs.com; (ii) PERS: www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

Both STRS and PERS have substantial statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The following table summarizes information regarding the actuarially-determined accrued liability for both STRS and PERS. Actuarial assessments are “forward-looking” information that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

FUNDED STATUS
STRS (Defined Benefit Program) and PERS
(Dollar Amounts in Millions)⁽¹⁾
Fiscal Years 2010-11 through 2015-16

		<u>STRS</u>			
<u>Fiscal Year</u>	<u>Accrued Liability</u>	Value of	Unfunded	Value of	Unfunded
		Trust Assets (MVA) ⁽²⁾	Liability (MVA) ⁽²⁾	Trust Assets (AVA) ⁽³⁾	Liability (AVA) ⁽³⁾
2010-11	\$208,405	\$147,140	\$68,365	\$143,930	\$64,475
2011-12	215,189	143,118	80,354	144,232	70,957
2012-13	222,281	157,176	74,374	148,614	73,667
2013-14	231,213	179,749	61,807	158,495	72,718
2014-15	241,753	180,633	72,626	165,553	76,200
2015-16	266,704	177,914	101,586	169,976	96,728

		<u>PERS</u>			
<u>Fiscal Year</u>	<u>Accrued Liability</u>	Value of	Unfunded	Value of	Unfunded
		Trust Assets (MVA)	Liability (MVA)	Trust Assets (AVA) ⁽³⁾	Liability (AVA) ⁽³⁾
2010-11	\$58,358	\$45,901	\$12,457	\$51,547	\$6,811
2011-12	59,439	44,854	14,585	53,791	5,648
2012-13	61,487	49,482	12,005	56,250	5,237
2013-14	65,600	56,838	8,761	-- ⁽⁴⁾	-- ⁽⁴⁾
2014-15	73,325	56,814	16,511	-- ⁽⁴⁾	-- ⁽⁴⁾
2015-16	77,544	55,785	21,759	-- ⁽⁴⁾	-- ⁽⁴⁾

⁽¹⁾ Amounts may not add due to rounding.

⁽²⁾ Reflects market value of assets, including the assets allocated to the SBPA reserve. Since the benefits provided through the SBPA are not a part of the projected benefits included in the actuarial valuations summarized above, the SBPA reserve is subtracted from the STRS Defined Benefit Program assets to arrive at the value of assets available to support benefits included in the respective actuarial valuations.

⁽³⁾ Reflects actuarial value of assets.

⁽⁴⁾ Effective for the June 30, 2014 actuarial valuation, PERS no longer uses an actuarial value of assets.

Source: PERS Schools Pool Actuarial Valuation; STRS Defined Benefit Program Actuarial Valuation.

The STRS Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the STRS Defined Benefit Program. Based on the multi-year CalSTRS Experience Analysis (spanning from July 1, 2010, through June 30, 2015), on February 1, 2017, the STRS Board adopted a new set of actuarial assumptions that reflect members' increasing life expectancies and current economic trends. These new assumptions were first reflected in the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2016 (the "2016 STRS Actuarial Valuation"). The new actuarial assumptions include, but are not limited to: (i) adopting a generational mortality methodology to reflect past improvements in life expectancies and provide a more dynamic assessment of future life spans, (ii) decreasing the investment rate of return (net of investment and administrative expenses) to 7.25% for the 2016 STRS Actuarial Valuation and 7.00% for the June 30, 2017 actuarial valuation, and (iii) decreasing the projected wage growth to 3.50% and the projected inflation rate to 2.75%. The 2016 STRS Actuarial Valuation continues using the Entry Age Normal Actuarial Cost Method.

Based on the change in actuarial assumptions adopted by the STRS Board, recent investment experience and the insufficiency of the contributions received in fiscal year 2015-16 to cover interest on the unfunded actuarial obligation, the 2016 STRS Actuarial Valuation reports that the unfunded actuarial obligation increased by \$20.5 billion since the June 30, 2015 actuarial valuation and the funded ratio decreased by 4.8% to 63.7% over such time period. Had the investment rate of return been lowered to 7.00% for the 2016 STRS Actuarial Valuation, the unfunded actuarial obligation and the funded ratio would have been \$105.1 billion and 61.8%, respectively. As a result, it is currently projected that there will be a need for higher contributions from the State, employers and members in the future to reach full funding by 2046.

According to the 2016 STRS Actuarial Valuation, the future revenues from contributions and appropriations for the STRS Defined Benefit Program are projected to be sufficient to finance its obligations, except for a small portion of the unfunded actuarial obligation related to service accrued on or after July 1, 2014 for member benefits adopted after 1990, for which AB 1469 provides no authority to the STRS Board to adjust rates to pay down that portion of the unfunded actuarial obligation. This finding reflects the scheduled contribution rate increases directed by statute, assumes additional increases in the scheduled contribution rates allowed under the current law will be made, and is based on the valuation assumptions and valuation policy adopted by the STRS Board, including a 7.00% investment rate of return assumption.

In recent years, the PERS Board of Administration (the "PERS Board") has taken several steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of its plans, including the Schools Pool.

On March 14, 2012, the PERS Board voted to lower the PERS' rate of expected price inflation and its investment rate of return (net of administrative expenses) (the "PERS Discount Rate") from 7.75% to 7.5%. On February 18, 2014, the PERS Board voted to keep the PERS Discount Rate unchanged at 7.5%. On November 17, 2015, the PERS Board approved a new funding risk mitigation policy to incrementally lower the PERS Discount Rate by establishing a mechanism whereby such rate is reduced by a minimum of 0.05% to a maximum of 0.25% in years when investment returns outperform the existing PERS Discount Rate by at least four percentage points. On December 21, 2016, the PERS Board voted to lower the PERS Discount Rate to 7.0% over a three year phase-in period in accordance with the following schedule: 7.375% in fiscal year 2017-18, 7.25% in fiscal year 2018-19 and 7.00% in fiscal year 2019-20. The new discount rate went into effect July 1, 2017 for the State and will go into effect July 1, 2018 for K-14 school districts and other public agencies. Lowering the PERS Discount Rate means employers that contract with PERS to administer their pension plans will see increases in their normal costs and unfunded actuarial liabilities. Active members hired after January 1, 2013, under the Reform Act (defined below) will also see their contribution rates rise.

Based on the Schools Pool Actuarial Valuation as of June 30, 2016 (the “2016 PERS Actuarial Valuation”), the three-year phased in reduction of the discount rate is currently projected to result in an employer contribution rate of 17.7% for fiscal year 2018-19, and annual increases thereafter, resulting in a projected 25.1% employer contribution rate by fiscal year 2024-25. Such projections contained in the 2016 PERS Actuarial Valuation assume that all other actuarial assumptions will be realized and no changes to assumptions, contributions, benefits or funding will occur during the projected period. The 2016 PERS Actuarial Valuation continues to use the Entry Age Normal Actuarial Cost Method, a 3.0% annual payroll growth (compounded annually) and a 2.75% inflation rate (compounded annually).

On April 17, 2013, the PERS Board approved new actuarial policies aimed at returning PERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented with respect the State, K-14 school districts and all other public agencies in fiscal year 2015-16.

Also, on February 20, 2014, the PERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the PERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The new actuarial assumptions were first reflected in the Schools Pool in the June 30, 2015 actuarial valuation. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State, K-14 school districts and all other public agencies.

The District can make no representations regarding the future program liabilities of STRS, or whether the District will be required to make additional contributions to STRS in the future above those amounts required under AB 1469. The District can also provide no assurances that the District’s required contributions to PERS will not increase in the future.

California Public Employees’ Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees’ Pension Reform Act of 2013 (the “Reform Act”), which makes changes to both STRS and PERS, most substantially affecting new employees hired after January 1, 2013 (the “Implementation Date”). For STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor (the age factor is the percent of final compensation to which an employee is entitled for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. Similarly, for non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among the other changes to PERS and STRS, the Reform Act also: (i) requires all new participants enrolled in PERS and STRS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires STRS and PERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (previously 12 months for STRS members who retire with 25 years of service), and (iii) caps “pensionable compensation” for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted

annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

GASB Statement Nos. 67 and 68. On June 25, 2012, GASB approved Statements Nos. 67 and 68 (the “Statements”) with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government’s balance sheet (currently, such unfunded liabilities are typically included as notes to the government’s financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014.

For the fiscal year ending June 30, 2016, the District reported net pension liabilities for STRS and PERS of \$53,859,200 and \$30,806,804, respectively. For additional information, see “APPENDIX B – 2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 8” attached hereto.

Supplemental Early Retirement Plans

The District offered a supplemental early retirement plan for classified employees (the “Classified Plan”), which is administered by the San Diego County Schools Fringe Benefit Consortium (the “FBC”). Eligibility for the Classified Plan was restricted to classified employees who retired from the District on or before December 30, 2015, who had rendered at least 10 years of regular, permanent service to the District, and who were age 50 or older on the date of retirement. The Classified Plan is a fixed annuity product designed to qualify under Section 403(b) of the Code, which will provide enrollees in the Classified Plan 75% of their annual base salary as of their date of separation, paid out over a three-year period in equal annual installments. The District will make its final installment payment to the FBC on behalf of each eligible retiree on or about January 15, 2018 in the amount of \$522,131.

The District also offered a supplemental early retirement plan for permanent academic employees and academic administrators (the “Academic Plan”). Eligibility for the Academic Plan was restricted to permanent academic employees and academic administrators who retired from the District on or before December 30, 2015, who had rendered at least 10 years of service credit in STRS, and who were age 55 or older on the date of retirement. Eligible employees and administrators elected to either receive (i) two years of STRS service credit or (ii) a fixed annuity product designed to qualify under Section 403(b) of the Code, which will provide enrollees in the Academic Plan 75% of their annual base salary as of their date of separation, paid out over a three-year period in equal annual installments. The District will make its final installment payment to the FBC on behalf of each eligible retiree on or about January 15, 2018 in the amount of \$605,121.

Post-Employment Health Care Benefits

Benefit Plan. The District provides post-employment health care benefits (the “Benefits”) for eligible retirees. The retiree must have worked for at least 10 years (administrators) to 15 years (classified/academic).

The following is a summary of the current retiree benefit plan (the “Plan”):

Benefit Types Provider	<u>Faculty</u> Medical and Dental	<u>Classified</u> Medical Only	<u>Management</u> ⁽¹⁾ Medical, Dental and Medicare Part B
Duration of Benefits	Lifetime	Lifetime	Lifetime
Required Service	15 Years	15 Years	10 Years
Minimum Age	55	50	55
Dependent Coverage	No	No	No
District Contribution %	50% (not less than \$1,000 per year)	100%	100%
District Cap	None	\$1,000 per year after age 65	\$1,000 per year after age 65 ⁽²⁾

⁽¹⁾ Educational administrators hired after 12/31/2003 are not entitled to any District-paid Benefits.

⁽²⁾ Employees hired prior to 01/01/2004 are not subject to this cap.

Source: Southwestern Community College District.

As of February 1, 2016, the date of the District’s latest actuarial study (discussed below), the District had 597 active employees not yet eligible to receive the Benefits, but who may become eligible to receive the Benefits in the future, and 271 retirees currently receiving the Benefits.

Funding Policy. The District recognizes expenditures for the Benefits on a pay-as-you-go-basis to cover the cost of the Benefits for current retirees, together with an additional amount to prefund the District’s outstanding accrued liability for the Benefits (as discussed herein). During fiscal year 2016-17, the District realized total expenditures of \$727,812 (unaudited) for the Benefits for retired employees. The District has budgeted expenditures of \$750,000 in fiscal year 2017-18 for current premiums with respect to the Benefits.

The District pre-funds its accrued liability for the Benefits through the Community College League of California’s retiree health benefit trust (the “OPEB Trust”), which is a GASB-qualifying irrevocable trust. As of August 31, 2017, the value of assets in the OPEB Trust was \$4,304,923. The District has not budgeted additional contributions to the OPEB Trust in fiscal year 2017-18.

Accrued Liability. The District has implemented *Governmental Accounting Standards Board Statement No. 45, Accounting and Financial Reporting by Employers for Postemployment Benefit Plans Other Than Pension Plans*, pursuant to which the District has commissioned and received several actuarial studies of its accrued liability with respect to the Benefits. The most recent of these studies, dated as of May 18, 2016, concluded that the District’s total actuarial accrued liability (the “AAL”) with respect to the Benefits, as of the February 1, 2016 valuation date, was \$19,539,240, and that the annual required contribution (the “ARC”) was \$1,708,492, taking into account the actuarial value of the Plan assets of \$3,299,929 at January 31, 2016. The ARC is the amount that would be necessary to fund the value of future Benefits earned by current employees during each fiscal year (the “Normal Cost”) and the amount necessary to amortize the UAAL, in accordance with the Governmental Accounting Standards Board Statements Nos. 43 and 45.

Net OPEB Obligation. As of June 30, 2016, the District recognized a net long-term balance sheet obligation of \$5,426,044 (the “Net OPEB Obligation”) with respect to the Benefits, based on its contributions towards the ARC for fiscal year 2015-16, plus interest on the prior year’s Net OPEB Obligation and minus any adjustments to reflect the amortization thereof. See also “APPENDIX B – 2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 7” attached hereto.

Risk Management

The District’s risk management activities include property and liability and worker’s compensation insurance programs. The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years. See also “APPENDIX B – 2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 9” attached hereto.

Joint Ventures (Joint Powers Agreement)

The District participates in a joint powers agreement (“JPA”) entity called the Statewide Association of Community Colleges (“SWACC”). The relationship between the District and the JPA is such that the JPA is not a component unit of the District. The JPA is governed by a board consisting of a representative from each member district.

SWACC provides liability and property insurance for approximately 51 community colleges. SWACC is governed by a board comprised of a member of each of the participating districts. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC. This entity has budgeting and financial reporting requirements independent of member units. See also “APPENDIX B – 2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 10” attached hereto.

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California Community College Budget and Accounting Manual. This manual, according to Section 84030 of the State Education Code, is to be followed by all State community college districts. GASB has released Statement No. 34, which makes changes in the annual financial statements for all governmental agencies in the United States, especially in recording of fixed assets and their depreciation, and in the way the report itself is formatted. These requirements became effective on May 15, 2002 for the District, as well as for any other governmental agency with annual revenues of between \$10 million and \$100 million. Revenues are recognized in the period in which they become both measurable and available to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

General Fund Budgeting

The table on the following page shows the District’s combined restricted and unrestricted general fund budgets for fiscal years 2012-13 through 2017-18, unaudited actual results for fiscal years 2012-13 through 2015-16, and estimated actual results for fiscal year 2016-17.

GENERAL FUND BUDGETING
Fiscal Years 2012-13 through 2017-18
Southwestern Community College District

	Fiscal Year 2012-13		Fiscal Year 2013-14		Fiscal Year 2014-15		Fiscal Year 2015-16		Fiscal Year 2016-17		Fiscal Year 2017-18
	Budgeted ⁽¹⁾	Unaudited ⁽¹⁾	Budgeted ⁽¹⁾	Unaudited ⁽¹⁾	Budgeted ⁽¹⁾	Unaudited ⁽¹⁾	Budgeted ⁽¹⁾	Unaudited ⁽¹⁾	Budgeted ⁽¹⁾	Unaudited ⁽¹⁾	Budgeted ⁽¹⁾
REVENUES:											
Federal	\$4,165,674	\$4,098,987	\$3,370,309	\$3,626,908	\$3,095,004	\$3,324,433	\$3,211,262	\$3,254,015	\$3,050,096	\$3,056,788	\$3,524,856
State	55,718,985	54,432,377	60,854,077	63,785,589	65,881,568	69,615,572	77,748,805	88,102,711	78,786,878	80,428,188	79,546,723
Local	<u>28,062,156</u>	<u>27,746,358</u>	<u>30,206,987</u>	<u>27,683,417</u>	<u>30,282,273</u>	<u>29,607,848</u>	<u>34,015,738</u>	<u>32,787,155</u>	<u>35,884,287</u>	<u>36,503,479</u>	<u>38,361,531</u>
Total Revenues	87,946,815	86,277,722	94,431,373	95,095,914	99,258,845	102,547,853	114,975,805	124,143,881	117,721,261	119,988,455	121,433,110
EXPENDITURES:											
Academic Salaries	36,244,669	36,720,897	40,029,656	40,075,554	41,731,566	44,674,453	46,251,743	46,132,096	46,437,605	45,489,970	47,095,682
Classified Salaries	23,178,695	23,071,128	24,649,909	24,482,932	26,543,723	26,549,118	28,845,936	28,931,020	29,409,619	28,963,421	30,487,654
Employee Benefits	16,550,628	15,996,501	16,246,006	16,075,391	15,712,440	16,450,485	19,820,582	21,776,799	22,914,744	22,854,184	23,047,422
Supplies and Materials	2,411,352	2,654,701	2,931,244	3,202,150	3,551,093	4,302,793	4,755,977	5,659,843	6,239,731	4,653,116	4,979,376
Other Operating Expenses and Services	10,485,872	8,374,420	9,754,072	8,086,688	10,466,098	9,811,669	11,401,134	11,142,496	13,065,627	11,080,442	12,018,705
Capital Outlay	<u>148,033</u>	<u>238,395</u>	<u>263,815</u>	<u>177,682</u>	<u>450,012</u>	<u>727,231</u>	<u>577,473</u>	<u>1,060,890</u>	<u>865,874</u>	<u>540,516</u>	<u>476,979</u>
Total Expenditures	89,019,249	87,056,042	93,874,702	92,100,397	98,454,932	102,515,749	111,652,845	114,703,144	118,933,200	113,581,649	118,105,818
Excess/(Deficiency) of Revenues over Expenditures	(1,072,434)	(778,320)	556,671	2,995,517	803,913	32,104	3,322,960	9,440,737	(1,211,939)	6,406,806	3,327,292
Other Financing Sources	--	1,000,000	--	677,681	--	664,907	--	978,459	--	--	--
Other Outgo	(1,164,680)	(706,339)	(1,158,477)	(1,412,003)	(977,211)	(1,752,998)	(4,121,327)	(7,199,951)	(1,639,352)	(5,680,397)	(4,327,292)
Net Increase/(Decrease) in Fund Balance	(2,237,114)	(484,659)	(601,806)	2,261,195	(173,298)	(1,055,987)	(798,367)	3,219,245	(2,851,291)	726,409	(1,000,000)
BEGINNING FUND BALANCE:	9,456,661	9,456,661	8,972,002	8,972,002	11,233,197	11,233,197	10,177,210	10,177,210	13,396,454	13,396,454	14,122,863
Prior Year Adjustments	--	--	--	--	--	--	--	(1)	--	--	--
Adjusted Beginning Balance	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>	<u>--</u>	<u>10,177,209</u>	<u>--</u>	<u>--</u>	<u>--</u>
ENDING FUND BALANCE, JUNE 30	<u>\$7,219,547</u>	<u>\$8,972,002</u>	<u>\$8,370,196</u>	<u>\$11,233,197</u>	<u>\$11,059,899</u>	<u>\$10,177,210</u>	<u>\$9,378,843</u>	<u>\$13,396,454</u>	<u>\$10,545,163</u>	<u>\$14,122,863</u>	<u>\$13,122,863</u>

⁽¹⁾ From the District's CCFS-311 Reports filed with the Chancellor's Office. Budgeted amounts for fiscal years 2012-13 through 2017-18 and unaudited ending results for fiscal years 2012-13 through 2016-17 in object-oriented format provided for comparison. For audited results of fiscal years 2011-12 through 2015-16 in the revised reporting format, see "-- Comparative Financial Statements" herein.
Source: Southwestern Community College District.

Comparative Financial Statements

The table below reflects the District's audited revenues, expenditures and fund balances for its governmental funds, from fiscal years 2011-12 through 2015-16. See also "APPENDIX B - 2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT" attached hereto.

AUDITED SUMMARY OF GENERAL FUND REVENUES, EXPENDITURES AND CHANGES IN NET POSITION Fiscal Years 2011-12 through 2015-16 Southwestern Community College District

	Fiscal Year <u>2011-12</u>	Fiscal Year <u>2012-13</u>	Fiscal Year <u>2013-14</u>	Fiscal Year <u>2014-15</u>	Fiscal Year <u>2015-16</u>
OPERATING REVENUES					
Tuition and Fees	\$7,624,847	\$7,038,293	\$6,618,464	\$7,002,811	\$7,342,908
Grants and Contracts, non-capital:					
Federal	6,655,089	6,413,443	5,477,683	5,178,466	5,834,338
State	1,234,889	1,548,395	1,590,596	2,368,259	2,273,091
Local	<u>1,938,114</u>	<u>1,868,027</u>	<u>1,322,455</u>	<u>1,219,850</u>	<u>1,351,284</u>
Total grants and contracts, non-capital	9,828,092	9,829,865	8,390,734	8,766,575	9,458,713
Auxiliary enterprise sales and charges, net	4,508,827	4,646,247	4,871,365	4,885,882	5,021,602
Other operating revenues	--	--	--	--	--
Total operating revenues	21,961,766	21,514,405	19,880,563	20,655,268	21,823,223
OPERATING EXPENSES					
Salaries	64,423,603	60,986,809	65,822,478	72,370,608	76,472,509
Employee benefits	16,783,146	16,662,004	17,481,599	17,860,999	21,074,822
Payments to students	25,476,716	25,190,977	28,823,764	30,755,665	32,128,134
Supplies, materials and other expenses	15,992,170	12,089,890	13,018,149	17,043,277	22,105,191
Utilities	2,151,381	2,214,721	2,331,653	2,368,010	1,927,342
Depreciation	<u>4,139,837</u>	<u>4,212,102</u>	<u>4,242,032</u>	<u>6,292,024</u>	<u>7,529,337</u>
Total operating expenses	128,966,853	121,356,503	131,719,675	146,690,583	161,237,335
Operating income (loss)	(107,005,087)	(99,842,098)	(111,839,112)	(126,035,315)	(139,414,112)
NON-OPERATING REVENUES (EXPENSES)					
Federal grants, non-capital	21,088,526	20,890,331	24,551,794	25,627,461	25,023,357
State apportionments, non-capital	53,085,435	51,586,884	63,785,588	69,615,570	85,551,740
Local property taxes, non-capital	31,294,205	34,280,422	34,838,406	37,240,019	42,826,422
State taxes and other revenues	2,588,412	2,858,098	--	--	--
Investment income, non-capital	852,372	570,061	558,205	489,794	1,318,252
Interest expense	(11,975,146)	(11,927,357)	(11,668,870)	(11,561,005)	(13,377,760)
Impairment loss	--	(3,749,922)	--	--	--
Other non-operating revenue (expenses)	<u>4,716,573</u>	<u>3,823,402</u>	<u>4,990,408</u>	<u>5,405,380</u>	<u>4,466,495</u>
Total non-operating revenues (expenses)	101,650,377	98,331,919	117,055,531	126,817,219	145,808,506
Changes in net position	(5,354,710)	(1,510,179)	5,216,419	781,904	6,394,394
NET POSITION					
Beginning of Year	<u>69,726,216</u>	<u>64,371,506</u>	<u>60,513,900⁽¹⁾</u>	<u>(18,344,151)⁽²⁾</u>	<u>(17,562,247)</u>
End Of Year	<u>\$64,371,506</u>	<u>\$62,861,327</u>	<u>\$65,730,319</u>	<u>\$(17,562,247)</u>	<u>\$(11,167,853)</u>

⁽¹⁾ Net beginning position, as restated. The District implemented GASB Statement No. 65, effectively decreasing the net position as of July 1, 2013 by \$2,347,427. The decrease results from recognizing the balance of bond issuance costs in fiscal year 2012-13, which are now to be recognized as an expense.

⁽²⁾ Net beginning position, as restated. The District implemented GASB Statement No. 68, effectively decreasing the net position as of July 1, 2014 by \$84,074,470. The decrease results from recognizing the net pension liability, net of deferred outflows of resources.

Source: Southwestern Community College District.

Educational Foundation

The Southwestern College Foundation (the “Foundation”) is a not-for-profit public benefit corporation organized under Section 501(c)(3) of the Code. The Foundation was established in 1982 to support the District and its students, specifically by providing scholarships to students and contributing directly to the District. Under GASB rules, the Foundation is a component unit of the District for financial reporting purposes. As of June 30, 2017, the Foundation had net assets valued at \$1.2 million (unaudited). The Foundation contributed \$271,088 to the District in fiscal year 2016-17 (unaudited) and the District has budgeted a contribution of \$311,718 in fiscal year 2017-18.

District Debt Structure

Short-Term Debt. The District currently has no outstanding short-term debt.

Long-Term Debt. The District’s general long-term debt, as of June 30, 2016, consisted of the following:

SUMMARY OF LONG-TERM DEBT As of June 30, 2016 Southwestern Community College District

	Balance July 1, 2015	Additions	Reductions	Balance June 30, 2016
Bonds payable:				
Lease Revenue Bonds	\$1,070,000	--	\$(90,000)	\$980,000
GO Bond 2004	12,993,974	--	--	12,993,974
GO Bond 2005, Refunding Series B	16,390,001	--	(4,705,000)	11,685,001
GO Bond 2008, Series A	7,795,000	--	(550,000)	7,245,000
GO Bond 2008, Series B	89,775,000	--	--	89,775,000
GO Bond 2008, Series C	66,370,371	--	(100,000)	66,270,371
GO Bond 2008, Series D	--	\$121,649,325	--	121,649,325
GO Bond 2015, Refunding	27,045,000	--	(420,000)	26,625,000
Unamortized premiums	<u>7,444,454</u>	<u>8,387,579</u>	<u>(1,242,449)</u>	<u>14,589,584</u>
Total bonds payable	228,883,800	130,036,904	(7,107,449)	351,813,255
Payable to County ⁽¹⁾	--	3,387,900	(1,129,300)	2,258,600
Compensated absences	<u>3,182,791</u>	<u>2,719,887</u>	<u>(2,703,769)</u>	<u>3,198,909</u>
Total	<u>\$232,066,591</u>	<u>\$136,144,691</u>	<u>\$(10,940,518)</u>	<u>\$357,270,764</u>

⁽¹⁾ Represents the supplemental early retirement plans described under “- Supplemental Early Retirement Plans” herein.

Source: Southwestern Community College District.

Lease Revenue Bonds. Pursuant to the Marks-Roos Local Bond Pooling Act of 1985, consisting of Article 4 of Chapter 5 of Division 7 of Title 1 of the Government Code of California (commencing with Section 6584), the California Community College Financing Authority (the “Authority”) has previously issued its Lease Revenue Refunding Bonds, Series 2010B (the “Lease Revenue Bonds”) on behalf of the District and two other community college districts. The initial principal amount attributable to the District was \$1,410,000. The Lease Revenue Bonds are payable from lease payments to be made by the District pursuant to a lease/purchase agreement by and between the District and the Authority. The District’s total future annual lease payment obligations with respect to the outstanding Lease Revenue Bonds are as shown in the following table.

Year Ending (October 1)	Principal Component	Interest Component	Total
2018	\$100,000.00	\$28,143.76	\$128,143.76
2019	100,000.00	25,143.76	125,143.76
2020	105,000.00	22,143.76	127,143.76
2021	115,000.00	17,943.76	132,943.76
2022	115,000.00	13,918.76	128,918.76
2023	<u>260,000.00</u>	<u>9,750.00</u>	<u>269,750.00</u>
Total	<u>\$795,000.00</u>	<u>\$117,043.80</u>	<u>\$912,043.80</u>

Source: Southwestern Community College District.

General Obligation Bonds. The District received authorization at an election held on November 7, 2000 by the requisite two-thirds of the votes cast by eligible voters within the District to issue \$89,354,000 aggregate principal amount of general obligation bonds (the “2000 Authorization”). On May 22, 2001, the District issued its General Obligation Bonds, Election of 2000, Series 2001 in the aggregate principal amount of \$40,000,000 (the “2000 Series 2001 Bonds”). On October 13, 2004, the District issued its General Obligation Bonds, Election of 2000 Series 2004 in the aggregate principal amount of \$49,353,974.05 (the “2000 Series 2004 Bonds”). On February 17, 2005, the District issued its 2005 General Obligation Refunding Bonds in the aggregate principal amount of \$40,575,000 (the “2005 Refunding Bonds”) in order to refund all of the then-outstanding 2000 Series 2001 Bonds. On August 4, 2005, the District issued its 2005 General Obligation Refunding Bonds, Series B in the aggregate principal amount of \$37,456,116.40 (the “2005 Refunding Bonds, Series B”) in order to refund a portion of the then-outstanding 2000 Series 2004 Bonds. On May 5, 2015, the District issued its 2015 General Obligation Refunding Bonds in the aggregate principal amount of \$27,045,000 (the “2015 Refunding Bonds”) in order to refund a portion of the then-outstanding 2005 Refunding Bonds. There is no remaining useable 2000 Authorization.

The District received authorization at an election held on November 4, 2008 by the requisite fifty-five percent of the votes cast by eligible voters within the District to issue \$389,000,000 aggregate principal amount of general obligation bonds (the “2008 Authorization”). On November 5, 2009, the District issued its Election of 2008 General Obligation Bonds, Series A (Tax Exempt) in the aggregate principal amount of \$10,225,000 (the “2008 Series A Bonds”). Concurrently with the issuance of the 2008 Series A Bonds, the District issued its Election of 2008 General Obligation Bonds, Series B (Build America Bonds – Direct Payment to District) (Federally Taxable) in the aggregate principal amount of \$89,775,000 (the “2008 Series B Bonds”). On June 16, 2011, the District issued its Election of 2008 General Obligation Bonds, Series C in the aggregate principal amount of \$68,730,371.35 (the “2008 Series C Bonds”). On July 7, 2015, the District issued its Election of 2008 General Obligation Bonds, Series D in the aggregate principal amount of \$121,649,331 (the “2008 Series D Bonds”). Currently, \$98,620,297.65 of the 2008 Authorization remains unissued. On September 7, 2016, the District issued its 2016 General Obligation Refunding Bonds, Series A in the aggregate principal amount of \$3,400,000 (the “2016 Refunding Bonds, Series A”) to refund a portion of the then-outstanding 2008 Series A Bonds.

Concurrently with the issuance of the 2016 Refunding Bonds, Series A, the District issued its 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) in the aggregate principal amount of \$84,335,000 (the “2016 Refunding Bonds, Series B”) to refund, on a crossover basis, the District’s outstanding 2008 Series B Bonds.

The 2016 Authorization was approved by eligible voters within the District at an election held on November 8, 2016, at which the requisite 55% or more of the persons voting on the proposition voted to authorize the issuance and sale of \$400,000,000 principal amount of general obligation bonds of the District. The Bonds are the first series of bonds issued under the 2016 Authorization, and following the issuance thereof, \$260,000,000 of the 2016 Authorization will remain unissued.

The table on the following page shows the annual debt service requirements for all of the District’s outstanding general obligation bonded debt.

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SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
General Obligation Bonds – Consolidated Debt Service Schedule

Year Ending (August 1)	2000 Series 2004 Bonds	2005 Refunding Bonds, Series B	2008 Series A Bonds	2008 Series B Bonds ⁽¹⁾⁽²⁾	2008 Series C Bonds	2015 Refunding Bonds	2008 Series D Bonds	2016 Refunding Bonds, Series A	2016 Refunding Bonds, Series B ⁽³⁾	The Bonds	Total Debt Service
2018	--	\$489,412.50	\$1,215,625.00	\$6,401,727.00	\$3,157,662.50	\$3,173,600.00	\$3,832,050.00	\$102,000.00	\$3,391,100.00	\$15,754,191.79	\$37,517,368.79
2019	--	--	1,360,950.00	6,401,727.00	3,238,862.50	3,282,000.00	3,693,000.00	102,000.00	3,391,100.00	18,445,543.76	39,915,183.26
2020	--	--	--	6,401,727.00	3,321,862.50	3,400,500.00	4,003,000.00	1,702,000.00	3,391,100.00	15,351,543.76	37,571,733.26
2021	--	--	--	6,401,727.00	3,404,612.50	3,527,500.00	4,333,000.00	1,854,000.00	3,391,100.00	4,129,943.76	27,041,883.26
2022	--	--	--	8,396,727.00	3,491,862.50	3,652,000.00	4,688,000.00	--	5,296,100.00	4,129,943.76	29,654,633.26
2023	--	--	--	8,521,042.00	3,578,112.50	3,783,500.00	5,058,000.00	--	5,464,900.00	4,289,943.76	30,695,498.26
2024	\$3,910,000.00	--	--	8,629,607.00	3,668,112.50	3,921,000.00	5,458,000.00	--	5,618,900.00	4,460,143.76	35,665,763.26
2025	4,175,000.00	--	--	8,742,422.00	3,761,362.50	4,063,500.00	5,873,000.00	--	5,788,300.00	4,641,743.76	37,045,328.26
2026	9,050,000.00	--	--	8,850,277.50	3,847,362.50	--	6,313,000.00	--	5,967,100.00	4,825,243.76	38,852,983.76
2027	9,510,000.00	--	--	8,951,386.50	3,946,112.50	--	6,773,000.00	--	6,144,500.00	5,018,243.76	40,343,242.76
2028	9,985,000.00	--	--	9,044,679.50	4,046,612.50	--	7,263,000.00	--	6,322,750.00	5,219,743.76	41,881,785.76
2029	5,805,000.00	--	--	9,139,087.00	4,148,362.50	--	7,773,000.00	--	6,509,000.00	5,428,743.76	38,803,193.26
2030	--	--	--	9,227,826.50	4,250,862.50	--	8,318,000.00	--	6,697,000.00	5,644,243.76	34,137,932.76
2031	--	--	--	9,314,472.00	4,358,612.50	--	8,883,000.00	--	6,897,250.00	5,870,243.76	35,323,578.26
2032	--	--	--	9,392,241.00	4,470,225.00	--	9,483,000.00	--	7,097,600.00	6,106,443.76	36,549,509.76
2033	--	--	--	9,464,412.50	4,579,762.50	--	10,113,000.00	--	7,302,800.00	6,349,843.76	37,809,818.76
2034	--	--	--	9,528,687.50	4,691,700.00	--	10,783,000.00	--	7,511,800.00	6,604,643.76	39,119,831.26
2035	--	--	--	9,588,258.50	4,810,250.00	--	11,478,000.00	--	7,728,800.00	6,869,843.76	40,475,152.26
2036	--	--	--	9,640,956.50	4,929,362.50	--	12,213,000.00	--	7,952,800.00	7,144,543.76	41,880,662.76
2037	--	--	--	9,679,612.50	5,053,250.00	--	12,988,000.00	--	8,172,800.00	7,428,943.76	43,322,606.26
2038	--	--	--	9,717,419.00	5,225,500.00	--	13,748,000.00	--	8,413,200.00	7,725,743.76	44,829,862.76
2039	--	--	--	9,736,484.00	5,484,500.00	--	14,478,000.00	--	8,642,400.00	8,033,743.76	46,375,127.76
2040	--	--	--	--	15,507,277.10	--	15,233,000.00	--	--	8,356,743.76	39,097,020.86
2041	--	--	--	--	15,895,000.00	--	16,151,000.00	--	--	8,689,400.00	40,735,400.00
2042	--	--	--	--	16,289,283.60	--	17,119,250.00	--	--	9,035,400.00	42,443,933.60
2043	--	--	--	--	16,697,710.33	--	18,131,500.00	--	--	9,397,400.00	44,226,610.33
2044	--	--	--	--	17,115,837.69	--	19,141,500.00	--	--	9,773,800.00	46,031,137.69
2045	--	--	--	--	17,541,095.15	--	--	--	--	10,168,000.00	27,709,095.15
2046	--	--	--	--	17,980,000.00	--	--	--	--	10,573,200.00	28,553,200.00
2047	--	--	--	--	--	--	--	--	--	10,992,800.00	10,992,800.00
Total	<u>\$42,435,000.00</u>	<u>\$489,412.50</u>	<u>\$2,576,575.00</u>	<u>\$191,172,506.50</u>	<u>\$208,491,128.87</u>	<u>\$28,803,600.00</u>	<u>\$263,321,300.00</u>	<u>\$3,760,000.00</u>	<u>\$137,092,400.00</u>	<u>\$236,459,954.51</u>	<u>\$1,114,601,877.38</u>

⁽¹⁾ Includes debt service on the 2008 Series B Bonds expected to be refunded by the 2016 Refunding Bonds, Series B on August 1, 2019 (the “Crossover Date”). Prior to the Crossover Date, the 2008 Series B Bonds to be refunded will continue to be an obligation of the District payable solely from *ad valorem* property taxes.

⁽²⁾ The 2008 Series B Bonds are designated as “Build America Bonds” pursuant to an irrevocable election by the District to have Section 54AA and Section 54AA(g) of Internal Revenue Code of 1986, as amended apply thereto. The District expects to receive a cash subsidy payment from the United States Department of the Treasury equal to 35% of the interest payable on such bonds on or about each semi-annual interest payment date (each a “BAB Subsidy Payment”). This table reflects gross debt service payments with respect to the 2008 Series B Bonds and does not reflect the anticipated receipt of the BAB Subsidy Payments. The BAB Subsidy Payments are subject to reduction (the “Sequestration Reduction”) pursuant to the federal Balanced Budget and Emergency Deficit Control Act of 1985, as amended, which currently includes provisions reducing the BAB Subsidy Payments by 6.6% through the end of the current federal fiscal year (September 30, 2018). In the absence of action by the United States Congress, the rate of the Sequestration Reduction is subject to change in the following federal fiscal year. The District cannot predict whether or how subsequent sequestration actions may affect BAB Subsidy Payments currently scheduled for receipt in future federal fiscal years. However, notwithstanding any such reduction, the County Board of Supervisors is empowered and obligated to levy *ad valorem* property taxes in an amount sufficient to pay the principal of and interest on the 2008 Series B Bonds.

⁽³⁾ Includes debt service on the 2016 Refunding Bonds, Series B prior to the Crossover Date, payable solely from proceeds thereof on deposit in an escrow fund established therefor. From and after the Crossover Date, debt service on the 2016 Refunding Bonds, Series B is payable solely from *ad valorem* property taxes.

Source: Southwestern Community College District.

TAX MATTERS

In the opinion of Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. Bond Counsel notes that, with respect to corporations, interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income which may affect the alternative minimum tax liability of corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State personal income tax.

The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of the Bond is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State personal income tax.

Bond Counsel's opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS THERE MIGHT BE FEDERAL, STATE, OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY INTERPRETATIONS OF FEDERAL, STATE, OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE, OR LOCAL TAX TREATMENT OF THE BONDS OR THE MARKET VALUE OF THE BONDS. TAX REFORM PROPOSALS ARE BEING CONSIDERED BY CONGRESS. IT IS POSSIBLE THAT LEGISLATIVE CHANGES MIGHT BE INTRODUCED IN CONGRESS, WHICH, IF ENACTED, WOULD RESULT IN ADDITIONAL FEDERAL INCOME OR STATE TAX BEING IMPOSED ON OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS, SUCH AS THE BONDS. THE INTRODUCTION OR ENACTMENT OF ANY OF SUCH CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT, SUBSEQUENT TO THE ISSUANCE OF THE BONDS SUCH CHANGES (OR OTHER CHANGES) WILL NOT BE INTRODUCED OR ENACTED OR INTERPRETATIONS WILL NOT OCCUR. BEFORE PURCHASING ANY OF THE BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) on the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

A copy of the proposed form of opinion of Bond Counsel for the Bonds is attached hereto as APPENDIX A.

LIMITATION ON REMEDIES; BANKRUPTCY

General. State law contains certain safeguards to protect the financial solvency of community college districts. See "FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA" herein. If the safeguards are not successful in preventing a community college district from becoming insolvent, the State Chancellor and the Board of Governors, operating through a special trustee appointed by the State Chancellor, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the "Bankruptcy Code") on behalf of the community college district for the adjustment of its debts. In addition, an insolvent community college district may be able to file a petition under Chapter 9 before a special trustee is appointed. Prior to such petition, if any, the community college district is required to participate in a neutral evaluation process with interested parties as provided in the Government Code or declare a fiscal emergency and adopt a resolution by a majority vote of the governing board that includes findings that the financial state of the community college district

jeopardizes the health, safety, or well-being of the residents of its jurisdiction or service area absent the protections of Chapter 9.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, the automatic stay provisions of Bankruptcy Code Sections 362 and 922 generally would prohibit creditors from taking any action to collect amounts due from the District or to enforce any obligation of the District related to such amounts due, without consent of the District or authorization of the bankruptcy court (although such stays would not operate to block creditor application of pledged special revenues to payment of indebtedness secured by such revenues). In addition, as part of its plan of adjustment in a Chapter 9 bankruptcy case, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds and other transaction documents related to the Bonds, as long as the bankruptcy court determines that the alterations are fair and equitable. There also may be other possible effects of a bankruptcy of the District that could result in delays or reductions in payments on the Bonds. Moreover, regardless of any specific adverse determinations in any District bankruptcy proceeding, the fact of a District bankruptcy proceeding could have an adverse effect on the liquidity and market price of the Bonds.

Statutory Lien. Pursuant to Government Code Section 53515, the Bonds are secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax, and such lien automatically arises, without the need for any action or authorization by the District or the Board, and is valid and binding from the time the Bonds are executed and delivered. See “THE BONDS – Security and Sources of Payment” herein. Although a statutory lien would not be automatically terminated by the filing of a Chapter 9 bankruptcy petition by the District, the automatic stay provisions of the Bankruptcy Code would apply and payments that become due and owing on the Bonds during the pendency of the Chapter 9 proceeding could be delayed, unless the Bonds are determined to be secured by a pledge of “special revenues” within the meaning of the Bankruptcy Code and the pledged *ad valorem* taxes are applied to pay the Bonds in a manner consistent with the Bankruptcy Code.

Special Revenues. If the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, then the application in a manner consistent with the Bankruptcy Code of the pledged *ad valorem* revenues should not be subject to the automatic stay. “Special revenues” are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. State law prohibits the use of the tax proceeds for any purpose other than payment of the Bonds and the bond proceeds can only be used to fund the acquisition or improvement of real property and other capital expenditures included in the proposition, so such tax revenues appear to fit the definition of special revenues. However, there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* tax revenues collected for the payments of bonds in California, so no assurance can be given that a bankruptcy court would not hold otherwise.

Possession of Tax Revenues; Remedies. The County on behalf of the District is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the Treasury Pool, as described in “THE BONDS – Application and Investment of Bond Proceeds” herein and “APPENDIX E – SAN DIEGO COUNTY INVESTMENT POOL” attached hereto. If the County goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the County does not voluntarily pay such tax revenues to the owners of the Bonds, it is not entirely clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such

procedures to be completed, or whether such procedures would ultimately be successful. Further, should those investments suffer any losses, there may be delays or reductions in payments on the Bonds.

Opinion of Bond Counsel Qualified by Reference to Bankruptcy, Insolvency and Other Laws Relating to or Affecting Creditor's Rights. The proposed form of the approving opinion of Bond Counsel attached hereto as Appendix A is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights. Bankruptcy proceedings, if initiated, could subject the owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

LEGAL MATTERS

Continuing Disclosure

Current Undertaking. In connection with the issuance of the Bonds, the District has covenanted for the benefit of Owners of the Bonds (including the Beneficial Owners of the Bonds) to provide certain financial information and operating data relating to the District (the "Annual Report") by not later than nine months following the end of the District's fiscal year (the District's fiscal year ends on June 30), commencing with the report for the 2016-17 fiscal year, and to provide notices of the occurrence of certain listed events. The Annual Report and the notices of listed events will be filed in accordance with the requirements of the Rule. The specific nature of the information to be made available and to be contained in the notices of material events is described in the form of Continuing Disclosure Certificate attached hereto as APPENDIX C. These covenants have been made in order to assist the Underwriters in complying with the Rule.

Previous Undertakings. Within in the past five years, the District filed its annual report for fiscal year 2012-13 approximately two months late. In connection with such annual report, the District failed to timely file a notice of a failure to provide annual financial information, on or before the date specified in its prior continuing disclosure undertakings. In addition, within the past five years, the District has failed to file notices of certain listed events in a timely manner as required by its prior continuing disclosure undertakings. The District has retained KNN Public Finance, LLC as its dissemination agent to assist it in preparing and filing the annual reports and notices of listed events required under its existing continuing disclosure obligations, as well as the undertaking entered into in connection with the Bonds.

The District elected to participate in the Municipalities Continuing Disclosure Cooperation ("MCDC") initiative of the Securities and Exchange Commission (the "SEC"). The MCDC is a program allowing issuers and Underwriters to voluntarily report issuances of municipal obligations where the official statement or other offering document therefor may have made misstatements about compliance with the issuer's or other obligated person's continuing disclosure obligations. The District is not aware of an underwriting firm filing a report under MCDC with respect to the District's prior official statements, yet it chose to self-report for statements made in the Official Statement for the 2008 Series C Bonds. On April 3, 2017, the District received a notice from the SEC stating that the SEC had concluded its review of the District's submission pursuant to MCDC, and that the SEC did not, as of such date, intend to recommend an enforcement action by the SEC against the District. The notice further stated that the notice "must in no way be construed as indicating that the party has been exonerated or that no action may ultimately result from the staff's investigation."

Legality for Investment in California

Under provisions of the State Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and under provisions of the State Government Code, are eligible for security for deposits of public moneys in the State.

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* property taxes to collect other revenues or contesting the District's ability to issue and retire the Bonds.

Information Reporting Requirements

On May 17, 2006, the President signed the Tax Increase Prevention and Reconciliation Act of 2005 (the "TIPRA"). Under Section 6049 of the Code, as amended by TIPRA, interest paid on tax-exempt obligations is subject to information reporting in a manner similar to interest paid on taxable obligations. The purpose of this change was to assist in relevant information gathering for the IRS relating to other applicable tax provisions. TIPRA provides that backup withholding may apply to such interest payments made after March 31, 2007 to any bondholder who fails to file an accurate Form W-9 or who meets certain other criteria. The information reporting and backup withholding requirements of TIPRA do not affect the excludability of such interest from gross income for federal income tax purposes.

Legal Opinion

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, as Bond Counsel. A copy of the proposed form of such legal opinion is attached to this Official Statement as APPENDIX A.

Financial Statements

The District's audited financial statements with required supplemental information for the year ended June 30, 2016, the independent auditor's report of the District, and the related statements of activities and of cash flows for the year then ended, and the report dated December 21, 2016 of The Pun Group LLP (the "Auditor"), are included in this Official Statement as APPENDIX B. In connection with the inclusion of the financial statements and the report of the Auditor thereon in APPENDIX B to this Official Statement, the District did not request the Auditor to, and the Auditor has not undertaken to, update its report or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to the date of its report.

RATINGS

Moody's and S&P have assigned ratings of "Aa2" and "AA-," respectively, to the Bonds. Such ratings reflect only the views of such organizations and any desired explanation of the significance of such ratings should be obtained from the rating agencies, at the following addresses: Moody's Investors Service, 7 World Trade Center at 250 Greenwich, New York, New York 10007 and Standard & Poor's,

55 Water Street, New York, New York 10041. Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies. There is no assurance such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by the respective rating agency, if in the judgment of such rating agency, circumstances so warrant. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price for the Bonds.

The District has covenanted in a Continuing Disclosure Certificate to file on The Electronic Municipal Market Access (“EMMA”) website operated by the Municipal Securities Rulemaking Board notices of any ratings changes on the Bonds. See “LEGAL MATTERS - Continuing Disclosure” herein and “APPENDIX C - FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. Notwithstanding such covenant, information relating to ratings changes on the Bonds may be publicly available from the rating agencies prior to such information being provided to the District and prior to the date the District is obligated to file a notice of rating change on EMMA. Purchasers of the Bonds are directed to the rating agencies and their respective websites and official media outlets for the most current ratings changes with respect to the Bonds after the initial issuance of the Bonds.

UNDERWRITING

The Bonds are being purchased by Piper Jaffray & Co., Citigroup Global Markets Inc., and Samuel A. Ramirez & Co., Inc., as the underwriters (the “Underwriters”). The Underwriters have agreed to purchase the Bonds at a price of \$149,901,376.95 (reflecting the initial principal amount of the Bonds of \$140,000,000.00, plus net original issue premium of \$10,216,376.95, and less the Underwriters’ discount of \$315,000.00). The Purchase Contract for the Bonds provides that the Underwriters will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in said Purchase Contract, the approval of certain legal matters by counsel and certain other conditions.

The Underwriters may offer and sell Bonds to certain dealers and others at prices lower than such initial offering prices stated on the inside cover page hereof. The offering prices may be changed from time to time by the Underwriters.

Underwriters Disclosures

Piper Jaffray & Co., one of the Underwriters of the Bonds, has entered into a distribution agreement with Charles Schwab & Co., Inc. (“CS&Co.”) for the retail distribution of certain securities offerings at the original issue prices. Pursuant to the agreement, CS&Co. will purchase the Bonds from Piper Jaffray & Co. at the original issue price less a negotiated portion of the selling concession applicable to any Bonds that CS&Co. sells.

ADDITIONAL INFORMATION

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the Resolution providing for issuance of the Bonds, and the constitutional provisions, statutes and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions.

Some of the data contained herein has been taken or constructed from District records. Appropriate District officials, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading. This Official Statement has been approved by the District.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended only as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners, beneficial or otherwise, of any of the Bonds.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

By /s/ Timothy Flood
Vice President for
Business and Financial Affairs

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APPENDIX A

FORM OF OPINION OF BOND COUNSEL

Upon issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, proposes to render its final approving opinion with respect to the Bonds in substantially the following form:

November 30, 2017

Governing Board
Southwestern Community College District

Members of the Governing Board:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$140,000,000 Southwestern Community College District (San Diego County, California) Election of 2016 General Obligation Bonds, Series A (the "Bonds"). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the "Act"), commencing with Section 53506 *et seq.*, a fifty-five percent vote of the qualified electors of the Southwestern Community College District (the "District") voting at an election held on November 8, 2016, and a resolution adopted by the Governing Board of the District on October 10, 2017 (the "Resolution").
2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* property taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the federal income tax liability of such corporations.
4. Interest on the Bonds is exempt from State of California personal income tax.
5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bondowner will increase the Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of

the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases, and to the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

Stradling Yocca Carlson & Rauth

APPENDIX B

2015-16 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT

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Southwestern Community College District

Chula Vista, California

**Basic Financial Statements, Single Audit,
State Compliance and Other Supplementary
Information with Independent Auditors' Reports**

For the Year Ended June 30, 2016

Southwestern Community College District

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Southwestern Community College District

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Southwestern Community College District

Introductory Section

Southwestern Community College District is located in Chula Vista, San Diego County. The District presently operates one primary campus in Chula Vista with extension sites in Otay Mesa, San Ysidro and National City. There have been no changes in the District's boundaries during the current year.

The Governing Board for the fiscal year ended June 30, 2016 was composed of the following members:

<u>Member</u>	<u>Office</u>	<u>Term Expires</u>
Norma L. Hernandez	President	November 2018
Nora E. Vargas	Vice President	November 2018
Griselda Delgado	Board Member	November 2016
Tim Nader	Board Member	November 2018
Humberto Peraza, Jr.	Board Member	November 2016
Melissa Rodriguez	Student Board Member	May 2016

The Executive and Senior Administration for the fiscal year ended June 30, 2016 was composed of the following members:

<u>Member</u>	<u>Office</u>
Melinda Nish, Ed.D.	Superintendent/President
Timothy Flood	Vice-President for Business & Financial Affairs
Karl Sparks	Interim Vice-President, Human Resources
Kathy Tyner	Vice-President for Academic Affairs
Angelica Suarez, Ph.D.	Vice-President for Student Affairs

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INDEPENDENT AUDITORS' REPORT

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Financial Statements

We have audited the accompanying financial statements of the business-type activities, the fiduciary funds, and the aggregate discretely presented component units of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Southwestern College Foundation (the "Foundation"), which represents 100%, 100%, and 100%, respectively, of the assets, net position, and revenues of the aggregate discretely presented component unit. Those financial statements were audited by other auditors, whose report dated December 5, 2016 has been furnished to us, and our opinion on the basic financial statements of the District, insofar as it relates to the Foundation, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of other auditors, the basic financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities and the fiduciary funds of the District, as of June 30, 2016, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis and Schedules of Changes in Proportionate Share of the Net Pension Liability – CalSTRS and CalPERS, Schedules of Contributions – CalSTRS and CalPERS, and Schedule of Funding Progress for Other Post Employment Benefits Plan on pages 5 through 9 and page 61, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements as a whole. The accompanying Introductory Section, Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Government-Wide Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Government-Wide Statement of Activities and Changes in Net Position, and Other Supplementary Information as listed in the foregoing table of contents are presented for purpose of additional analysis and are not a required part of the basic financial statements.

The Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Government-Wide Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Government-Wide Statement of Activities and Changes in Net Position are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Our audit was performed for the purpose of forming an opinion on the basic financial statements of the District, taken as a whole. The accompanying Introductory Section, Purpose of Schedule, Schedule of Workload Measures for State General Apportionment and Annual Actual Attendance, Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements, Reconciliation of the 50% Calculation with District Accounting Records, Reconciliation of Education Protection Account Expenditures with District Accounting Records, Schedule of Expenditures of State Awards, and Budget Comparison Schedule – General Fund are not a required part of the basic financial statements but are supplementary information required by the State of California Department of Education. This other supplementary information is the responsibility of management. We have applied certain limited procedures, which consisted principally of inquiries of management regarding the methods of measurement and presentation of the Introductory Section and Other Supplementary Information. However, we did not audit the information and express no opinion on these schedules.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 21, 2016, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

The PwC Group, LLP

San Diego, California
December 21, 2016

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Southwestern Community College District

Management's Discussion and Analysis

For the Year Ended June 30, 2016

This section of the Southwestern Community College District's (District) financial statements presents the analysis of the District's financial performance during the fiscal year that ended on June 30, 2016. Please read it in conjunction with the financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- Ending General Fund-Unrestricted fund balance at June 30, 2016 was \$11.6 million or 11.7% of General Fund-Unrestricted expenses.
- Funded full time equivalent students (FTES) were 15,410 in Fiscal Year (FY) 2016 and 15,428 in FY 2015. There were no unfunded FTES in either year.
- Budgeted FTES in FY 2017 are 15,410. The District decided to utilize stabilization in FY 2016 to avoid the loss of State funding and to achieve the FY 2017 FTES target of 15,410. Stabilization provides the District time to fully achieve increases in efficiencies as a result of enrollment management efforts. Stabilization allowed the District to move FY 2016 summer FTES to FY 2017.
- Due primarily to one time State funding, the General Fund-Unrestricted revenue excess for twelve month period ending June 30, 2016 was \$3,219,243 compared to an adopted budgeted deficit of \$1,001,367.
- Proposition R (Prop R) Bond Fund expenses during the year were \$22.8 million with an ending cash balance of \$177.3 million at June 30, 2016. Note #13 to the audit report as a subsequent event indicates the Proposition R Series A and Series B bonds were advanced refunded totaling \$87,735,000.
- The District issued \$121.6 million Proposition R General Obligation Bonds Series D in August 2015.
- The District implemented in FY 2015 Government Accounting Standards Board statement #68, Accounting and Financial Reporting for Pensions (GASB 68) which requires the District to report and disclose its liability to California Public Employees' Retirement System (CalPERS) and California State Teachers' Retirement System (CalSTRS). As a result, as disclosed in the Notes to these financial statements, and in the Statement of Activities and Changes in Net Position, the District's net position increased \$6.4 million to a net deficit of \$11.2 million from a net deficit of \$17.6 million at June 30, 2015.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Basic Financial Statements consist of the following four components:

- Management's Discussion and Analysis;
- Financial statements including the Statement of Net Position, Statement of Activities and Changes in Net Position, Statement of Cash Flows, Statement of Fiduciary Net Position and Statement of Changes in Fiduciary Net Position;
- Notes to the financial statements; and
- Supplementary information which includes the reconciliation of Annual Financial and Budget Report (CCFS-311) with the District accounting system and the Schedule of Workload Measures for State General Apportionment.

Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2016

The **Statement of Net Position** presents the assets, deferred outflows of resources, liabilities, deferred inflows of resources, and net position of the District as of the end of the fiscal year using the accrual basis of accounting, which is similar to the accounting basis used by most private-sector institutions. Net position, the difference between assets and deferred outflows of resources and liabilities and deferred inflows of resources, is one way to measure the financial health of the District. The data allows its readers to determine the assets available to continue the operations of the District. The net position of the District consists of three major categories. The *Net Investment in Capital Assets* category represents the District's equity in property, plant, and equipment net of related debt. *Restricted Net Position* is restricted by use constraints placed on it by outside parties such as agreements, laws, regulations of creditors, other governments or as imposed by laws through constitutional provisions or enabling legislation. *Unrestricted Net Position* is the final category. The District can use unrestricted net position for any lawful purpose. Although unrestricted by third parties, the District's Governing Board may place internal restrictions on this net position, but it retains the power to modify or remove such restrictions.

The District's Statement of Net Position is presented in the table below:

Table 1
Statements of Net Position

	June 30, 2016	June 30, 2015	Changes	
Current assets	\$ 36,702,974	\$ 33,513,151	\$ 3,189,823	9.5%
Noncurrent assets	424,295,116	291,128,710	133,166,406	45.7%
Total assets	460,998,090	324,641,861	136,356,229	42.0%
Deferred outflows of resources	15,453,809	6,403,923	9,049,886	141.3%
Current liabilities	39,007,350	29,087,016	9,920,334	34.1%
Long-term liabilities	434,848,512	297,997,504	136,851,008	45.9%
Total liabilities	473,855,862	327,084,520	146,771,342	44.9%
Deferred inflows of resources	13,763,890	21,523,511	(7,759,621)	-36.1%
Net position:				
Net investment in capital assets	40,230,609	47,169,374	(6,938,765)	-14.7%
Restricted	24,827,126	15,075,536	9,751,590	64.7%
Unrestricted	(76,225,588)	(79,807,157)	3,581,569	-4.5%
Total net position	\$ (11,167,853)	\$ (17,562,247)	\$ 6,394,394	-36.4%

The **Statement of Activities and Changes in Net Position** presents the operating results of the District. The purpose of the statement is to present the revenues received by the District, both operating and non-operating, and the expenses paid by the District, operating and non-operating, and any other revenues, expenses, gains and losses received or spent by the District.

Changes in total net position on the Statement of Net Position are based on the activity presented in the Statement of Activities and Changes in Net Position. Generally speaking, operating revenues are received for providing goods and services to the various customers and constituencies of the District. Operating expenses are those expenses paid to acquire or produce the goods and services provided in return for the operating revenues and to carry out the mission of the District. Non-operating revenues are revenues received for which goods and services are not provided. For example, state appropriations are non-operating revenue because they are provided by the legislature to the institution without the legislature directly receiving commensurate goods and services for those revenues.

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2016**

The District's Statement of Activities and Changes in Net Position is presented in the table below:

**Table 2
Changes in Net Position**

	June 30, 2016	June 30, 2015	Change	
Operating revenues	\$ 21,823,223	\$ 20,655,268	\$ 1,167,955	5.7%
Operating expenses	(153,707,998)	(140,398,559)	(13,309,439)	9.5%
Deficit before depreciation and Nonoperating income and expenses	(131,884,775)	(119,743,291)	(12,141,484)	10.1%
Depreciation	(7,529,337)	(6,292,024)	(1,237,313)	19.7%
Non-operating income and expenses, net	145,808,506	126,817,219	18,991,287	15.0%
Increase (decrease) in net position	\$ 6,394,394	\$ 781,904	\$ 5,612,490	717.8%

The **Statement of Cash Flows** provides additional information about the District's financial results by reporting the major sources and uses of cash. This information assists readers in assessing the District's ability to generate revenue, meet its obligations as they come due and evaluate its need for external financing. The statement is divided into several parts. The first part deals with operating cash flows and shows the net cash used by the operating activities of the District. The second section reflects cash flows from non-capital financing activities and shows the sources and uses of those funds. The third section deals with cash flows from capital and related financing activities. This section deals with the cash used for the acquisition and construction of capital and related items. The fourth section deals with cash flows from investing activities. This section reflects the cash received and spent for short-term investments and any interest paid or received on those investments.

The District's Statement of Cash Flows is presented in the table below:

**Table 3
Statement of Cash Flows**

	June 30, 2016	June 30, 2015
Cash provided by (used in):		
Operating activities	\$ (125,787,207)	\$ (117,962,234)
Non-capital financing activities	157,868,014	137,888,430
Capital and related financing activities	87,291,779	(49,671,779)
Investing activities	1,318,252	489,794
Net change in cash and cash equivalents	120,690,838	(29,255,789)
Cash balance, beginning of year	117,862,986	147,118,775
Cash balance, end of year	\$ 238,553,824	\$ 117,862,986

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2016**

CAPITAL ASSETS

The following table summarizes the District's capital assets, net of accumulated depreciation, and changes therein, for the year ended June 30, 2016. These changes are presented in detail in Note 4 to the financial statements.

**Table 4
Capital Assets Net of Accumulated Depreciation**

	June 30, 2016	June 30, 2015	Change	
Land	\$ 9,703,148	\$ 9,703,148	\$ -	0.0%
Buildings	128,430,311	131,977,795	(3,547,484)	-2.7%
Improvements	47,053,465	47,337,518	(284,053)	-0.6%
Equipment	1,162,466	1,297,693	(135,227)	-10.4%
Construction in progress	30,077,085	10,310,168	19,766,917	191.7%
Net capital assets	<u>\$ 216,426,475</u>	<u>\$ 200,626,322</u>	<u>\$ 15,800,153</u>	<u>7.9%</u>

LONG TERM DEBT

The following table summarizes the District's long term debt and changes therein for the year ended June 30, 2016. Changes in long term debt are presented in detail in Note 6 to the financial statements.

**Table 5
Summary of Long-Term Debt**

	June 30, 2016	June 30, 2015	Change	
Bonds Payable:				
Lease Revenue	\$ 980,000	\$ 1,070,000	\$ (90,000)	-8.4%
GO Bond, Series 2004	12,993,974	12,993,974	-	0.0%
GO Bond, Series 2005 Refunding Series B	11,685,001	16,390,001	(4,705,000)	-28.7%
Prop R - Series A	7,245,000	7,795,000	(550,000)	-7.1%
Prop R - Series B	89,775,000	89,775,000	-	0.0%
Prop R - Series C	66,270,371	66,370,371	(100,000)	-0.2%
Prop R - Series D	121,649,325	-	121,649,325	100.0%
GO Bond, Series 2015, Refunding	26,625,000	27,045,000	(420,000)	-1.6%
Unamortized premiums	14,589,584	7,444,454	7,145,130	96.0%
	<u>\$ 351,813,255</u>	<u>\$ 228,883,800</u>	<u>\$ 122,929,455</u>	<u>53.7%</u>

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2016**

ECONOMIC FACTORS AND 2016-17 BUDGET

The major economic factors that have an effect on the District's financial condition are directly related to the overall economy of the State of California and any future legislation that may impact the funding of community colleges.

The District's FY 2016-2017 Adopted Budget (unrestricted general fund) includes revenue and expense projections based on the best information available to date. The Adopted Budget also includes sufficient reserves for the District's stability and security, including a Governing Board reserve of 7%.

The District's unrestricted general fund revenue budget for FY 2016-2017 is \$92.9 million consisting of California State principal apportionment (including faculty hiring allocation and Proposition 30 Educational Protection Act) of \$56.9 million, property taxes of \$25.4 million, enrollment fees of \$4.1 million, and \$6.5 million in other revenue including lottery proceeds of \$2.2 million, one-time additional state funding of \$1.4 million and non-resident tuition

of \$1.2 million. Unrestricted budgeted expenses of \$95.8 million exceed budgeted revenue by \$2.9 million. The Governing Board has approved the budget with this excess of expenses over revenue as the District implements strategies to eliminate the operating deficit, including the delaying, and in some cases, suspending the filling of open personnel positions resulting from a successful supplemental early retirement plan (SERP) that was offered in the fall of 2015, and reducing certain hourly payroll and supply budgets.

The District's FY 2016-2017 General Fund unrestricted budgeted expenses of \$95.8 million decreased by \$2.8 million from prior year adopted budget due primarily to a reduction in other outgo and transfers. Proposition R Bond funds that are separate from the General Fund have an expense budget of \$100.2 million. The total District-wide expense budget for all funds in FY 2016-2017 is \$236 million.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report was designed to provide a general overview of the District's finances for all those interested. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the Vice President of Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista CA 91910.

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BASIC FINANCIAL STATEMENTS

Southwestern Community College District
Statement of Net Position
June 30, 2016

	Primary Government District	Component Unit Foundation
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 30,685,183	\$ 144,421
Investments	26,796	834,702
Accounts receivable	4,924,613	-
Inventories	963,338	-
Prepaid items	49,372	13,407
Due from fiduciary funds	53,672	-
Total current assets	<u>36,702,974</u>	<u>992,530</u>
Noncurrent assets:		
Restricted cash and investments	207,868,641	-
Capital assets, net	216,426,475	-
Total noncurrent assets	<u>424,295,116</u>	<u>-</u>
Total assets	<u>460,998,090</u>	<u>992,530</u>
DEFERRED OUTFLOWS OF RESOURCES		
Pension-related deferred outflows	15,453,809	-
Total deferred outflows of resources	<u>15,453,809</u>	<u>-</u>

Southwestern Community College District
Statement of Net Position (Continued)
June 30, 2016

	Primary Government District	Component Unit Foundation
LIABILITIES		
Liabilities:		
Current liabilities:		
Accounts payable and accrued liabilities	9,762,219	2,424
Interest payable	6,520,931	-
Payroll and related liabilities	4,092,904	-
Unearned revenue	6,086,996	5,500
Due to fiduciary funds	30,000	-
Payable to County - due within one year	1,129,300	-
Compensated absences - due within one year	1,000,000	-
Bonds payable - due within one year	10,385,000	-
Total current liabilities	39,007,350	7,924
Noncurrent liabilities:		
Payable to County - due in more than one year	1,129,300	-
Compensated absences - due in more than one year	2,198,909	-
Net OPEB obligations - due in more than one year	5,426,044	-
Aggregate net pension liability - due in more than one year	84,666,004	-
Bonds payable - due in more than one year	341,428,255	-
Total noncurrent liabilities	434,848,512	-
Total liabilities	473,855,862	7,924
DEFERRED INFLOWS OF RESOURCES		
Pension-related deferred inflows	12,105,997	-
Deferred amounts on refunding	1,657,893	-
Total deferred inflows of resources	13,763,890	-
Net Position:		
Net investment in capital assets	40,230,609	-
Restricted for:		
Special projects	-	745,418
Debt service	24,827,126	-
Total restricted	24,827,126	745,418
Unrestricted (deficit)	(76,225,588)	239,188
Total net position	<u>\$ (11,167,853)</u>	<u>\$ 984,606</u>

Southwestern Community College District
Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2016

	Primary Government District	Component Unit Foundation
OPERATING REVENUES:		
Tuition and fees	\$ 7,342,908	\$ -
Grants and contracts, non-capital:		
Federal	5,834,338	-
State	2,273,091	-
Local	1,351,284	-
Total grants and contracts, non-capital	9,458,713	-
Auxiliary enterprise sales and charges, net	5,021,602	-
Other operating revenues	-	150,150
Total operating revenues	21,823,223	150,150
OPERATING EXPENSES:		
Salaries	76,472,509	-
Employee benefits	21,074,822	-
Payments to students	32,128,134	89,993
Supplies, materials, and other expenses	22,105,191	50,819
Utilities	1,927,342	-
Depreciation	7,529,337	-
Total operating expenses	161,237,335	140,812
Operating income (loss)	(139,414,112)	9,338
NONOPERATING REVENUE (EXPENSES):		
Federal grants, non-capital	25,023,357	-
State apportionments, non-capital	85,551,740	-
Local property taxes, non-capital	42,826,422	-
Investment income (loss), non-capital	1,318,252	(10,132)
Interest expense	(13,377,760)	-
Other nonoperating revenues (expenses)	4,466,495	-
Total nonoperating revenues (expenses), net	145,808,506	(10,132)
Changes in net position	6,394,394	(794)
NET POSITION (DEFICIT):		
Beginning of year	(17,562,247)	985,400
End of year	\$ (11,167,853)	\$ 984,606

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Southwestern Community College District
Statement of Cash Flows
For the Year Ended June 30, 2016

	Primary Government District	Component Unit Foundation
CASH FLOWS FROM OPERATING ACTIVITIES:		
Tuition and fees	\$ 7,992,467	\$ -
Grants and contracts	9,458,713	-
Payments for supplies and services	(19,474,117)	(59,914)
Payments for utilities	(1,927,342)	-
Payments to/on behalf of employees	(94,698,808)	-
Payments to students	(32,128,134)	(89,993)
Auxiliary enterprise sales and charges	5,021,602	-
Other operating revenues and expenses	(31,588)	153,150
Net cash provided by (used in) operating activities	<u>(125,787,207)</u>	<u>3,243</u>
CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES:		
Federal Pell grants	25,023,357	-
State apportionments	85,551,740	-
Local property taxes	42,826,422	-
Other	4,466,495	-
Net cash provided by (used in) noncapital financing activities	<u>157,868,014</u>	<u>-</u>
CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES:		
Acquisition of capital assets	(23,341,204)	-
Disposition of capital assets	11,714	-
Proceeds from bond issuance	130,036,904	-
Costs of bond issuance	(791,597)	-
Principal paid on bonds	(5,865,000)	-
Payment of interest and fees	(12,759,038)	-
Net cash (used in) capital financing activities	<u>87,291,779</u>	<u>-</u>
CASH FLOWS FROM INVESTING ACTIVITIES:		
Sale of investments	-	75,774
Interest and investment proceeds	1,318,252	(25,209)
Cash provided by (used in) investing activities	<u>1,318,252</u>	<u>50,565</u>
Net increase (decrease) in cash and equivalents	120,690,838	53,808
CASH AND CASH EQUIVALENTS		
Beginning of year	117,862,986	90,613
End of year	<u>\$ 238,553,824</u>	<u>\$ 144,421</u>
RECONCILIATION OF CASH AND CASH EQUIVALENTS TO STATEMENTS OF NET POSITION:		
Cash and cash equivalents	\$ 30,685,183	\$ 144,421
Restricted cash and investments	207,868,641	-
Total cash and cash equivalents	<u>\$ 238,553,824</u>	<u>\$ 144,421</u>

See accompanying Notes to the Basic Financial Statements.

Southwestern Community College District
Statement of Cash Flows (Continued)
For the Year Ended June 30, 2016

	Primary Government District	Component Unit Foundation
RECONCILIATION OF NET OPERATING REVENUES (EXPENSES)		
TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES:		
Operating income (loss)	\$ (139,414,112)	\$ 9,338
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Depreciation	7,529,337	-
Change in assets and liabilities:		
Receivables	39,884	582
Inventories	122,708	-
Prepaid items	9,527	(10,907)
Due from fiduciary funds	(37,357)	-
Pension related deferred outflows	(9,049,886)	-
Accounts payable and accrued liabilities	2,498,839	1,230
Payroll and related liabilities	1,421,388	-
Unearned revenue	609,675	3,000
Due to fiduciary funds	5,769	-
Aggregate net pension liability	14,087,643	-
Pension related deferred inflows	(7,593,832)	-
Net OPEB obligations	1,708,492	-
Payable to County	2,258,600	-
Compensated absences	16,118	-
Net cash provided by (used in) operating activities	\$ (125,787,207)	\$ 3,243
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION:		
Noncash Capital and Related Financing Activities:		
Amortization of deferred amount on bond refunding	\$ 165,789	\$ -
Amortization of bond premiums	(1,242,449)	-
Total noncash capital and related financing activities	\$ (1,242,449)	\$ -

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FIDUCIARY FUND FINANCIAL STATEMENTS

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Southwestern Community College District
Statement of Fiduciary Net Position
June 30, 2016

	Associated Student Trusts	Student Service Trust Funds	Total
ASSETS			
Current assets:			
Cash and investments	\$ 840,213	\$ 1,307,029	\$ 2,147,242
Accounts receivable	11,885	4,652	16,537
Due from District	30,000	-	30,000
Other assets	55,318	-	55,318
Total assets	<u>937,416</u>	<u>1,311,681</u>	<u>2,249,097</u>
LIABILITIES AND NET POSITION			
Liabilities:			
Accounts payable and accrued liabilities	-	1,281,323	1,281,323
Due to District	35,265	18,407	53,672
Unearned revenue	16,736	-	16,736
Deposits payable	107,846	-	107,846
Total liabilities	<u>159,847</u>	<u>1,299,730</u>	<u>1,459,577</u>
Net Position:			
Unrestricted	<u>777,569</u>	<u>11,951</u>	<u>789,520</u>
Total net position	<u><u>\$ 777,569</u></u>	<u><u>\$ 11,951</u></u>	<u><u>\$ 789,520</u></u>

Southwestern Community College District
Statement of Changes in Fiduciary Net Position
For the Year Ended June 30, 2016

	Associated Student Trusts	Student Service Trust Funds	Total
OPERATING REVENUES:			
Student fees	\$ 287,299	\$ -	\$ 287,299
Other revenues	1,714	26,428	28,142
Total operating revenues	<u>289,013</u>	<u>26,428</u>	<u>315,441</u>
OPERATING EXPENSES:			
Salaries and benefits	101,487	-	101,487
Payments to students	48,600	-	48,600
Supplies, materials, and other expenses	164,313	18,449	182,762
Total operating expenses	<u>314,400</u>	<u>18,449</u>	<u>332,849</u>
Operating income (loss)	<u>(25,387)</u>	<u>7,979</u>	<u>(17,408)</u>
TRANSFERS:			
Transfers from District	-	-	-
Total transfers	<u>-</u>	<u>-</u>	<u>-</u>
Changes in net position	(25,387)	7,979	(17,408)
NET POSITION:			
Beginning of year	802,956	3,972	806,928
End of year	<u><u>\$ 777,569</u></u>	<u><u>\$ 11,951</u></u>	<u><u>\$ 789,520</u></u>

NOTES TO THE BASIC FINANCIAL STATEMENTS

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Southwestern Community College District
Notes to the Basic Financial Statements
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies

A. Reporting Entity

Southwestern Community College District (the “District”) is a political subdivision of the State of California and provides higher educational services in the County of San Diego, State of California. The District is classified as a state instrumentality under Internal Revenue Code Section 115 and is also classified as a charitable organization under Internal Revenue Code 501(c)(3) and is, therefore, exempt from federal and state income taxes.

The financial reporting entity consists of the District, organizations for which the District is financially accountable, and any other organization for which the nature and significance of their relationship with the District is such that exclusion would cause the reporting entity’s financial statements to be misleading or incomplete. The following criteria regarding financial accountability were considered by the District in its evaluation of District organizations and activities for the year ended June 30, 2016:

- Financial interdependency - the District receives financial support or provides financial benefit to the organization, is responsible for or has directly or indirectly guaranteed the organization's debts.
- Authoritative appointment of governing authority - the District's Board of Trustees appoints the organization's governing authority and maintains a significant continuing relationship with the governing authority pertaining to the functions of the organization.

The District determined that the following organization is a discretely presented component unit:

The Southwestern College Foundation

The Southwestern College Foundation (Foundation) is a California not-for-profit public benefit corporation organized and incorporated in 1982. The Foundation was established for the purpose of receiving and distributing contributed funds to promote the general welfare of the Southwestern Community College District.

B. Basis of Accounting and Measurement Focus

The accounts of the District are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for in a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues, expenditures or expenses, as appropriate. Government resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled.

For financial reporting purposes, the District is considered a special-purpose government engaged only in business-type activities. The basic financial statements include a Statement of Net Position, Statement of Activities and Change in Net Position, and Statement of Cash Flows. Fiduciary activities are reported separately.

The basic financial statements are presented on an “*economic resources*” measurement focus and the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned while expenses are recognized when the liability is incurred. Property taxes are recognized in the year in which they are levied.

Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

The Statement of Net Position reports separate sections for deferred outflows of resources and deferred inflows of resources, when applicable.

Deferred Outflows of Resources represent outflows of resources (consumption of net position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of net position) that apply to future periods and that, therefore, are not recognized as revenue until that time.

C. Cash, Cash Equivalents, and Investments

The District pools its available cash for investment purposes. The District considers pooled cash and investment amounts with original maturities of three months or less to be cash equivalents.

Highly liquid market investments with maturities of one year or less at time of purchase are stated at amortized cost. All other investments are stated at fair value. Market value is used as fair value for those securities for which market quotations are readily available.

The District adheres to certain disclosure requirements, if applicable for deposit and investment risks, which are specified for the following areas:

- Interest Rate Risk
- Credit Risk
 - ◆ Overall
 - ◆ Custodial Credit Risk
 - ◆ Concentration of Credit Risk
- Foreign Currency Risk

D. Restricted Cash, Cash Equivalents and Investments

Cash that is externally restricted for contractual obligations such as debt service payments, sinking or reserve funds, or to purchase or construct capital or other non-current assets is classified as a non-current asset in the statement of net assets.

E. Fair Value Measurement

In accordance with GASB Statement No. 72, *Fair Value Measurement and Application*, defines fair value, establishes a framework for measuring fair value and establishes disclosures about fair value measurement. Investments, unless otherwise specified, recorded at fair value in the Statements of Net Position, are categorized based upon the level of judgment associated with the inputs used to measure their fair value. Levels of inputs are as follows:

Level 1 – Inputs are unadjusted, quoted prices for identical assets and liabilities in active markets at the measurement date.

Level 2 – Inputs, other than quoted prices included in Level 1, which are observable for the asset or liability through corroboration with market data at the measurement date.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies (Continued)

E. Fair Value Measurement (Continued)

Level 3 – Unobservable inputs that reflect management’s best estimate of what market participants would use in pricing the asset or liability at the measurement date.

F. Accounts Receivable

Accounts receivable consist of amounts due from the Federal, State and local governments or private resources, in connection with reimbursement of allowable expenditures made pursuant to the District’s grants and contracts. Accounts receivable are recorded net of estimated uncollectible amounts. There were no significant receivables, which are not scheduled for collection within one year of year-end.

G. Inventories

Inventories are stated at the lower of cost or market using the first-in, first-out method. The cost is expensed at the time individual inventory items are withdrawn from the stores inventory for consumption.

H. Bond Discounts, Premiums, and Refunding Losses

Bond discounts, premiums, and refunding losses are amortized over the life of the bond using the straight-line method. Bonds payable are reported net of applicable discount or premium. Issuance costs, with the exception of prepaid bond insurance, are expensed immediately.

I. Compensated Absences

Accrued compensated absences benefits are recorded as liabilities as vested and earned, but not taken. Employees are allowed to carry over a limited number of vacation days from year to year. The District has no commitment for accumulated sick leave and no liability is recorded.

J. Capital Assets

Capital assets, which include site and site improvements, buildings, equipment and infrastructure assets (e.g. roads, parking lots, sidewalks, and similar items), are defined by the District as assets with an initial cost of \$5,000 or more and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair value at the date of donation.

Costs for assets that do not meet the capitalization threshold of \$5,000 and costs for routine maintenance and repairs that do not add to the value of the asset or materially extend assets’ lives are expensed as incurred. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Depreciation of capital assets is computed using a half-year convention on a straight line basis over the estimated useful life of the asset as follows:

<u>Asset</u>	<u>Years</u>
Site improvements	35-60
Buildings	50
Equipment/Vehicles	5-6
Technology equipment	3

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies (Continued)

J. Capital Assets (Continued)

Interest accrued during capital assets construction, if any, is capitalized as part of the asset cost.

K. Net Position

Net Investment in Capital Assets – This component of net position consists of capital assets net of accumulated depreciation, reduced by the outstanding balances of debt that are attributable to the acquisition, construction, or improvement of those assets

Restricted – This component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets.

Unrestricted – This component of net position is the amount of the assets, deferred outflows of resources, liabilities, and deferred inflows of resources that are not included in the determination of investment in capital assets or the restricted component of net position.

L. Unearned Revenue

Unearned revenues include amounts received for tuition and fees and certain auxiliary activities prior to the end of the fiscal year but that are to be earned in the subsequent accounting period. Unearned revenues also include amounts received from grant and contract sponsors that have not yet been earned.

M. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the plans and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans (Note 8). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

The following timeframes are used for pension reporting:

<u>CalPERS</u>	
Valuation date	June 30, 2014
Measurement date	June 30, 2015
Measurement period	July 1, 2014 to June 30, 2015
<u>CalSTRS</u>	
Valuation date	June 30, 2014
Measurement date	June 30, 2015
Measurement period	July 1, 2014 to June 30, 2015

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies (Continued)

M. Pensions (Continued)

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over 5. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

N. Property Taxes

The County of San Diego (County) bills and collects property taxes on behalf of numerous special districts and incorporated cities, including the District. The District's collections of current year's taxes are received through periodic apportionments from the County. The County's tax calendar is from July 1 to June 30. Property taxes attach as a lien on property on March 1. Taxes are levied on July 1 and are payable in two equal installments on November 15 and March 15, and become delinquent after December 10 and April 10, respectively.

Since the passage of California's Proposition 13, beginning with Fiscal Year 1978-79, general property taxes are based either on a flat 1% rate applied to the 1975-76 full value of the property or on 1% of the sales price of any property sold or the cost of any new construction after the 1975-76 valuation.

Taxable values of properties (exclusive of increases related to sales and new construction) can rise at a maximum of 2% per year.

This Proposition 13 limitation on general property taxes does not apply to taxes levied to pay the debt service on any indebtedness approved by the voters prior to June 6, 1978 (the date of the passage of Proposition 13).

Property tax revenue is recognized in the fiscal year for which the taxes have been levied based on actual and estimated receipts. Adjustments to estimates are made at the time of final apportionment for the applicable fiscal year.

O. On-Behalf Payments

GASB Statement No. 24 requires that direct on-behalf payments for fringe benefits and salaries made by one entity to a third party recipient for the employees of another, legally separate entity be recognized as revenue and expenditures by the employer government.

The State of California makes direct on-behalf payments for retirement benefits to the State Teachers Retirement System (STRS) on behalf of all community college districts in California. The District recorded \$2,550,972 of revenues and expenditures for on-behalf payments in 2016.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies (Continued)

P. Classification of Revenues

The District has classified its revenues as either operating or non-operating. Certain significant revenue streams relied upon for operations are recorded as non-operating revenues including state appropriations, local property taxes and investment income.

Revenues are classified according to the following criteria:

Operating Revenues

Operating revenues include activities that have the characteristics of exchange transactions, such as (1) student tuition and fees, net of scholarship discounts and allowances, (2) sales and services of auxiliary enterprises, net of scholarship discounts and allowances, (3) most federal, state and local grants and contracts and federal appropriations, and (4) interest on institutional student loans.

Non-operating Revenues

Non-operating revenues include activities that have the characteristics of non-exchange transactions, such as gifts and contributions, and other revenue sources as described in GASB Statement No. 34, such as state appropriations, state and local property taxes and investment income.

Q. Scholarship Discounts and Allowances

Student tuition and fee revenues and certain other revenues from students are reported net of scholarship discounts and allowances in the statement of revenues, expenses, and changes in net assets. Scholarship discounts and allowances are the difference between the stated charge for goods and services provided by the District and the amount that is paid by students and/or third parties making payments on the students' behalf. Certain governmental grants, such as Pell Grants, and other federal, state or non-governmental programs are recorded as non-operating revenues in the District's financial statements.

R. Use of Estimates

The preparation of its basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and revenues and expenses in the basic financial statements and the accompanying notes. Actual results could differ from those estimates. Management believes that the estimates are reasonable.

S. Accounting Changes

In February 2015, The Governmental Accounting Standards Board issued Statement No. 72, *Fair Value Measurement and Application*. This pronouncement provides guidance for determining fair value measurement for financial reporting purposes and provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements. Governments are required to use valuation techniques that are appropriate under the circumstances and for which sufficient data is available to measure fair value. Required disclosures include the level of fair value hierarchy and valuation techniques and should be organized by type of asset or liability. This pronouncement is effective for financial statements for periods beginning after June 15, 2015. Earlier application is encouraged. This pronouncement did not have a material effect on the financial statements of the District.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 1 – Summary of Significant Accounting Policies (Continued)

S. Accounting Changes (Continued)

In June 2015, GASB issued Statement No. 73, *Accounting and Financial Reporting for Pension and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68*. This statement establishes requirements for those pensions and pension plans that are not administered through a trust meeting specified criteria (those not covered by GASB Statements 67 and 68). Application of this statement is effective for the District's fiscal year ending June 30, 2016, except those provisions that address employers and governmental nonemployer contributing entities that are not within the scope of GASB Statement 68, which are effective for financial statements for fiscal year ending June 30, 2017. This pronouncement did not have a material effect on the financial statements of the District.

In June 2015, GASB issued Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. This statement reduces the generally accepted accounting principles (GAAP) hierarchy to two categories of authoritative GAAP from the four categories under GASB Statement No. 55, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. The first category of authoritative GAAP consists of GASB Statements of Governmental Accounting Standards. The second category comprises GASB Technical Bulletins and Implementation Guides, as well as guidance from the American Institute of Certified Public Accountants that is cleared by the GASB. Application of this statement is effective for the District's fiscal year ending June 30, 2016. This pronouncement did not have a material effect on the financial statements of the District.

In December 2015, GASB issued Statement No. 79, *Certain External Investment Pools and Pool Participants*. This statement establishes standards relating to accounting and financial reporting for certain investment pools and pool participants. This statement became effective for periods beginning after June 15, 2015, except for certain provisions on portfolio quality, custodial credit risk, and shadow pricing. Those provisions are effective for reporting periods beginning after December 15, 2015. This statement did not have a significant impact on the District's financial statements for the year ended June 30, 2016.

Note 2 – Cash and Investments

The following is a summary of cash and investments at June 30, 2016:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents	\$ 30,685,183	\$ 2,147,242	\$ 144,421	\$ 32,976,846
Restricted cash and cash equivalents	207,868,641	-	-	207,868,641
Total cash and cash equivalents	238,553,824	2,147,242	144,421	240,845,487
Investments	26,796	-	834,702	861,498
Total investments	26,796	-	834,702	861,498
Total cash and investments	\$ 238,580,620	\$ 2,147,242	\$ 979,123	\$ 241,706,985

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 2 – Cash and Investments (Continued)

Cash, cash equivalents, and investments consisted of the following at June 30, 2016:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents:				
Cash on hand	\$ 74,778	\$ 1,850	\$ -	\$ 76,628
Cash in bank accounts	3,064,977	2,145,392	144,421	5,354,790
Cash in County treasury	235,413,889	-	-	235,413,889
Total cash and cash equivalents	238,553,644	2,147,242	144,421	240,845,307
Investments:				
U.S. Government securities	-	-	-	-
Certificates of deposit	26,976	-	-	26,976
Equity securities	-	-	457,379	457,379
Mutual funds	-	-	377,323	377,323
Total investments	26,976	-	834,702	861,678
Total cash and investments	\$ 238,580,620	\$ 2,147,242	\$ 979,123	\$ 241,706,985

San Diego County Investment Pool

As provided for by Education Code §41001, a significant portion of the District's cash balances are deposited with the County Treasurer to enhance interest earnings through County investment activities. In accordance §53601 and §53602 of the California Government Code, the County may invest in the following types of investments:

- Local bonds or notes
- Securities of the U.S. Government or its agencies
- Registered State warrants or treasury notes or bonds of the State
- Small Business Administration loans
- Negotiable Certificates of Deposit
- Bankers Acceptances
- Commercial Paper (Prime Quality)
- Local Agency Investment Fund (State Pool) Deposits
- Passbook Savings Account Demand Deposits
- Medium-term notes (remaining maturity of five years or less; rated "A" or better)
- Repurchase agreements or reverse repurchase agreements
- Mortgage pass-through securities

The District is a participant in the San Diego County Treasury Pool (County Pool) which is regulated under the oversight of the Treasurer of the County of San Diego. The fair value of the District's investment in the County Pool is reported in the accompanying financial statements based upon the District's pro-rata share of the fair value provided by the County Pool for the entire portfolio. The balance available for withdrawal is based on the accounting records maintained by the Pool. Included in the County Pool's investment portfolio are collateralized and negotiable certificates of deposit, floating rate securities issued by federal agencies and corporations, money market funds, repurchase agreements and commercial paper.

At June 30, 2016, the District had \$235,413,889 invested in the San Diego County Investment Pool.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 2 – Cash and Investments (Continued)

Restricted Cash and Investments

As of June 30, 2016, the District had restricted cash and investments totaling \$207,868,641. This amount is restricted to be used for acquisition, construction, renovation, repair, and modernization of certain District property and facilities and to refund or advance refund certain obligations of the District.

Fair Value Measurement

As of June 30, 2016, the District's investments had the following recurring fair value measurements:

Investment Type	Level 1	Level 2	Total
Certificates of deposit	\$ -	\$ 26,796	\$ 26,796

As of June 30, 2016, the Foundation's investments had the following recurring fair value measurements:

Investment Type	Level 1	Level 2	Total
Mutual Funds	\$ -	\$ 377,323	\$ 377,323
Equities	457,379	-	457,379
Total	<u>\$ 457,379</u>	<u>\$ 377,323</u>	<u>\$ 834,702</u>

Disclosures Relating to Interest Rate Risk

Interest rate risk is the risk that a change in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment is, the greater the sensitivity its fair value will be to changes in market interest rates. None of the District's investments are highly sensitive to interest rate fluctuation.

Disclosures Relating to Credit Risk

The District's investments are rated by the nationally recognized statistical rating organizations as follows:

	Business-Type Activities Fair Value	Foundation Fair Value	Moody's	Standard & Poor's
Mutual Funds	\$ -	\$ 377,323	A2	A
Equities	-	457,379	Not Rated	Not Rated
Certificates of deposit	26,796	-	Not Rated	Not Rated
	<u>\$ 26,796</u>	<u>\$ 834,702</u>		

Disclosures Relating to Concentration of Credit Risk

The investment policy limits the percentage of the portfolio that can be invested in certain types of investments. The District is in compliance with the investment policy with respect to investment type percentages for the total portfolio.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 2 – Cash and Investments (Continued)

Disclosures Relating to Custodial Credit Risk

The custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the broker or dealer to a transaction, a government will not be able to recover the value of its investments or collateral securities that are in the possession of another party.

The California Government Code requires California banks and savings and loan associations to secure the District's cash deposits by pledging securities as collateral. This Code states that collateral pledged in this manner shall have the effect of perfecting a security interest in such collateral superior to those of a general creditor. Thus, collateral for cash deposits is considered to be held in the District's name.

The market value of pledged securities must equal at least 110% of the District's cash deposits. California law also allows institutions to secure District deposits by pledging first trust deed mortgage notes having a value of 150% of the District's total cash deposits. The District may waive collateral requirements for cash deposits which are fully insured up to \$250,000 by the Federal Deposit Insurance Corporation. The District, however, has not waived the collateralization requirements.

Note 3 – Accounts Receivable

The following is a summary of receivables at June 30, 2016:

	Business-type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Grants:				
Federal	\$ 1,326,203	\$ -	\$ -	\$ 1,326,203
State	713,132	-	-	713,132
Local	1,860,155	-	-	1,860,155
Total grants	<u>3,899,490</u>	<u>-</u>	<u>-</u>	<u>3,899,490</u>
State Apportionments	135,278	-	-	135,278
Lottery Apportionments	753,333	-	-	753,333
Other	136,512	16,537	-	153,049
Total	<u><u>\$ 4,924,613</u></u>	<u><u>\$ 16,537</u></u>	<u><u>\$ -</u></u>	<u><u>\$ 4,941,150</u></u>

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 4 – Capital Assets

The following summarizes the changes in the various capital asset categories for the year ended June 30, 2016:

	Balance July 1, 2015	Additions	Deletions	Transfers	Balance June 30, 2016
Nondepreciable:					
Land	\$ 9,703,148	\$ -	\$ -	\$ -	\$ 9,703,148
Construction in progress	10,310,168	22,848,023	-	(3,081,106)	30,077,085
Total nondepreciable	20,013,316	22,848,023	-	(3,081,106)	39,780,233
Depreciable:					
Site improvements	60,644,985	134,240	-	3,081,106	63,860,331
Buildings	164,281,769	-	-	-	164,281,769
Equipment	6,341,807	358,941	(390,958)	-	6,309,790
Total depreciable, at cost	231,268,561	493,181	(390,958)	3,081,106	234,451,890
Less accumulated depreciation:					
Site improvements	(13,307,467)	(3,499,399)	-	-	(16,806,866)
Buildings	(32,303,974)	(3,547,484)	-	-	(35,851,458)
Equipment	(5,044,114)	(482,454)	379,244	-	(5,147,324)
Total accumulated depreciation	(50,655,555)	(7,529,337)	379,244	-	(57,805,648)
Total depreciable, net	180,613,006	(7,036,156)	(11,714)	3,081,106	176,646,242
Total capital assets, net	\$ 200,626,322	\$ 15,811,867	\$ (11,714)	\$ -	\$ 216,426,475

Depreciation expense for capital assets for the year ended June 30, 2016 was \$7,529,337.

Note 5 – Unearned Revenue

Unearned revenue consists of grant monies, student fees, and other revenues that have been received as of June 30, 2016 for the subsequent 2016-2017 year. As of June 30, 2016, the District's unearned revenue balance consists of the following:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Federal sources	\$ 1,192,043	\$ -	\$ -	\$ 1,192,043
State sources	4,005,454	-	-	4,005,454
Enrollment fees	678,614	-	-	678,614
Other local sources	210,885	16,736	5,500	233,121
	\$ 6,086,996	\$ 16,736	\$ 5,500	\$ 6,109,232

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 6 – Long-Term Debt

The following is a summary of the changes in long-term debt for the year ended June 30, 2016:

	Balance July 1, 2015	Additions	Reductions	Balance June 30, 2016	Due Within One Year	Due In More Than One Year
Bonds payable:						
Lease Revenue Bonds	\$ 1,070,000	\$ -	\$ (90,000)	\$ 980,000	\$ 90,000	\$ 890,000
GO Bond 2004	12,993,974	-	-	12,993,974	-	12,993,974
GO Bond 2005, Refunding Series B	16,390,001	-	(4,705,000)	11,685,001	5,290,000	6,395,001
GO Bond 2008, Series A	7,795,000	-	(550,000)	7,245,000	715,000	6,530,000
GO Bond 2008, Series B	89,775,000	-	-	89,775,000	-	89,775,000
GO Bond 2008, Series C	66,370,371	-	(100,000)	66,270,371	175,000	66,095,371
GO Bond 2008, Series D	-	121,649,325	-	121,649,325	2,420,000	119,229,325
GO Bond 2015, Refunding	27,045,000	-	(420,000)	26,625,000	1,695,000	24,930,000
Unamortized premiums	7,444,454	8,387,579	(1,242,449)	14,589,584	-	14,589,584
Total bonds payable	228,883,800	130,036,904	(7,107,449)	351,813,255	10,385,000	341,428,255
Payable to County	-	3,387,900	(1,129,300)	2,258,600	1,129,300	1,129,300
Compensated absences	3,182,791	2,719,887	(2,703,769)	3,198,909	1,000,000	2,198,909
Total	\$ 232,066,591	\$ 136,144,691	\$ (10,940,518)	\$ 355,012,164	\$ 11,385,000	\$ 343,627,164

Lease Revenue Bonds

In January 1999, the District entered into a trust indenture with the California Community College Financing Authority to issue lease revenue bonds in order to provide funds for public capital improvements. The bonds consist of Series 1999A bonds of which the District's portion of the issuance was \$4,460,000.

On October 1, 2010 the District, along with two other local California Community College Districts, refinanced these bonds in order to achieve a savings in debt service. The new bonds have a principal amount due of \$1,410,000 with the first payment due on October 1, 2011 and the final payment due on October 1, 2023. The bonds have coupon rates ranging from 3.0% to 4.0%. As part of the refinancing, additional principal was paid from the existing reserve account in the amount of \$215,000.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 6 – Long-Term Debt (Continued)

Lease Revenue Bonds (Continued)

The District pledged all lease revenue to repay the outstanding principal and interest of the Lease Revenue Bonds. Total principal and interest remaining on the bonds at June 30, 2016 is \$1,144,886, payable through 2024.

The annual requirements for debt service outstanding at June 30, 2016 are as follows:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 90,000	\$ 32,344	\$ 122,344
2018	95,000	29,569	124,569
2019	100,000	26,644	126,644
2020	100,000	23,644	123,644
2021	105,000	20,044	125,044
2022-2024	490,000	32,641	522,641
Total	\$ 980,000	\$ 164,886	\$ 1,144,886

General Obligation Bonds – 2004

In September 2004, the District authorized the sale and issuance of the 2004 General Obligation Bonds in the amount of \$49,353,974. Proceeds from the sale of the bonds are to be used to finance the renovation of classrooms and other college facilities throughout the District. These bonds were partially refunded in August 2005. Interest on the remaining amount is payable August 1, commencing August 1, 2024 at rates ranging from 2.5% to 5.0%. Principal is payable August 1, commencing August 1, 2024 and through the maturity date August 1, 2029.

The bonds are solely payable from *ad valorem* property taxes levied. The District pledged all *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds - 2004. Total principal and interest remaining on the bonds is \$42,435,000, payable through 2030.

The annual requirements for debt service outstanding at June 30, 2016 are as follows:

Year Ending June 30,	Principal	Interest	Total
2017	\$ -	\$ -	\$ -
2018	-	-	-
2019	-	-	-
2020	-	-	-
2021	-	-	-
2022-2026	2,866,505	8,293,775	11,160,280
2027-2030	10,127,469	21,147,251	31,274,720
Total	\$ 12,993,974	\$ 29,441,026	\$ 42,435,000

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2005 Refunding Series B

In August 2005, the District authorized the sale and issuance of 2005 General Obligation Refunding Bonds, Series B, in the amount of \$37,456,116. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2004 General Obligation Bonds, Election of 2000, Series 2004. Interest is payable February 1 and August 1, commencing February 1, 2006 at 5.25%. Principal is payable August 1, commencing August 1, 2006 and through the maturity date August 1, 2018. The bonds were issued at a premium of \$5,786,135. In addition, there were \$649,857 of bond issuance costs and a \$947,394 refunding adjustment associated with the partial refunding of the 2004 General Obligation Bonds that are amortized over the life of the bond.

The bonds are solely payable from *ad valorem* property taxes levied. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District pledged *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds – 2005 Refunding Series B. Total principal and interest remaining on the bonds is \$12,351,882, payable through fiscal year 2019.

The annual requirements for debt service outstanding at June 30, 2016 are as follows:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 5,290,000	\$ 474,600	\$ 5,764,600
2018	5,930,000	180,075	6,110,075
2019	465,001	12,206	477,207
Total	\$ 11,685,001	\$ 666,881	\$ 12,351,882

General Obligation Bonds – 2008, Series A, B, C and D

On October 22, 2009, as authorized by the registered voters of the Southwestern Community College District in the election of November 4, 2008, the District issued \$10,225,000 of Election of 2008 General Obligation Bonds, Series A, and \$89,775,000 of Election of 2008 General Obligation Bonds, Series B bonds. The Series A bonds are tax exempt. The Series B bonds were issued as "Build America Bonds" for purposes of the American Recovery and Reinvestment Act of 2009 ("Recovery Act"). Pursuant to the Recovery Act, the District expects to receive a cash subsidy payment from the United States Treasury equal to 35% of the interest payable on the Series B bonds on or about each interest payment date. The cash payment does not constitute the full faith and credit of the United States, but is required to be paid by the Treasury under the Recovery Act. Interest is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2010 at 5.5%. The bonds are being issued to finance the repair, construction, acquisition and equipping of certain District sites and facilities and to pay costs of issuance with the bonds. The bonds were issued at a premium of \$1,212,387.

In June, 2011, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series C in the amount of \$68,730,371. Proceeds from the sale of the bonds will be used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$716,045.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2008, Series A, B, C and D

Interest on the Series C current interest bonds with principal of \$58,355,000 is payable February 1 and August 1, commencing August 1, 2011 at rates ranging from 1.0% to 5.25%. Principal is payable August 1, commencing August 1, 2011 and through the maturity date of August 1, 2030.

Interest on the Series C capital appreciation bonds with principal of \$10,375,371 will accrete in value commencing August 1, 2011 at rates ranging from 7.15% to 7.3% to the respective maturity amounts on August 1, 2041 and August 1, 2046.

In August, 2015, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series D in the amount of \$121,649,325. Proceeds from the sale of the bonds are used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$8,387,579. In addition, there were bond issuance costs of \$791,597.

Interest on the Series D current interest bonds with principal of \$79,525,000 is payable February 1 and August 1, commencing February 1, 2016 at rates ranging from 2.0% to 5.0%. Principal is payable August 1, commencing August 1, 2016 and through the maturity date of August 1, 2044.

Interest on the Series D capital appreciation bonds with principal of \$42,124,325 will accrete in value commencing August 1, 2015 at rates ranging from 2.29% to 5.01% to the maturity date of August 1, 2039.

The bonds are solely payable from ad valorem property taxes levied. The District pledged all ad valorem property tax levied and collected to repay the outstanding principal and interest of the 2008 General Obligation Bonds Series D.

The bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District has pledged *ad valorem* property tax levied and collected to pay repay the outstanding principal and interest of the bonds. Total principal and interest remaining on the bonds as of June 30, 2016 is \$7,572,576, \$200,775,096, \$200,684,649, and \$274,607,669 for Series A, B, C, and D, respectively.

The annual requirements for debt service outstanding at June 30, 2016 are as follows:

Year Ending June 30,	SERIES A		
	Principal	Interest	Total
2017	\$ 715,000	\$ 378,813	\$ 1,093,813
2018	895,000	334,538	1,229,538
2019	1,085,000	280,088	1,365,088
2020	1,290,000	214,775	1,504,775
2021	1,510,000	137,775	1,647,775
2022	1,750,000	48,125	1,798,125
Total	\$ 7,245,000	\$ 1,394,114	\$ 8,639,114

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2008, Series A, B, C and D (Continued)

Year Ending June 30,	SERIES B		
	Principal	Interest	Total
2017	\$ -	\$ 6,401,727	\$ 6,401,727
2018	-	6,401,727	6,401,727
2019	-	6,401,727	6,401,727
2020	-	6,401,727	6,401,727
2021	-	6,401,727	6,401,727
2022-2026	9,500,000	30,880,801	40,380,801
2027-2031	18,735,000	25,810,355	44,545,355
2032-2036	28,885,000	17,361,312	46,246,312
2037-2040	32,655,000	4,938,993	37,593,993
Total	\$ 89,775,000	\$ 111,000,096	\$ 200,775,096

Year Ending June 30,	SERIES C		
	Principal	Interest	Total
2017	\$ 175,000	\$ 2,826,563	\$ 3,001,563
2018	260,000	2,817,863	3,077,863
2019	345,000	2,805,763	3,150,763
2020	440,000	2,787,863	3,227,863
2021	545,000	2,763,238	3,308,238
2022-2026	4,545,000	13,245,438	17,790,438
2027-2031	8,375,000	11,654,938	20,029,938
2032-2036	13,700,000	8,850,925	22,550,925
2037-2041	27,994,289	7,513,419	35,507,708
2042-2046	8,442,253	75,096,673	83,538,926
2047	1,448,829	16,531,172	17,980,001
Total	\$ 66,270,371	\$ 146,893,855	\$ 213,164,226

Year Ending June 30,	SERIES D		
	Principal	Interest	Total
2017	\$ 2,420,000	\$ 3,845,650	\$ 6,265,650
2018	3,110,000	3,759,250	6,869,250
2019	135,000	3,695,025	3,830,025
2020	-	3,693,000	3,693,000
2021	276,219	3,726,780	4,002,999
2022-2026	5,253,170	20,156,830	25,410,000
2027-2031	10,232,929	26,207,069	36,439,998
2032-2036	13,624,841	37,106,154	50,730,995
2037-2041	24,277,166	44,103,336	68,380,502
2042-2046	62,320,000	6,665,250	68,985,250
Total	\$ 121,649,325	\$ 152,958,344	\$ 274,607,669

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 6 – Long-Term Debt (Continued)

General Obligation Refunding Bonds – 2015

In August 2014, the District authorized the sale and issuance of 2015 General Obligation Refunding Bonds, in the amount of \$27,045,000. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2005 General Obligation Bonds, Election of 2000, Series 2005. Interest is payable February 1 and August 1, commencing August 1, 2015 at 5.0%. Principal is payable August 1, commencing August 1, 2015 and through the maturity date February 1, 2026. The bonds were issued at a premium of \$4,030,391 and the refunding transaction resulted in a deferred loss on refunding of \$1,823,862 to be amortized through the remaining life of the new bonds. The aggregate debt service payments of the new debt are \$3,698,626 less than the old debt. The issuance of the new debt and refunding of the old debt resulted in an economic gain (the difference between the present value of the old debt and new debt service payments) of approximately \$3,247,455. Total principal and interest remaining on the bonds as of June 30, 2016 is \$34,185,425.

The annual requirements for debt service outstanding at June 30, 2016 are as follows:

Year Ending June 30,	Principal	Interest	Total
2017	\$ 1,695,000	\$ 1,233,025	\$ 2,928,025
2018	1,850,000	1,170,600	3,020,600
2019	2,040,000	1,092,800	3,132,800
2020	2,230,000	996,250	3,226,250
2021	2,460,000	879,000	3,339,000
2022-2026	16,350,000	2,188,750	18,538,750
Total	\$ 26,625,000	\$ 7,560,425	\$ 34,185,425

Payable to County

Pursuant to an agreement with the San Diego County Schools Fringe Benefits Consortium, the District offered an early retirement incentive program to eligible full-time certificated academic employees for the 2015-2016 fiscal year. The early retirement incentive was offered at 75% of the employee's annual base salary to be paid in three installments into the San Diego County Schools Fringe Benefits Consortium 403(b) Plan. The initial liability recorded was \$3,387,900, payable in annual installments of \$1,129,300. At June 30, 2016, the outstanding balance was \$2,258,600.

Compensated Absences

The District's liability for vested and unpaid compensated absences (accrued vacation) has been accrued and amounts to \$3,198,909 at June 30, 2016.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Notes 7 – Other Post Employment Benefits

Plan Description

The District provides post employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic). The following is a summary description of the current retiree benefit plan:

	Faculty	Classified	Management*
Benefit Types Provided	Medical and Dental	Medical Only	Medical, Dental and Medicare Part B
Duration of Benefits	Lifetime	Lifetime	Lifetime
Required Service	15 Years	15 Years	10 Years
Minimum Age	55	50	55
Dependent Coverage	No	No	No
College Contribution %	50% (not less than \$1,000 per year)	100%	100%
College Cap	None	\$1,000 per year after age 65	\$1,000 per year after age 65**

* Educational administrators hired after 12/31/2003 are not entitled to any District-paid benefits.

** Employees hired prior to 01/01/2004 are not subject to this cap.

Funding Policy

Through June 30, 2013, the District has contributed \$3.2 million to an irrevocable trust with the Community College League of California – Joint Powers Authority (CCLC-JPA). The District contributed \$0 during fiscal year 2016. At June 30, 2016, the market value of the irrevocable trust was \$3,635,341.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Notes 7 – Other Post Employment Benefits (Continued)

Annual OPEB Cost

For the year ended June 30, 2016, the District's Annual Required Contribution ("ARC") for OPEB was \$1,708,492. The District's annual OPEB cost, the percentage of annual OPEB cost to be contributed to the plan, and the Net OPEB Obligation are as follows:

Fiscal Year Ended	Annual Required Contribution	Actual Contribution	Percentage of Annual OPEB Cost Contributed	(Increase) Decrease in OPEB Obligation	Net OPEB Obligation
6/30/2014	\$ 1,066,867	\$ -	0%	\$ (1,066,867)	\$ (2,650,685)
6/30/2015	1,066,867	-	0%	(1,066,867)	(3,717,552)
6/30/2016	1,708,492	-	0%	(1,708,492)	(5,426,044)

Most Recent Actuarial Study – Status of Funding Progress

Actuarial Valuation Date	Actuarial Asset Value	Entry Age Actuarial Accrued Liabilities	Unfunded Actuarial Accrued Liabilities	Funded Ratio	Estimated Covered Payroll	Unfunded Actuarial Liabilities as Percentage of Liabilities as Covered Payroll
2/1/2016	\$ 3,299,929	\$ 19,539,240	\$ 16,239,311	16.89%	\$ 47,098,200	34.48%

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend rates. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The methods and assumptions used include techniques that are designed to reduce short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

The plan's most recent actuarial valuation was performed as of February 1, 2016. In that valuation, the Entry Aged Normal Cost Method was used. The actuarial assumptions included a 6.75% investment rate of return (net of administrative expenses), an annual healthcare cost trend rate of 4%, and a 2.75% payroll increase per year. All assumptions reflect an implicit 3% general inflation assumption. The District's unfunded actuarial accrued liability is being amortized as a level dollar amount on a rolling basis. The remaining amortization period as of June 30, 2016 was 29 years.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans

A. Summary

Net Pension Liability

Aggregate net pension liability is reported in the accompanying statement of net position as follows:

	Net Pension Liability
CalPERS Pension Plan	\$ 30,806,804
CalSTRS Pension Plan	53,859,200
Total	\$ 84,666,004

Deferred Outflows of Resources

Deferred outflows of resources are reported in the accompanying statement of net position as follows:

	Deferred Employer Pension Contributions Made after the Measurement Date	Employer's Actual Contributions in Excess of Employer's Proportionate Share of Contributions	Difference Between Actual and Expected Experience	Total
CalPERS Pension Plan	\$ 2,824,088	\$ 6,134,001	\$ 1,744,677	\$ 10,702,766
CalSTRS Pension Plan	4,510,356	240,687	-	4,751,043
Total	\$ 7,334,444	\$ 6,374,688	\$ 1,744,677	\$ 15,453,809

Deferred Inflows of Resources

Deferred inflows of resources are reported in the accompanying statement of net position as follows:

	Investment Earnings Greater than Expected Earnings	Adjustments due to Differences in Proportions	Changes in Assumptions	Difference between Actual and Expected Experience	Total
CalPERS Pension Plan	\$ 1,054,852	\$ 3,867,432	\$ 1,892,856	\$ -	\$ 6,815,140
CalSTRS Pension Plan	4,391,200	-	-	899,657	5,290,857
Total	\$ 5,446,052	\$ 3,867,432	\$ 1,892,856	\$ 899,657	\$ 12,105,997

Pension Expense

Pension expenses are included in the accompanying statement of revenues, expenses, and change in net position as follows:

	Net Pension Expense
CalPERS Pension Plan	\$ 4,749,251
CalSTRS Pension Plan	4,212,822
Total	\$ 8,962,073

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan

Plan Description

Most full-time classified (non-academic) employees participate in the School Employer Pool under CalPERS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law (Part 3 of the California Government Code, §22000 et seq.). CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS' annual financial report may be obtained from the CalPERS Executive Office located at 400 P Street, Sacramento, CA 95814.

Benefits Provided

CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member becomes eligible for Service Retirement upon attainment of age 55, with at least 5 years of credited service. Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62, with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 12 full-time equivalent monthly pay. Retirement benefits for classic employees are calculated as 2.0%, of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Participant is eligible for non-industrial disability retirement if becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8% of final compensation, multiplied by service. Industrial disability benefits are not offered to miscellaneous employees.

An employee's beneficiary may receive the basic death benefit if the employee dies while actively employed. The employee must be actively employed with the District to be eligible for this benefit. An employee's survivor who is eligible for any other pre-retirement death benefit may choose to receive that death benefit instead of this basic death benefit. The basic death benefit is a lump sum in the amount of the employee's accumulated contributions, where interest is currently credited at 7.5% per year, plus a lump sum in the amount of one month's salary for each completed year of current service, up to a maximum of six months' salary. For purposes of this benefit, one month's salary is defined as the member's average monthly full-time rate of compensation during the 12 months preceding death.

Upon the death of a retiree, a one-time lump sum payment of \$500 will be made to the retiree's designated survivor(s), or to the retiree's estate.

Benefit terms provide for annual cost-of-living adjustments to each employee's retirement allowance. Beginning the second calendar year after the year of retirement, retirement and survivor allowances will be annually adjusted on a compound basis by 2%.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Employees Covered

For the measurement period ended June 30, 2015 the following employees were covered by the benefit terms for:

	<u>CalPERS Plan</u>
Inactive employees or beneficiaries currently receiving benefits	604
Inactive employees entitled to but not yet receiving benefits	48
Active employees	349

Contributions

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS' annual actuarial valuation process. For public agency cost-sharing plans covered by either the Miscellaneous or Safety risk pools, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2015 (the measurement date), the active contribution rate was 7.0% of annual payroll. The required employer's contribution rate was 11.85% of annual payroll.

For the measurement period ended June 30, 2015, the plan's proportionate share of aggregate employer contributions made was as follows:

Contributions - employer	\$ 2,824,261
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Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2015, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2014 rolled forward to June 30, 2015 using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

As of June 30, 2016, the District reported net pension liability for its proportionate shares of the net pension liability as follows:

		<u>Increase (Decrease)</u>	
	<u>Plan Total Pension Liability</u>	<u>Plan Fiduciary Net Position</u>	<u>Plan Net Pension Liability/(Asset)</u>
Balance at: 6/30/14 (Valuation date)	\$ 150,395,794	\$ 119,456,327	\$ 30,939,467
Balance at: 6/30/15 (Measurement date)	149,750,931	118,944,127	30,806,804
Net Changes during 2014-2015	(644,863)	(512,200)	(132,663)

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2014). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2015). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2014 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2014-15).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

The District's proportionate share of the net pension liability for the Plan as of June 30, 2014 and 2015 was as follows:

Proportion June 30, 2014	0.20990%
Proportion June 30, 2015	0.20990%
Change - Increase (Decrease)	<u>0.00000%</u>

For the year ended June 30, 2015, the District recognized pension expense in the amount of \$4,749,251 for the Plan.

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2014-15 measurement period is 3.9 years, which was obtained by dividing the total service years of 2,693,721 (the sum of remaining service lifetimes of the active employees) by 692,840 (the total number of participants: active, inactive, and retired).

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Difference between projected and actual earning on pension plan investments	\$ -	\$ (1,054,852)
Difference between expected and actual experience	1,744,677	-
Changes in assumptions	-	(1,892,856)
Differences in proportions	-	(3,867,432)
Difference between District contributions and proportionate share of contributions	6,134,001	-
Total	<u>\$ 7,878,678</u>	<u>\$ (6,815,140)</u>

For the Plan, \$2,824,088 was reported as a deferred outflow of resources related to pensions resulting from District's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2017. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2016	\$ 1,080,024
2017	760,643
2018	(2,042,050)
2019	1,264,921
2020	-
Thereafter	-
	<u>\$ 1,063,538</u>

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2015 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2014 total pension liability. The June 30, 2015 total pension liability was based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal in accordance with the requirement of GASB Statement No.
Actuarial Assumptions:	
Discount Rate	7.65%
Inflation	2.75%
Salary Increases	Varies by Entry Age and Service
Investment Rate of Return	7.50% Net of Pension Plan Investment and Administrative Expenses; includes Inflation
Mortality Rate Table	Derived using CalPERS' Membership Data for all Funds.
Post Retirement Benefit Increase	Contract COLA up to 2.75% until Purchasing Power Protection Allowance Floor on Purchasing Power applies, 2.75% thereafter

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability (Continued)

All other actuarial assumptions used in the June 30, 2014 valuation were based on the results of an actuarial experience study for the period from 1997 to 2011, including updates to salary increase, mortality and retirement rates. The Experience Study report can be obtained at CalPERS' website under Forms and Publications.

Change of Assumption

GASB 68, paragraph 68 states that the long-term expected rate of return should be determined net of pension plan investment expense but without reduction for pension plan administrative expenses. The discount rate was changed from 7.50 percent (net of administrative expenses in 2014) to 7.65 percent as of the June 30, 2015 measurement date to correct the adjustment which previously reduced the discount rate for administrative expense.

Discount Rate

The discount rate used to measure the total pension liability was 7.65%. To determine whether the municipal bond rate should be used in the calculation of a discount rate for each plan, CalPERS stress tested plans that would most likely result in a discount rate that would be different from the actuarially assumed discount rate. Based on the testing, none of the tested plans run out of assets. Therefore, the current 7.65% discount rate is adequate and the use of the municipal bond rate calculation is not necessary. The long term expected discount rate of 7.65% is applied to all plans in the Public Employees Retirement Fund. The stress test results are presented in a detailed report called "GASB Crossover Testing Report" that can be obtained at CalPERS' website under the GASB 68 section.

CalPERS is scheduled to review all actuarial assumptions as part of its regular Asset Liability Management review cycle that is scheduled to be completed in February 2018. Any changes to the discount rate will require Board action and proper stakeholder outreach. For these reasons, CalPERS expects to continue using a discount rate net of administrative expenses for GASB 67 and 68 calculations through at least the 2017-18 fiscal year. CalPERS will continue to check the materiality of the difference in calculation until such time as we have changed our methodology.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, staff took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent. The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Discount Rate (Continued)

The table below reflects the long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. The target allocation shown was adopted by the Board effective July 1, 2014.

Asset Class	New Strategic Allocation	Real Return Years 1-10 ¹	Real Return Years 11+ ²
Global Equity	50%	5.25%	5.71%
Global Fixed Income	17%	0.99	2.43
Inflation Sensitive	4%	0.45	3.36
Private Equity	14%	6.83	6.95
Real Estate	11%	4.50	5.13
Infrastructure and Forestl	0%	4.50	5.09
Liquidity	4%	-0.55	-1.05

¹An expected inflation of 2.5% used for this period

²An expected inflatin of 3.0% used for this period.

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability for , calculated using the discount rate for , as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.65%)	Current Discount Rate (7.65%)	Discount Rate + 1% (8.65%)
\$ 51,665,160	\$ 30,806,804	\$ 13,585,808

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan

Plan Description

Most full-time certificated (academic) employees participate in CalSTRS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law (Part 13 of the California Education Code, §22000 et seq.). Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62 with at least five years of service. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS' annual financial report may be obtained from the CalSTRS Executive Office located at 7667 Folsom Boulevard, Sacramento, California 95826.

Under State Teachers' Retirement Law, certain early retirement incentives require the employer to pay the present value of the additional benefit, which may be paid on either a current or deferred basis. The District has no obligations to CalSTRS for early retirement incentives granted to terminate employees as of June 30, 2016.

Benefits Provided

CalSTRS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law. Retirement benefits for classic employees are calculated as 2.0% of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Employees Covered

For the measurement period ended June 30, 2015, the following employees were covered by the benefit terms:

	<u>CalSTRS Plan</u>
Inactive employees or beneficiaries currently receiving benefits	1,188
Inactive employees entitled to but not yet receiving benefits	94
Active employees	687

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalSTRS' annual actuarial valuation process. For public agency cost-sharing plans, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2015 (the measurement date), the active contribution rate was 8.0% of annual payroll for the Plan. The average employer's contribution rate was 10.73% for the Plan.

For the measurement period ended June 30, 2015, the Plan's proportionate share of aggregate employer contributions made for the Plan was as follows:

Contributions - employer	\$ 3,539,234
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Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability for the Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2015, and the total pension liability the Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2014 rolled forward to June 30, 2015 for the Plan using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

As of June 30, 2016, the District reported net pension liabilities for its proportionate shares of the net pension liability of the Plan as follows:

	Increase (Decrease)		
	Plan Total Pension Liability	Plan Fiduciary Net Position	Plan Net Pension Liability/(Asset)
Balance at: 6/30/14 (Valuation date)	\$ 199,128,800	\$ 152,379,200	\$ 46,749,600
Balance at: 6/30/15 (Measurement date)	207,316,800	153,457,600	53,859,200
Net Changes during 2014-2015	8,188,000	1,078,400	7,109,600

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2014). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2015). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2014 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2014-15).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The District's proportionate share of the net pension liability as of June 30, 2014 and 2015 was as follows:

Proportion June 30, 2014	0.08000%
Proportion June 30, 2015	0.08600%
Change - Increase (Decrease)	<u>0.00600%</u>

For the year ended June 30, 2016, the District recognized pension expense in the amount of \$4,212,822 for the Plan.

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2014-15 measurement period is 7 years.

At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred outflows of Resources</u>	<u>Deferred inflows of Resources</u>
Difference between projected and actual earning on pension plan investments	\$ -	\$ (4,391,200)
Difference between actual and expected experience	-	(899,657)
Difference between District contributions and proportionate share of contributions	<u>240,687</u>	<u>-</u>
Total	<u>\$ 240,687</u>	<u>\$ (5,290,857)</u>

For the Plan, \$4,510,356 was reported as deferred outflows of resources related to pensions resulting from District's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2017. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2016	\$ (1,925,921)
2017	(1,925,921)
2018	(1,927,521)
2019	951,679
2020	(109,120)
Thereafter	(113,366)
	\$ (5,050,170)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2015 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2014 total pension liability. The June 30, 2015 total pension liability was based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal in accordance with the requirement of GASB Stmt. No. 68
Actuarial Assumptions:	
Discount Rate	7.60%
Inflation	3.00%
Salary Increases	3.75%
Investment Rate of Return	7.50%, net of investment and administrative expenses
Mortality Rate Table	Custom tables based on RP2000 series tables adjusted to fit CalSTRS experience
Post Retirement Benefit Increase	2.00% simple for DB, Not applicable for DBS/CBB

All other actuarial assumptions used in the June 30, 2014 valuation were based on the results of an actuarial experience study for the period July 1, 2006 – June 30, 2010, including updates to salary increase, mortality and retirement rates.

Discount Rate

The discount rate used to measure the total pension liability was 7.60%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60%) and assuming that contributions, benefit payments, and administrative expenses occur mid-year. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Discount Rate (Continued)

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.50% investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 15 basis points. An investment return excluding administrative expenses would have been 7.65%. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability. This difference was deemed immaterial to the Public Agency Cost-Sharing Multiple-Employer Defined Benefit Pension Plan.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (“Consultant”) as an input to the process. Based on the model from CalSTRS consulting actuary’s investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns. The assumed asset allocation by the Consultant is based on CalSTRS board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as an input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	New Strategic Allocation	Long-Term Expected Real Rate of Return ¹
Global Equity	47.00%	4.50%
Private Equity	12.00%	6.20%
Real Estate	15.00%	4.35%
Inflation Sensitive	5.00%	3.20%
Fixed Income	20.00%	0.20%
Cash / Liquidity	1.00%	0.00%
	<u>100%</u>	

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.6%, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.6%) or one percentage point higher (8.6%) than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.60%)	Current Discount Rate (7.60%)	Discount Rate + 1% (8.60%)
\$ 86,354,793	\$ 53,859,200	\$ 27,213,410

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalSTRS financial reports.

Note 9 – Risk Management

The District's risks management activities include property and liability and worker's compensation insurance programs.

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters.

Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years.

Note 10 – Joint Ventures (Joint Powers Agreement)

The District participates in a joint powers agreement (JPA) entity called the Statewide Association of Community Colleges (SWACC). The relationship between the District and the JPA is such that the JPA is not a component unit of the District. The JPA is governed by a board consisting of a representative from each member district.

SWACC provides liability and property insurance for approximately nineteen community colleges. SWACC is governed by a board comprised of a member of each of the participating districts. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC.

This entity has budgeting and financial reporting requirements independent of member units and the financial statements are not presented in these financial statements; however, fund transactions between the entity and the District are included in these statements. The District's share of year-end assets, liabilities or fund equity has not been calculated.

Note 11 – Commitments and Contingencies

Litigation

The District is periodically involved in various litigations. In the opinion of management and legal counsel, the disposition of all litigation pending will not have a material effect on the District's financial statements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2016

Note 11 – Commitments and Contingencies (Continued)

Sick Leave

Sick leave accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees, therefore, are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recorded in the accompanying financial statements.

Grants and Contracts

The District has received state and federal funds for specific purposes that are subject to review and audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursements will not be material.

Construction

In addition to construction amounts in accounts payable and accrued liabilities, the District has construction commitments of approximately \$138,033,000 as of June 30, 2016.

Note 12 – Deficit Net Position

At June 30, 2016 the District had an unrestricted net position deficit of \$(76,225,588) and a total net position deficit of \$(11,167,853). This deficit was caused by the implementation of GASB Statements 68 and 71 in fiscal year 2015.

Note 13 – Subsequent Events

Issuance of Debt

On August 17, 2016, the District issued the 2016 General Obligation Bonds, Series A and B, in the amounts of \$3,400,000 and \$84,335,000, respectively. The Series A Bonds are being issued to advance refund all or a portion of the District's outstanding Election of 2008 General Obligation Bonds, Series A, and pay the costs of issuing the bonds. The Series B Bonds are being issued to advance refund, on a crossover basis, the District's outstanding Election of 2008 General Obligation Bonds, Series B, and pay the costs of issuing the bonds.

Voter Approval of Issuance of Debt

On November 9, 2016, voters of the District approved ballot Measure Z, which allows the District to issue up to \$400 million in general obligation bonds to repair/upgrade the campus and to provide job training and support for students and veterans.

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REQUIRED SUPPLEMENTARY INFORMATION

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Southwestern Community College District
Required Supplementary Information (Unaudited)
For the Year Ended June 30, 2016

Note 1 – Schedules of Changes in Proportionate Share of the Net Pension Liability

Last Ten Fiscal Years

California Public Employees' Retirement System ("CalPERS")

Measurement Period	June 30, 2014 ¹	June 30, 2015 ¹
District's Proportion of the Net Pension Liability	0.20990%	0.20900%
District's Proportionate Share of the net Pension Liability	\$ 23,828,761	\$ 30,806,804
District's Covered-Employee Payroll	\$ 22,245,705	\$ 23,993,385
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	107.12%	128.40%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	83.38%	79.43%

California State Teachers' Retirement System ("CalSTRS")

Measurement Period	June 30, 2014 ¹	June 30, 2015 ¹
District's Proportion of the Net Pension Liability	0.08000%	0.08000%
District's Proportionate Share of the net Pension Liability	\$ 46,749,600	\$ 53,859,200
District's Covered-Employee Payroll	\$ 35,763,671	\$ 39,853,588
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	130.72%	135.14%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	76.52%	74.02%

¹ Historical information is required only for measurement periods for which GASB 68 is applicable.

Southwestern Community College District
Required Supplementary Information (Unaudited)(Continued)
For the Year Ended June 30, 2016

Note 2 – Schedules of Contributions

Last Ten Fiscal Years

California Public Employees' Retirement System ("CalPERS")	2013-14¹	2014-15¹	2015-16¹
Actuarially Determined Contribution ²	\$ 2,545,353	\$ 2,824,261	\$ 2,824,088
Contribution in Relation to the Actuarially Determined Contribution ²	(2,545,353)	(2,824,261)	(2,824,088)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -
Covered-Employee Payroll ³	\$ 22,245,705	\$ 23,993,385	\$ 24,713,187
Contributions as a Percentage of Covered-Employee Payroll	11.44%	11.77%	11.43%
California State Teachers' Retirement System ("CalSTRS")	2013-14¹	2014-15¹	2015-16¹
Actuarially Determined Contribution	\$ 2,954,523	\$ 3,539,234	\$ 4,510,356
Contribution in Relation to the Actuarially Determined Contribution	(2,954,523)	(3,539,234)	(4,510,356)
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -
Covered-Employee Payroll ³	\$ 35,763,671	\$ 39,853,588	\$ 41,049,196
Contributions as a Percentage of Covered-Employee Payroll	8.26%	8.88%	10.99%

¹ Historical information is required only for measurement periods for which GASB 68 is applicable.

² Employers are assumed to make contributions equal to the actuarially determined contributions (which is the actuarially determined contribution). However, some employers may choose to make additional contributions towards their side fund or their unfunded liability. Employer contributions for such plans exceed the actuarially determined contributions. CalPERS has determined that employer obligations referred to as "side funds" are not considered separately financed specific liabilities.

³ Covered-Employee Payroll represented above is based on pensionable earnings provided by the employer. However, GASB 68 defines covered-employee payroll as the total payroll of employees that are provided pensions through the pension plan. Accordingly, if pensionable earnings are different than total earnings for covered-employees, the employer should display in the disclosure footnotes the payroll based on total earnings for the covered group and recalculate the required payroll-related ratios.

Notes to Schedule

Change in Benefit Terms: The figures above do not include any liability impact that may have resulted from plan changes which occurred after June 30, 2013 as they have minimal cost impact. This applies for voluntary benefit changes as well as any offers of Two Years Additional Service Credit (a.k.a Golden Handshakes).

Changes of Assumptions: CalPERS discount rate was changed from 7.50% (net of administrative expenses) to 7.65%.

Southwestern Community College District
Required Supplementary Information (Unaudited)(Continued)
For the Year Ended June 30, 2016

Note 3 - Schedule of Funding Progress

Other Post Employment Benefits (OPEB)

A schedule of funding progress for the year ended June 30, 2016 including the actuarial valuations is presented below.

Actuarial Valuation Date	Actuarial Asset Value	Entry Age Actuarial Accrued Liabilities	Unfunded Actuarial Accrued Liabilities	Funded Ratio	Estimated Covered Payroll	Actuarial Liabilities as Percentage of Liabilities as Covered Payroll
2/1/2016	\$ 3,299,929	\$ 19,539,240	\$ 16,239,311	16.89%	\$ 47,098,200	34.48%

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SUPPLEMENTARY INFORMATION

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances
June 30, 2016

	General Fund - Unrestricted	General Fund - Restricted	Capital Outlay	Prop R Bond Fund	Student Center
ASSETS					
Current assets:					
Cash and investments	\$ 24,046,236	\$ -	\$ 3,545,413	\$ -	\$ 380,413
Accounts receivable	642,144	3,721,458	4,439	274,499	344
Inventories	95,139	-	-	-	-
Prepaid items	49,372	-	-	-	-
Due from other funds	215,027	209,032	2,884,356	2	364
Restricted cash and investments	-	5,766,233	-	177,275,282	-
Total current assets	25,047,918	9,696,723	6,434,208	177,549,783	381,121
Noncurrent assets:					
Capital assets, net	-	-	-	-	-
Total noncurrent assets	-	-	-	-	-
Total assets	\$ 25,047,918	\$ 9,696,723	\$ 6,434,208	\$ 177,549,783	\$ 381,121
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	2,881,839	1,887,423	139,553	4,705,181	11,860
Payroll and related liabilities	3,635,949	456,955	-	-	-
Compensated absences	3,198,909	-	-	-	-
Unearned revenue	698,772	5,371,093	-	-	-
Due to other funds	3,008,211	209,032	-	14,141	-
Deposits payable	-	-	-	-	-
Total liabilities	13,423,680	7,924,503	139,553	4,719,322	11,860
Fund Balances	11,624,238	1,772,220	6,294,655	172,830,461	369,261
Total liabilities and fund balances	\$ 25,047,918	\$ 9,696,723	\$ 6,434,208	\$ 177,549,783	\$ 381,121

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2016

	Bond Interest and Redemption Fund	Bookstore	Cafeteria	Federal Financial Aid	Self Insurance
ASSETS					
Current assets:					
Cash and investments	\$ -	\$ 1,305,780	\$ 533,868	\$ 237,607	\$ 662,662
Accounts receivable	-	218,955	57,015	4,809	950
Inventories	-	676,476	191,723	-	-
Prepaid items	-	-	-	-	-
Due from other funds	-	19,404	9,059	-	95,025
Restricted cash and investments	24,827,126	-	-	-	-
Total current assets	24,827,126	2,220,615	791,665	242,416	758,637
Noncurrent assets:					
Capital assets, net	-	7,639	44,178	-	-
Total noncurrent assets	-	7,639	44,178	-	-
Total assets	\$ 24,827,126	\$ 2,228,254	\$ 835,843	\$ 242,416	\$ 758,637
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	-	136,345	-	18	-
Payroll and related liabilities	-	-	-	-	-
Compensated absences	-	-	-	-	-
Unearned revenue	-	2,728	14,403	-	-
Due to other funds	-	68,033	109,180	-	-
Deposits payable	-	-	-	-	-
Total liabilities	-	207,106	123,583	18	-
Fund Balances	24,827,126	2,021,148	712,260	242,398	758,637
Total liabilities and fund balances	\$ 24,827,126	\$ 2,228,254	\$ 835,843	\$ 242,416	\$ 758,637

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2016

	Associated Students Trust	Student Service Trust Funds	Total
ASSETS			
Current assets:			
Cash and investments	\$ 840,213	\$ 1,307,029	\$ 32,859,221
Accounts receivable	11,885	4,652	4,941,150
Inventories	-	-	963,338
Prepaid items	-	-	49,372
Due from other funds	30,000	-	3,462,269
Restricted cash and investments	-	-	207,868,641
Total current assets	<u>882,098</u>	<u>1,311,681</u>	<u>250,143,991</u>
Noncurrent assets:			
Capital assets, net	<u>55,318</u>	-	107,135
Total noncurrent assets	<u>55,318</u>	-	107,135
Total assets	<u><u>\$ 937,416</u></u>	<u><u>\$ 1,311,681</u></u>	<u><u>\$ 250,251,126</u></u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable and accrued liabilities	-	1,281,323	\$ 11,043,542
Payroll and related liabilities	-	-	4,092,904
Compensated absences	-	-	3,198,909
Unearned revenue	16,736	-	6,103,732
Due to other funds	35,265	18,407	3,462,269
Deposits payable	<u>107,846</u>	-	107,846
Total liabilities	<u>159,847</u>	<u>1,299,730</u>	<u>28,009,202</u>
Fund Balances	<u>777,569</u>	<u>11,951</u>	<u>222,241,924</u>
Total liabilities and fund balances	<u><u>\$ 937,416</u></u>	<u><u>\$ 1,311,681</u></u>	<u><u>\$ 250,251,126</u></u>

Southwestern Community College District
Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances
to Government-Wide Statement of Net Position
June 30, 2016

Total Fund Balances reported in the Combining Balance Sheet	\$ 222,241,924
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Amounts reported in the Statement of Net Position are differently because:

Capital assets used in governmental activities are not financial resources and therefore are not reported in governmental funds.

Government-Wide capital assets	216,426,475
Less enterprise funds capital assets	(51,817)
	216,374,658

Long-term liabilities are not due and payable in the current period and therefore are not reported in the governmental funds.

Net OPEB liability	(5,426,044)
Net pension liability	(84,666,004)
Due to County - due within one year	(1,129,300)
Due to County - due in more than one year	(1,129,300)
Bonds payable - due within one year	(10,385,000)
Bonds payable - due in more than one year	(341,428,255)
	(444,163,903)

Deferred amounts on bond refunding do not require current financial resources. Therefore, they are not reported in the governmental funds.

(1,657,893)

Pension contributions made during the year after the measurement date are reported as expenditures in governmental funds and as deferred outflow of resources in the government-wide financial statements.

7,334,444

Deferred outflows of resources related to pensions were not reported in the governmental funds:

Deferred adjustments due negative differences in actual contributions and employer's proportionate share of contributions	6,374,688
Difference between expected and actual experience	1,744,677

Deferred inflows of resources related to pensions were not reported in the governmental funds:

Actual earnings over projected earnings	(5,446,052)
Differences in proportions	(3,867,432)
Changes in assumptions	(1,892,856)
Difference between expected and actual experience	(899,657)

Interest payable on long-term debt did not require current financial resources. Therefore, interest payable was not reported in the governmental funds.

(6,520,931)

Student activities are fiduciary activities and therefore are not reported in the Government-Wide Statement of Net Position.

Associated Student Trust	(777,569)
Academic Affairs	(11,951)
	(789,520)

Net Position	\$ (11,167,853)
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Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position
For the Year Ended June 30, 2016

	General Fund - Unrestricted	General Fund - Restricted	Capital Outlay	Prop R Bond Fund	Student Center
OPERATING REVENUES:					
Tuition and fees	\$ 5,656,644	\$ 1,534,763	\$ -	\$ -	\$ 151,501
Federal grant, non-capital	225,742	3,028,273	-	-	-
State grant, non-capital	-	-	-	-	-
Local grant, non-capital	596,190	755,094	-	-	-
Auxiliary enterprise sales and charges	-	-	-	-	-
Other operating revenues	-	-	-	-	-
Total operating revenues	6,478,576	5,318,130	-	-	151,501
OPERATING EXPENDITURES/EXPENSES:					
Salaries	63,860,014	11,203,134	-	55,774	-
Employee benefits	16,595,528	2,630,281	-	17,697	-
Payments to students	1,092,951	1,281,979	-	-	-
Supplies, materials, and other expenses	8,449,288	7,489,985	3,107,024	22,774,555	69,194
Utilities	1,906,702	16,244	-	-	-
Depreciation	-	-	-	-	-
Total operating expenditures/expenses	91,904,483	22,621,623	3,107,024	22,848,026	69,194
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(85,425,907)	(17,303,493)	(3,107,024)	(22,848,026)	82,307
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	-
State apportionments, non-capital	70,066,563	15,485,177	-	-	-
Local property taxes, non-capital	22,664,043	-	-	-	-
Investment income	131,027	-	15,903	1,078,985	978
Other non-operating revenue(expense)	608,538	839,862	3,052,292	100,000	-
Debt service:					
Proceeds from bond issuance	-	-	-	-	-
Premium on bond issuance	-	-	-	-	-
Deposit to escrow	-	-	-	-	-
Costs of bond issuance	-	-	-	-	-
Principal payment	-	-	-	-	(90,000)
Interest and fiscal charges	-	-	-	-	-
Total non-operating expenditures/expenses	93,470,171	16,325,039	3,068,195	1,178,985	(89,022)
INCOME(LOSS) BEFORE TRANSFERS	8,044,264	(978,454)	(38,829)	(21,669,041)	(6,715)
TRANSFERS:					
Transfers in	-	978,459	3,114,886	120,857,734	-
Transfers out	(4,825,021)	-	-	-	-
Transfers	(4,825,021)	978,459	3,114,886	120,857,734	-
Changes in fund balance/net position	3,219,243	5	3,076,057	99,188,693	(6,715)
FUND EQUITY/NET POSITION:					
Beginning of year	8,404,995	1,772,215	3,218,598	73,641,768	375,976
End of year	<u>\$ 11,624,238</u>	<u>\$ 1,772,220</u>	<u>\$ 6,294,655</u>	<u>\$ 172,830,461</u>	<u>\$ 369,261</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2016

	Bond Interest and Redemption Fund	Bookstore	Cafeteria	Federal Financial Aid	Self Insurance
OPERATING REVENUES:					
Tuition and fees	\$ -	\$ -	\$ -	\$ -	\$ -
Federal grant, non-capital	-	-	-	2,580,323	-
State grant, non-capital	-	-	-	2,273,091	-
Local grant, non-capital	-	-	-	-	-
Auxiliary enterprise sales and charges	-	3,234,378	1,787,224	-	-
Other operating revenues	-	-	-	-	-
Total operating revenues	-	3,234,378	1,787,224	4,853,414	-
OPERATING EXPENDITURES/EXPENSES:					
Salaries	-	581,627	771,960	-	-
Employee benefits	-	131,227	199,728	-	89,344
Payments to students	-	-	-	29,753,204	-
Supplies, materials, and other expenses	-	2,524,415	1,021,199	-	-
Utilities	-	3,321	1,075	-	-
Depreciation	-	6,260	12,666	-	-
Total operating expenditures/expenses	-	3,246,850	2,006,628	29,753,204	89,344
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	-	(12,472)	(219,404)	(24,899,790)	(89,344)
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	25,023,357	-
State apportionments, non-capital	-	-	-	-	-
Local property taxes, non-capital	20,162,379	-	-	-	-
Investment income	87,524	201	-	14	3,620
Other non-operating revenue(expense)	439,749	44,996	-	-	184,369
Debt service:					
Proceeds from bond issuance	121,649,325	-	-	-	-
Premium on bond issuance	8,387,579	-	-	-	-
Deposit to escrow	-	-	-	-	-
Costs of bond issuance	(791,597)	-	-	-	-
Principal payment	(5,775,000)	-	-	-	-
Interest and fiscal charges	(13,550,635)	-	-	-	-
Total non-operating expenditures/expenses	130,609,324	45,197	-	25,023,371	187,989
INCOME(LOSS) BEFORE TRANSFERS	130,609,324	32,725	(219,404)	123,581	98,645
TRANSFERS:					
Transfers in	-	-	731,676	-	-
Transfers out	(120,857,734)	-	-	-	-
Transfers	(120,857,734)	-	731,676	-	-
Changes in fund balance/net position	9,751,590	32,725	512,272	123,581	98,645
FUND EQUITY/NET POSITION:					
Beginning of year	15,075,536	1,988,423	199,988	118,817	659,992
End of year	\$ 24,827,126	\$ 2,021,148	\$ 712,260	\$ 242,398	\$ 758,637

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2016

	Associated Students Trust	Student Service Trust Funds	Total
OPERATING REVENUES:			
Tuition and fees	\$ 287,299	\$ -	\$ 7,630,207
Federal grant, non-capital	-	-	5,834,338
State grant, non-capital	-	-	2,273,091
Local grant, non-capital	-	-	1,351,284
Auxiliary enterprise sales and charges	-	-	5,021,602
Other operating revenues	1,714	-	1,714
Total operating revenues	289,013	-	22,112,236
OPERATING EXPENDITURES/EXPENSES:			
Salaries	99,138	-	76,571,647
Employee benefits	2,349	-	19,666,154
Payments to students	48,600	-	32,176,734
Supplies, materials, and other expenses	222,870	18,449	45,676,979
Utilities	109	-	1,927,451
Depreciation	-	-	18,926
Total operating expenditures/expenses	373,066	18,449	176,037,891
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(84,053)	(18,449)	(153,925,655)
NONOPERATING REVENUE(EXPENSES):			
Federal grant, non-capital	-	-	25,023,357
State apportionments, non-capital	-	-	85,551,740
Local property taxes, non-capital	-	-	42,826,422
Investment income	-	26,428	1,344,680
Other non-operating revenue(expense)	58,666	-	5,328,472
Debt service:			
Proceeds from bond issuance	-	-	121,649,325
Premium on bond issuance	-	-	8,387,579
Deposit to escrow	-	-	-
Costs of bond issuance	-	-	(791,597)
Principal payment	-	-	(5,865,000)
Interest and fiscal charges	-	-	(13,550,635)
Total non-operating expenditures/expenses	58,666	26,428	269,904,343
INCOME(LOSS) BEFORE TRANSFERS	(25,387)	7,979	115,978,688
TRANSFERS:			
Transfers in	-	-	125,682,755
Transfers out	-	-	(125,682,755)
Transfers	-	-	-
Changes in fund balance/net position	(25,387)	7,979	115,978,688
FUND EQUITY/NET POSITION:			
Beginning of year	802,956	3,972	106,263,236
End of year	<u>\$ 777,569</u>	<u>\$ 11,951</u>	<u>\$ 222,241,924</u>

Southwestern Community College District
Reconciliation of Combining Schedule of Revenues, Expenditures/Expenses and Changes in
Fund Equity to Government-Wide Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2016

Revenues and other financing sources over (under) expenditures/expenses and other financing uses	\$ 115,978,688
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Amounts reported in the Statement of Activities were different because:

Capital outlay expenditures reported in the governmental funds that were not capitalized on the Government-Wide Statement of Net Position were reclassified as Supplies, Materials, and Other Expenses.	23,341,204
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Disposal of capital assets provided current financial resources to governmental funds, but disposal of capital assets decreased capital assets in the Government-Wide Statement of Net Position.	(22,449)
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Depreciation expense on capital assets was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, depreciation was not reported as an expenditure in governmental funds (net of \$18,926 in funds).	(7,510,411)
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Interest expense on long-term debt was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, interest was not reported as an expenditure in governmental funds.	(1,235,363)
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Repayment of long-term liabilities was an expenditure in governmental funds, but the repayment reduced long-term liabilities in the Government-Wide Statement of Net Position:

Lease revenue bonds	90,000
General Obligation bonds	5,775,000
Total repayment of long-term liabilities	5,865,000

The issuance of long-term debt provides current financial resources to governmental funds while the repayment of the principal of long-term debt consumes current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of bond premiums and discounts when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities. These differences are as follows:

Proceeds from bond issuance	(121,649,325)
Premium on bond issuance	(8,387,579)
Deposit of bond issuance proceeds to escrow for bond defeasance	-
	(130,036,904)

Amortization expense on unamortized bond premiums is reported in the Government-Wide Statement of Activities and Changes in Net Position, but does not require the use of current financial resources. Therefore, amortization is not reported as an expenditure in governmental funds.	(1,242,449)
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Changes in the amount Due to County reported in the Statement of Activities did not require the use of current financial resources and, therefore, was not reported as an expenditure in the governmental funds.	(2,258,600)
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Changes in the net pension liability reported in the Statement of Activities did not require the use of current financial resources and, therefore, was not reported as an expenditure in the governmental funds.	2,556,075
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Net OPEB liability is reported in the Government-Wide Statement of Activities and Changes in Net Position, but it does not require the use of current financial resources. Therefore, the change in the OPEB liability is not reported as an expenditure in governmental funds.	(1,708,492)
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Amortization expense on deferred amounts on refunding is reported in the Government-Wide Statement of Activities and Changes in Net Position, but does not require the use of current financial resources. Therefore, amortization is not reported as an expenditure in governmental funds.	165,789
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Student activities are fiduciary activities and therefore are not reported in the government-wide statement of activities.

Associated Student Trust	25,387
Academic Affairs	(7,979)
Total fiduciary activities	17,408

Change in Net Position	\$ 6,394,394
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SINGLE AUDIT

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**INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING
AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS
PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2016, and the related notes to the financial statements, and have issued our report thereon dated December 21, 2016.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of basic financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly we do not express such an opinion. The results of our tests disclosed no instance of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California
Page 2

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

The Pw Group, LLP

San Diego, California
December 21, 2016



INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Compliance for Each Major Federal Program

We have audited the Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2016. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District, complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2016.

Report on Internal Control over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Schedule of Expenditures of Federal Awards

We have audited the financial statements of the District as of and for the year ended June 30, 2016, and the related notes to the financial statements. We issued our report thereon dated December 21, 2016 which contained unmodified opinion on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated in all material respects in relation to the basic financial statements as a whole.

The PwC Group, LLP

Southwestern Community College District
Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2016

Federal Agency	Grant Name/Program Name	CFDA No.	Agency or Pass-Through No.	Expenditure	Amount Provided to Subrecipients
<u>U.S. Department of Education:</u>					
	Direct Programs:				
	Financial Aid Cluster:				
	PELL	84.063	P063P101184	\$ 25,023,357	\$ -
	SEOG	84.007	P0078130617	368,763	-
	Direct Loans	84.268	P268K111184	1,383,034	-
	Federal Work Study	84.033	P033A130617	364,173	-
	Sub-total Financial Aid Cluster			27,139,327	-
	Child Care Access Means Parents in School (CCAMPIS)	84.335	P335A100052	31,471	-
	Career and Technical Education - National Programs	84.051	11-C01-063	815,798	-
	Tech Prep, now CTE Transitions	84.051	11-112-090	44,355	-
	Sub-total 84.051			860,153	-
	Total U.S. Department of Education			28,030,951	-
<u>U.S. Department of Rehabilitation:</u>					
	Passed through State of California Department of Rehabilitation:				
	State Vocational Rehabilitation Program	84.126A	29018/SCPRS 1324967	112,239	-
	Total U.S. Department of Rehabilitation			112,239	-
<u>U.S. Department of Defense:</u>					
	Direct Programs:				
	Procurement Technical Assistance	12.002	SP4800-11-2-1149	212,371	-
	Total U.S. Department of Defense			212,371	-
<u>National Science Foundation:</u>					
	Direct Programs:				
	Intergovernmental Personnel Act	47.076	DUE-1118663	42,809	-
	Passed through Kentucky Community & Technical College System:				
	GeoTech Center: Innovation in Geospatial Information	47.076	DUE-1304591	66,800	-
	Total National Science Foundation			109,609	-
<u>Small Business Administration:</u>					
	Direct Programs:				
	U.S. Small Business Administration Grant	59.037	SBAHQ-15-B-0067	1,217,857	317,507
	SBDC Portable Assistance	59.037	SBAHQ-14-B-0067	82,817	82,817
	Total Small Business Administration			1,300,674	400,324
<u>U.S. Department of Veterans Affairs</u>					
	Direct Programs:				
	Post-9/11 Veterans Educational Assistance	64.027	38 USC 3684	20,498	-
	Total U.S. Department of Veterans Affairs			20,498	-
<u>U.S. Department of Health & Human Services:</u>					
	Direct Programs:				
	Predictive Structure-Based Models of Malaria Resistance	93.859	5SC3GM100791-02	850	-
	Passed through San Diego State University Research Foundation:				
	SDSU Bridges to Baccalaureate Program	93.859	55127H P1598 7804 212	3,901	-
	Total U.S. Department of Health & Human Services			4,751	-
<u>U.S. Department of Homeland Security:</u>					
	Passed through the U.S. Customs and Border Protection Agency:				
	Paramedic Refresher Training Course	97.UNK	AR3586.12	2,308	-
	Total U.S. Department of Veterans Affairs			2,308	-
	Total expenditures of federal awards			\$ 29,793,401	\$ 400,324

See Notes to Schedule of Expenditures of Federal Awards

Southwestern Community College District
Notes to the Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2016

Note 1 – Reporting Entity

The financial reporting entity consists of the primary government, Southwestern Community College District (District), (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the primary government is not accountable, but for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete.

Note 2 – Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the District and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the Uniform Guidance. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the basic financial statements.

Consistent with management's policy, federal, state and local awards are recorded in various revenue categories. As a result, the amount of total awards expended on the Schedule does not agree to total grant and contract revenues on the Statement of Revenues, Expenditures and Changes in Net Position.

Southwestern Community College District
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2016

Section I – Summary of Audit Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP:	Unmodified
Internal control over financial reporting:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None Reported
Non-compliance material to the financial statements identified?	No

Federal Awards

Internal control over major programs:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?	No

Identification of major programs:

<u>Major Program</u>	<u>CFDA</u>	<u>Expenditures</u>
Financial Aid Cluster:		
PELL	84.063	\$ 25,023,357
SEOG	84.007	368,763
Federal Direct Student Loans	84.268	1,383,034
Federal Work Study	84.033	364,173
	Total financial aid cluster	<u>27,139,327</u>
	Total Major Program Expenditures	<u>\$ 27,139,327</u>
	Total Expenditures of Federal Awards	<u>\$ 29,793,401</u>
	Percent of Total Expenditures of Federal Awards	<u>91.09%</u>

Dollar threshold used to distinguish between type A and type B programs **\$893,802**

Auditee qualified as low-risk auditee in accordance with 2 CFR 200.520? **Yes**

**Southwestern Community College District
Schedule of Findings and Questioned Costs (Continued)
For the Year Ended June 30, 2016**

Section II – Financial Statement Findings

A. Current Year Financial Statement Findings

No financial statement findings were noted for the year ended June 30, 2016.

B. Prior Year Financial Statement Findings

No financial statement findings were noted for the year ended June 30, 2015.

Section III- Federal Awards Findings

A. Current Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2016.

B. Prior Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2015.

STATE COMPLIANCE

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INDEPENDENT AUDITORS' REPORT ON STATE COMPLIANCE REQUIREMENTS

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the California Community Colleges Contracted District Audit Manual (the "CDAM") 2015-2016, issued by the California Community Colleges Chancellor's Office for the year ended June 30, 2016.

Management's Responsibility

Management is responsible for the District's compliance with those requirements. Our responsibility is to express an opinion on the District's compliance based on our audit.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance based on our audit of the types of compliance referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the California Community Colleges Contracted Audit Manual (CDAM) 2015-2016, issued by the California Community Colleges Chancellor's Office. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide legal determination on the District's compliance with the state laws and regulations referred to above.

In connection with our audit referred to above, we selected and tested transactions and records to determine the District's compliance with the following state laws and regulations in accordance with Section 400 of the Chancellor's Office's California Community College Contracted District Audit Manual (CDAM).

421 – Salaries of Classroom Instructors (Fifty Percent Law)

The District's salaries of classroom instructors equaled or exceeded fifty percent of the District's current expense of education (CEE) in accordance with §84362 of the Education Code.

423 – Apportionment for Instructional Service Agreements/Contracts

The District did not claim apportionment for classes given through instructional service agreements, except as allowed by the California Community Colleges Chancellor's Office and the California Department of Finance.

424 – State General Apportionment Required Data Elements

The District maintains a separate and complete tabulation for each course section reported on the Apportionment Attendance Report Form CCFS-320.

425 – Residency Determination for Credit Courses

The District claimed only the attendance of California residents for state support of credit courses.

426 – Students Actively Enrolled

The District claimed only the attendance of students actively enrolled in a course section as of the census date for apportionment.

427 – Concurrent Enrollment of K-12 Students in Community College Credit Courses

The District claimed full-time equivalent students for K-12 students in accordance with Education Code §48800–48802, §76000–76002, and §84752 and California Code of Regulations, Title 5, §51004, §51006, §51021, §53410, §55002, §55100, §58100–58108, §58050, §58051(a) (1), §58051.5, §58052, §58056(a), §58058, §58060, and §59300 et seq.

429 – Student Success and Support Program (SSSP)

The District complied with the Title 5 provisions of the California Code of Regulations related to the Student Success and Support Program.

430 – Scheduled Maintenance Program

The District used funds provided by the State to supplement, not supplant, District deferred maintenance funds, defined as the amount spent in fiscal year 1995-1996 for Operation and Maintenance of Plant increased by an amount equal to the State's contribution and the District's match for the Scheduled Maintenance Program for the year ended June 30, 2014.

431 – GANN Limit Calculation

The District met the requirements of the GANN Amendment which establishes maximum appropriation limits for public agencies in accordance with Article XIII-B, §1.5, of the California Constitution.

435 – Open Enrollment

The District complied with the Title 5 provisions of the California Code of Regulations related to open enrollment by the general public for all courses being submitted for state apportionment funding.

438 – Student Fees - Health Fees and Use of Health Fee Funds

The District charges mandatory fees based on express statutory authority in accordance with §70902 and §76365 of the Education Code and California Code of Regulations, Title 5, §51012 and §54700-54710. During the year 2015-2016, no non-mandatory fees were charged.

439 – Prop 39 Clean Energy

The District complied with Public Resources Code §26225-26240, Education Code 84040, Approved CCC Prop 39 Energy Project Guidelines and the Project Funding Application, as well as Public Contract Code §20133 for Prop 39 Clean Energy-funded projects for the year ended June 30, 2016.

440 – Intersession Extension Programs

The District did not have an intersession program in place during fiscal year 2015-2016; therefore, this compliance requirement is not applicable.

475 – Disabled Student Programs and Services (DSPS)

The District served eligible DSPS student and submitted accurate student-count data for fiscal year 2015-2016 to document eligible DSPS students served.

479 – To Be Arranged Hours (TBA)

The District listed TBA hours in the schedule of classes and described them in the course outline and tracked TBA hour student participation carefully and did not claim apportionment for TBA hours for students that had documented zero hours as of the census point for the particular course.

490 – Proposition 1D State Bond Funded Projects

The District did not have any Proposition 1D State Bond funded projects for fiscal year 2015-2016; therefore, this compliance requirement is not applicable.

491 – Education Protection Account

The District properly disbursed and expended funds provided by the Education Protection Account as required by the *Schools and Local Public Safety Protection Act of 2012*.

Opinion

In our opinion, the District complied, in all material respects, with the state laws and regulations referred to above for the year ended June 30, 2016.

Purpose of this Report

The purpose of this report on compliance is solely to describe the scope of our testing of compliance and the results of that testing based on the state laws and regulations referred to above. Accordingly, this report is not suitable for any other purpose.

The Pw Group, LLP

San Diego, California
December 21, 2016

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OTHER SUPPLEMENTARY INFORMATION

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Southwestern Community College District
Other Supplementary Information
Purpose of Schedules
For the Year Ended June 30, 2016

PURPOSE OF SCHEDULES

Schedule of Workload Measures for Program-Based Funding

Full-time Equivalent Students (FTES) is a measurement of the number of pupils attending classes of the District on a full-time basis. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to community college districts. This schedule provides information regarding the attendance of students throughout the District.

Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Form CCFS-311 to the audited financial statements.

Reconciliation of the 50% Calculation with District Accounting Records

This schedule provides the information necessary to reconcile the numbers used in the District's 50% Law calculation reported on the form CCFS-311 to the District's accounting records.

Reconciliation of the Education Protection Account Expenditures with District Accounting Records

This schedule provides the information necessary to reconcile the expenditures of Education Protection Account funds reported on the Form CCFS-311 to the District's accounting records.

Schedule of Expenditures of State Awards

This schedule provides information about the types and amounts of State funding the District spent during the fiscal year.

Southwestern Community College District
Schedule of Workload Measures for State General Apportionment
and Annual Actual Attendance
For the Year Ended June 30, 2016

	Reported Data	Audit Adjustments	Revised Data
A. Summer Intersession (Summer 2015 only)			
1. Noncredit	6.65	-	6.65
2. Credit	9.42	-	9.42
B. Summer Intersession (Summer 2016 - Prior to July 1, 2016)			
1. Noncredit	8.06	-	8.06
2. Credit	4.39	-	4.39
C. Primary Terms (Exclusive of Summer Intersession)			
1. Census Procedure Courses			
(a) Weekly Census Contact Hours	10,010.34	-	10,010.34
(b) Daily Census Contact Hours	808.85	-	808.85
2. Actual Hours of Attendance Procedure Courses			
(a) Noncredit	243.23	-	243.23
(b) Credit	500.85	-	500.85
3. Independent Study/Work Experience			
(a) Weekly Census Contact Hours	1,303.28	-	1,303.28
(b) Daily Census Contact Hours	872.36	-	872.36
(c) Noncredit Independent Study/Distance Education Courses	-	-	-
D. Total FTES	13,767.43	-	13,767.43

Supplemental Information (subset of above information)

E. In-Service Training Courses (FTES)	-	-	-
H. Basic Skills courses and Immigrant Education			
(a) Noncredit	-	-	-
(b) Credit	1,683	-	1,683

CCFS-320 Addendum

CDCP Noncredit FTES	-	-	-
Centers FTES			
(a) Noncredit	-	-	-
(b) Credit	-	-	-

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements
For the Year Ended June 30, 2016

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	General Fund Unrestricted	General Fund Restricted	Capital Outlay	Prop R Fund	Student Center	Bond Interest and Redemption Fund
Fund balance per the CCFS-311 at June 30, 2016	\$ 11,624,240	\$ 1,772,214	\$ 6,294,656	\$ 172,830,460	\$ 369,260	\$ 24,827,126
Audit adjustments	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	(2)	6	(1)	1	1	-
Net adjustments and reclassifications	(2)	6	(1)	1	1	-
Fund balance per the audited fund financial statements at June 30, 2016	\$ 11,624,238	\$ 1,772,220	\$ 6,294,655	\$ 172,830,461	\$ 369,261	\$ 24,827,126

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements (Continued)
For the Year Ended June 30, 2016

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	Bookstore	Cafeteria	Federal Financial Aid	Self Insurance	ASO Student Clubs	Student Service Trust Funds
Fund balance per the CCFS-311 at June 30, 2016	<u>\$ 2,021,147</u>	<u>\$ 712,260</u>	<u>\$ 242,398</u>	<u>\$ 758,637</u>	<u>\$ 885,415</u>	<u>\$ 11,951</u>
Audit adjustments	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	<u>1</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(107,846)</u>	<u>-</u>
Net adjustments and reclassifications	<u>1</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(107,846)</u>	<u>-</u>
Fund balance per the audited fund financial statements at June 30, 2016	<u><u>\$ 2,021,148</u></u>	<u><u>\$ 712,260</u></u>	<u><u>\$ 242,398</u></u>	<u><u>\$ 758,637</u></u>	<u><u>\$ 777,569</u></u>	<u><u>\$ 11,951</u></u>

Southwestern Community College District
Reconciliation of 50% Calculation with
District Accounting Records
For the Year Ended June 30, 2016

		Activity (ECSA) ECS 84362 A Instructional Salary Cost AC 0100-5900 & AC 6110			Activity (ECSB) ECS 84362 B Total CEE AC 0100-6799		
	Object /TOP Codes	Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
<u>Academic Salaries</u>							
Instructional Salaries:							
Contract or Regular	1100	\$ 17,324,529	\$ -	\$ 17,324,529	\$ 17,324,529	\$ -	\$ 17,324,529
Other	1300	15,914,437	-	15,914,437	16,116,314	-	16,116,314
Total Instructional Salaries		33,238,966	-	33,238,966	33,440,843	-	33,440,843
Non-Instructional Salaries:							
Contract or Regular	1200	-	-	-	7,866,766	-	7,866,766
Other	1400	-	-	-	573,677	-	573,677
Total Non-Instructional Salaries		-	-	-	8,440,443	-	8,440,443
Total Academic Salaries		33,238,966	-	33,238,966	41,881,286	-	41,881,286
<u>Classified Salaries</u>							
Non-Instructional Salaries:							
Regular Status	2100	-	-	-	16,211,411	-	16,211,411
Other	2300	-	-	-	1,717,025	-	1,717,025
Total Non-Instructional Salaries		-	-	-	17,928,436	-	17,928,436
Instructional Aides:							
Regular Status	2200	2,029,296	-	2,029,296	2,029,296	-	2,029,296
Other	2400	688,871	-	688,871	720,593	-	720,593
Total Instructional Aides		2,718,167	-	2,718,167	2,749,889	-	2,749,889
Total Classified Salaries		2,718,167	-	2,718,167	20,678,325	-	20,678,325
Employee Benefits	3000	10,223,627	-	10,223,627	18,552,783	-	18,552,783
Supplies and Materials	4000	-	-	-	1,474,174	-	1,474,174
Other Operating Expenses	5000	568,301	-	568,301	8,353,567	-	8,353,567
Equipment Replacement	6420	-	-	-	-	-	-
Total Expenditures Prior to Exclusions		\$ 46,749,061	\$ -	\$ 46,749,061	\$ 90,940,135	\$ -	\$ 90,940,135
<u>Exclusions</u>							
Activities to Exclude:							
Instructional Staff-Retirees' Benefits and Retirement Services							
	5900	\$ 730,694	\$ -	\$ 730,694	\$ 730,694	\$ -	\$ 730,694
Student Health Services Above Amount Collected	6441	-	-	-	-	-	-
Student Transportation	6491	-	-	-	-	-	-
Noninstructional Staff-Retirees' Benefits and Retirement Incentives							
	6740	-	-	-	512,048	-	512,048
Objects to Exclude:							
Rents and Leases	5060	-	-	-	38,957	-	38,957
Lottery Expenditures		-	-	-	-	-	-
Academic Salaries	1000	-	-	-	-	-	-
Classified Salaries	2000	-	-	-	-	-	-
Employee Benefits	3000	-	-	-	-	-	-
Supplies and Materials:							
Software	4100	-	-	-	-	-	-
Books, Magazines, & Periodicals	4200	-	-	-	-	-	-
Instructional Supplies & Materials	4300	-	-	-	-	-	-
Noninstructional, Supplies & Materials	4400	-	-	-	-	-	-
Total Supplies and Materials		-	-	-	-	-	-
Other Operating Expenses and Services	5000	-	-	-	2,381,013	-	2,381,013
Capital Outlay:							
Capital Outlay	6000	-	-	-	-	-	-
Library Books	6300	-	-	-	-	-	-
Equipment - Additional	6410	-	-	-	-	-	-
Equipment - Replacement	6420	-	-	-	-	-	-
Total Capital Outlay		-	-	-	-	-	-
Other Outgo	7000	-	-	-	-	-	-
Total Exclusions		\$ 730,694	\$ -	\$ 730,694	\$ 3,662,712	\$ -	\$ 3,662,712
Total for ECS 84362, 50% Law		\$ 46,018,367	\$ -	\$ 46,018,367	\$ 87,277,423	\$ -	\$ 87,277,423
Percent of CEE (Instructional Salary Cost / Total CEE)		52.73%	-	52.73%	100.00%	-	100.00%
50% of Current Expense of Education					\$ 43,638,712	-	\$ 43,638,712

Southwestern Community College District
Reconciliation of Education Protection Account Expenditures
with District Accounting Records
For the Year Ended June 30, 2016

Education Protection Account proceeds per the CCFS-311: \$ 13,186,697

	Activity Code (0100-5900)	Salaries & Benefits (1000-3000)	Operating Expenses (4000-5000)	Capital Outlay (6000)	Total
Instructional Activities	\$ -	\$ 13,186,697	\$ -	\$ -	\$ 13,186,697

Southwestern Community College District
Schedule of Expenditures of State Awards
For the Year Ended June 30, 2016

State Agency	Program Name	Cash Received	Accounts Receivable	Unearned Income	Total	Total Program Expenditures
State Department of Education						
Direct Programs:						
	AB104 - Adult Education Consortium Block Grant	\$ 2,225,805	\$ -	\$ 762,792	\$ 1,463,013	\$ 1,463,013
	Adult 86 - Adult Education	12,130	-	623	11,507	11,507
	Total direct programs	2,237,935	-	763,415	1,474,520	1,474,520
Passed through California Community College Chancellor's Office:						
	Telecommunications	-	-	-	-	-
	Deputy Sector Navigator (DSN)	7,017	127,073	-	134,090	134,090
	Instructional Supplies and Materials	490,166	-	-	490,166	490,166
	Instructional Equipment and Library	774,810	753,333	395,098	1,133,045	1,133,045
	Center for International Trade Development	40,570	159,430	-	200,000	200,000
	Small Business Sector Navigator	-	7,374	-	7,374	7,374
	CTE Enhancement Fund	366,699	-	167,687	199,012	199,012
	Total passed through California Community Colleges Chancellor's Office	1,679,262	1,047,210	562,785	2,163,687	2,163,687
	Total State Department of Education	3,917,197	1,047,210	1,326,200	3,638,207	3,638,207
California Community Colleges Chancellor's Office:						
I Direct Programs:						
	Basic Skills	638,742	-	262,596	376,146	376,146
	EOPS Category A	2,320,681	-	-	2,320,681	2,320,681
	EOPS CARE Support	188,447	-	-	188,447	188,447
	DSPS Programs and Services	1,880,197	-	-	1,880,197	1,880,197
	California Work Opportunity and Responsibility for Kids (CalWorks)	423,918	37,987	-	461,905	461,905
	Matriculation Assessment	4,277,255	-	967,112	3,310,143	3,310,143
	Matriculation Non-Credit	77,663	-	69,758	7,905	7,905
	Temporary Cash Assistance for Needy Families (TANF)	89,257	471	-	89,728	89,728
	Associate Degree Nursing Enrollment Growth	106,912	39,775	-	146,687	146,687
	BFAP Financial Aid Allowance	675,327	36,876	-	712,203	712,203
	Student Equity	2,552,366	-	934,232	1,618,134	1,618,134
	Title V - Puertas al Futuro	375,435	45,838	-	421,273	421,273
	Total direct programs	13,606,200	160,947	2,233,698	11,533,449	11,533,449
Passed through Rancho Santiago Community College District:						
	California State Trade and Export Program (CalSTEP)	-	-	-	-	-
	Total California Community Colleges Chancellor's Office	13,606,200	160,947	2,233,698	11,533,449	11,533,449
California Governor's Office of Business and Economic Development:						
Direct Programs:						
	Go-Biz	141,561	111,256	-	252,817	252,817
	Total California Department of Boating and Waterways	141,561	111,256	-	252,817	252,817
California Department of Boating and Waterways:						
Direct Programs:						
	Aquatic Center Grant	73,111	-	39,254	33,857	33,857
	Total California Department of Boating and Waterways	73,111	-	39,254	33,857	33,857
	Total State Programs	\$ 17,738,069	\$ 1,319,413	\$ 3,599,152	\$ 15,458,330	\$ 15,458,330

Southwestern Community College District
Budget Comparison Schedule - General Fund
For the Year Ended June 30, 2016

	General Fund - Unrestricted			General Fund-Restricted		
			Variance			Variance
			Favorable			Favorable
	Budget	Actual	(Unfavorable)	Budget	Actual	(Unfavorable)
REVENUES:						
Federal	\$ 207,000	\$ 225,742	\$ 18,742	\$ 3,703,875	\$ 3,028,273	\$ (675,602)
State	67,512,663	70,066,563	2,553,900	18,906,896	15,485,177	(3,421,719)
Local	29,601,655	29,656,442	54,787	3,632,879	3,129,719	(503,160)
Total revenues	97,321,318	99,948,747	2,627,429	26,243,650	21,643,169	(4,600,481)
EXPENDITURES:						
Salaries	64,456,820	63,860,014	596,806	13,964,620	11,203,134	2,761,486
Employee benefits	17,606,981	16,595,528	1,011,453	2,882,969	2,630,281	252,688
Payments to students	100,000	1,092,951	(992,951)	1,432,897	1,281,979	150,918
Supplies, materials, and other expenses	13,861,340	8,449,288	5,412,052	8,917,431	7,489,985	1,427,446
Utilities	2,297,544	1,906,702	390,842	24,192	16,244	7,948
Total expenditures	98,322,685	91,904,483	6,418,202	27,222,109	22,621,623	4,600,486
REVENUES OVER (UNDER) EXPENDITURES	(1,001,367)	8,044,264	9,045,631	(978,459)	(978,454)	5
OTHER FINANCING SOURCES (USES):						
Transfers in	-	-	-	978,459	978,459	-
Transfers out	-	(4,825,021)	(4,825,021)	-	-	-
Total other financing sources (uses)	-	(4,825,021)	(4,825,021)	978,459	978,459	-
CHANGES IN FUND BALANCES	\$ (1,001,367)	3,219,243	\$ 4,220,610	\$ -	5	\$ 5
FUND BALANCES:						
Beginning of year		8,404,995			1,772,215	
End of year		<u>\$ 11,624,238</u>			<u>\$ 1,772,220</u>	

APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Southwestern Community College District (the “District”) in connection with the issuance of \$140,000,000 of the District’s Election of 2016 General Obligation Bonds, Series A (the “Bonds”). The Bonds are being issued pursuant to a resolution adopted by the Governing Board of the District on October 10, 2017 (the “Resolution”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean initially KNN Public Finance, LLC, or any successor Dissemination Agent designated in writing by the District (which may be the District) and which has filed with the District a written acceptance of such designation.

“Holders” shall mean the registered owners of the Bonds.

“Listed Events” shall mean any of the events listed in Sections 5(a) and (b) of this Disclosure Certificate.

“Official Statement” shall mean the Official Statement, dated as of November 7, 2017, relating to the offer and sale of the Bonds.

“Participating Underwriters” shall mean Piper Jaffray & Co., Citigroup Global Markets Inc., and Samuel A. Ramirez & Co., Inc., as the original underwriters of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

“Repository” shall mean the Municipal Securities Rulemaking Board, which can be found at <http://emma.msrb.org/>, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District's fiscal year (presently ending June 30), commencing with the report for the 2016-17 Fiscal Year, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; *provided* that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(b).

(b) Not later than thirty (30) days (nor more than sixty (60) days) prior to said date the Dissemination Agent shall give notice to the District that the Annual Report shall be required to be filed in accordance with the terms of this Disclosure Certificate. Not later than fifteen (15) Business Days prior to said date, the District shall provide the Annual Report in a format suitable for reporting to the Repository to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repository an Annual Report by the date required in subsection (a), the District shall send a timely notice to the Repository in substantially the form attached as Exhibit A with a copy to the Dissemination Agent. The Dissemination Agent shall not be required to file a Notice to Repository of Failure to File an Annual Report.

(c) The Dissemination Agent shall file a report with the District stating it has filed the Annual Report in accordance with its obligations hereunder, stating the date it was provided.

SECTION 4. Content and Form of Annual Reports.

(a) The District's Annual Report shall contain or include by reference the following:

1. The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District's audited financial statements):

- (A) State funding received by the District for the last completed fiscal year;
- (B) Full time equivalent student counts of the District for the last completed fiscal year;
- (C) Outstanding District indebtedness;

- (D) Summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the then-current current fiscal year;
- (E) Assessed valuation for real property located in the District for the then-current fiscal year; and
- (F) Secured *ad valorem* tax delinquencies within the District for the current year, to the extent that the County discontinues the Teeter Plan (as such term is defined in the Official Statement).

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the Repository or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

(b) The Annual Report shall be filed in an electronic format, and accompanied by identifying information, as prescribed by the Municipal Securities Rulemaking Board.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5(a), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not in excess of 10 business days after the occurrence of the event:

1. principal and interest payment delinquencies.
2. tender offers.
3. defeasances.
4. rating changes.
5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, or Notices of Proposed Issue (IRS Form 5701-TEB).
6. unscheduled draws on the debt service reserves reflecting financial difficulties.
7. unscheduled draws on credit enhancement reflecting financial difficulties.
8. substitution of the credit or liquidity providers or their failure to perform.
9. bankruptcy, insolvency, receivership or similar event (within the meaning of the Rule) of the District. For the purposes of the event identified in this Section 5(a)(9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the

entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

(b) Pursuant to the provisions of this Section 5(b), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.
2. modifications to rights of Bondholders.
3. optional, contingent or unscheduled Bond calls.
4. unless described under Section 5(a)(5) above, adverse tax opinions, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.
5. release, substitution or sale of property securing repayment of the Bonds.
6. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.
7. appointment of a successor or additional paying agent with respect to the Bonds or the change of name of such paying agent.

(c) Whenever the District obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the District shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) hereof would be material under applicable federal securities laws, the District shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file any report of Listed Events. The Dissemination Agent may conclusively rely on the District's determination of materiality pursuant to Section 5(c).

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(a) or Section 5(b), as applicable.

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent (or substitute Dissemination Agent) to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign upon fifteen (15) days written notice to the

District. Upon such resignation, the District shall act as its own Dissemination Agent until it appoints a successor. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate and shall not be responsible to verify the accuracy, completeness or materiality of any continuing disclosure information provided by the District. The District shall compensate the Dissemination Agent for its fees and expenses hereunder as agreed by the parties. Any entity succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor Dissemination Agent without the execution or filing of any paper or further act.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

- (a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;
- (b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;
- (c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds; and
- (d) No duties of the Dissemination Agent hereunder shall be amended without its written consent thereto.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(b), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be

necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The Dissemination Agent acts hereunder solely for the benefit of the District; this Disclosure Certificate shall confer no duties on the Dissemination Agent to the Participating Underwriters, the Holders and the Beneficial Owners. The District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the District has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the District's duty to comply with its continuing disclosure requirements hereunder.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: November 30, 2017

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By _____
Vice President for
Business and Financial Affairs

EXHIBIT A

NOTICE TO REPOSITORY OF FAILURE TO FILE ANNUAL REPORT

Name of District: SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

Name of Bond Issue: Election of 2016 General Obligation Bonds, Series A

Date of Issuance: November 30, 2017

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate relating to the Bonds. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By _____ [form only; no signature required]

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APPENDIX D

GENERAL ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF CHULA VISTA AND SAN DIEGO COUNTY

The following information regarding the City of Chula Vista (the “City”), and San Diego County (the “County”) is included only for the purpose of supplying general information regarding the local community and economy. The Bonds are not a debt of the City, the County or the State of California (the “State”).

General

City of Chula Vista is the second largest city in the San Diego metropolitan area, covering approximately 50 square miles. The City is located on San Diego Bay, eight miles south of the City of San Diego and seven miles north of the Mexico border, in an area generally known as “South Bay.” The City is a charter city and operates under a Council-Manager form of government. The City Council is composed of the Mayor and four Councilmembers who are elected at-large and are limited to two terms of office. The City Council also appoints the City Manager who is the Executive Officer of the City and the City Clerk. Neighboring communities include the City of San Diego and National City to the north and the City of Imperial Beach and the communities of San Ysidro and Otay Mesa to the south.

San Diego County is located in the southwestern corner of the State. It is bordered by the Pacific Ocean on the west, Imperial County to the east, Riverside and Orange Counties to the north and by the Mexican border to the south. The County is the second most populous county in the State. Topography of the County varies from broad coastal plains and fertile inland valleys to mountain ranges in the east that rise to an elevation of 6,500 feet. The eastern slopes of these mountains form the outer rim of the Anza-Borrego Desert and the Imperial Valley. The Cleveland National Forest occupies much of the interior portion of the County.

The County was incorporated on February 18, 1850 and functions under a charter adopted in 1933, which is amended from time to time. The County is governed by a five-member Board of Supervisors elected to four-year terms in district nonpartisan elections. The Board of Supervisors appoints the Chief Administrative Officer and the County Counsel. Elected officials include the Assessor/County Clerk/Recorder, District Attorney, Sheriff and Treasurer/Tax Collector.

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Population

The following table below shows historical population figures for the City, the County and the State from 2008 through 2017.

POPULATION ESTIMATES
2008 through 2017
City of Chula Vista, San Diego County and State of California

<u>Year⁽¹⁾</u>	<u>City of Chula Vista</u>	<u>County of San Diego</u>	<u>State of California</u>
2008	235,767	3,032,689	36,704,375
2009	239,369	3,064,436	36,966,713
2010 ⁽²⁾	243,916	3,095,313	37,253,956
2011	246,475	3,120,688	37,536,835
2012	250,774	3,153,951	37,881,357
2013	256,366	3,195,215	38,238,492
2014	260,416	3,231,651	38,572,211
2015	263,028	3,266,192	38,915,880
2016	264,911	3,286,717	39,189,035
2017	267,917	3,316,192	39,523,613

⁽¹⁾ As of January 1.

⁽²⁾ As of April 1.

Source: 2010: U.S. Department of Commerce, Bureau of the Census, for April 1.

2008-09, 2011-17 (2000 and 2010 Demographic Research Unit Benchmark): California Department of Finance for January 1.

Personal Income

The following table summarizes 10 years of per capita personal income for the County, State and United States from 2006 through 2015.

PER CAPITA PERSONAL INCOME⁽¹⁾
2006 through 2015
San Diego County, State of California, and United States

<u>Year</u>	<u>San Diego County</u>	<u>State of California</u>	<u>United States</u>
2006	\$44,150	\$42,334	\$38,144
2007	44,912	43,692	39,821
2008	45,383	44,162	41,082
2009	43,269	42,224	39,376
2010	43,995	43,315	40,277
2011	46,374	45,820	42,453
2012	47,961	48,312	44,267
2013	48,938	48,471	44,462
2014	51,174	50,988	46,414
2015	53,298	53,741	48,112

⁽¹⁾ Per capita personal income is the total personal income divided by the total mid-year population estimates of the U.S. Bureau of the Census. All dollar estimates are in current dollars (not adjusted for inflation).

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Employment

With respect to the City, County, and State, the following table summarizes the civilian labor force, employment and unemployment for the years 2012 through 2016.

CIVILIAN LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT
2012 through 2016
City of Chula Vista, San Diego County and the State of California

<u>Year</u>	<u>Area</u>	<u>Labor Force</u>	<u>Employment</u>	<u>Unemployment</u>	<u>Unemployment Rate</u>
2012	City of Chula Vista	121,300	107,500	13,800	11.4%
	San Diego County	1,540,400	1,399,900	140,600	9.1
	State of California	18,523,800	16,602,700	1,921,100	10.4
2013	City of Chula Vista	121,100	109,300	11,800	9.8%
	San Diego County	1,543,200	1,422,500	120,700	7.8
	State of California	18,624,200	16,958,700	1,665,600	8.9
2014	City of Chula Vista	120,700	110,900	9,700	8.1%
	San Diego County	1,543,700	1,444,500	99,300	6.4
	State of California	18,755,000	17,348,600	1,406,400	7.5
2015	City of Chula Vista	121,100	113,200	7,900	6.5%
	San Diego County	1,554,800	1,474,400	80,400	5.2
	State of California	18,893,200	17,723,300	1,169,900	6.2
2016	City of Chula Vista	122,200	115,000	7,200	5.9%
	San Diego County	1,570,400	1,497,000	73,500	4.7
	State of California	19,102,700	18,065,000	1,037,700	5.4

Note: Data is based on annual averages, unless otherwise specified, and is not seasonally adjusted.

Source: U.S. Department of Labor – Bureau of Labor Statistics, California Employment Development Department. March 2016 Benchmark.

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Industry

The City is included in the San Diego-Carlsbad Metropolitan Statistical Area (the “MSA”). The distribution of employment in the MSA is presented in the following table for calendar years 2012 through 2016. These figures are multi county-wide statistics and may not necessarily accurately reflect employment trends within the communities served by the District.

INDUSTRY EMPLOYMENT & LABOR FORCE 2012 through 2016⁽¹⁾ San Diego-Carlsbad Metropolitan Statistical Area

	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>
Total Farm	9,800	9,800	9,400	9,100	9,000
Mining, Logging and Construction	57,400	61,300	64,300	70,200	76,400
Manufacturing:	98,200	99,400	102,200	106,200	107,800
Wholesale Trade	43,500	43,900	43,700	44,000	44,800
Retail Trade	137,200	141,300	144,300	146,800	147,400
Transportation, Warehousing & Utilities	27,300	27,200	27,000	28,400	29,400
Information	24,500	24,300	24,400	23,800	23,600
Financial Activities	69,800	70,800	69,400	71,200	73,000
Professional & Business Services	213,400	221,100	224,300	230,200	234,000
Education & Health Services	174,500	181,000	186,000	192,700	198,500
Leisure & Hospitality	161,700	168,600	177,000	183,900	190,700
Other Services	49,200	49,300	52,000	53,200	54,900
Government	<u>227,800</u>	<u>229,500</u>	<u>231,900</u>	<u>236,200</u>	<u>242,100</u>
Total (all industries)	1,294,400	1,327,500	1,355,900	1,395,900	1,431,600

⁽¹⁾ Annual averages, unless otherwise specified.

Note: Items may not add to total due to independent rounding.

Source: California Employment Development Department, Labor Market Information Division. March 2016 Benchmark.

Largest Employers

The following tables list the most recently available data concerning the ten largest employers located in the City and the County.

LARGEST EMPLOYERS 2016 City of Chula Vista

<u>Rank</u>	<u>Employer</u>	<u>Number of Employees</u>	<u>Description</u>
1.	Sweetwater Union High School District	4,385	Secondary education
2.	Chula Vista Elementary School District	3,245	Primary education
3.	Rohr Inc./Goodrich Aerospace	2,468	Aircraft component manufacturer
4.	Sharp Chula Vista Medical Center	2,131	Health care and hospital
5.	Southwestern Community College ⁽¹⁾	1,409	Higher education
6.	Wal-Mart	1,239	Retail
7.	City of Chula Vista	1,195	City government
8.	Scripps Mercy Hospital Chula Vista	1,088	Health care and hospital
9.	Costco	760	Retail
10.	Aquatica	513	SeaWorld Waterpark

⁽¹⁾ For employment information regarding the District, see “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – Labor Relations” in the front part of this Official Statement.

Source: City of Chula Vista Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2016.

LARGEST EMPLOYERS
2016
San Diego County

<u>Rank</u>	<u>Employer</u>	<u>Employees</u>	<u>Industry</u>
1.	University of California, San Diego	30,671	Educational Services
2.	Sharp HealthCare	17,809	Health Services
3.	County of San Diego	17,034	Public Administration
4.	Scripps Health	14,863	Health Services
5.	City of San Diego	11,347	City government and Services
6.	Kaiser Permanente	8,406	Health Services
7.	UC San Diego Health	7,438	Health Services
8.	San Diego Community College District	5,902	Educational Services
9.	General Atomics Aeronautical Systems, Inc.	5,480	Transportation Equipment
10.	Rady Children's Hospital – San Diego	5,129	Health Services

Source: *County of San Diego Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2016.*

Retail Trade

The following tables show a five-year history of taxable sales for the City and the County:

TAXABLE SALES
2011 through 2015
City of Chula Vista
(Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Outlets Taxable Transactions</u>
2011	2,714	\$2,184,654	4,095	\$2,421,666
2012	2,778	2,258,846	4,149	2,501,497
2013	2,835	2,333,365	4,182	2,589,379
2014	2,914	2,395,041	4,291	2,667,866
2015	--	2,394,868	--	2,687,701

Note: Beginning in 2015, the outlet counts in these reports show the number of outlets that were active during the reporting period. Retailers that operate part-time are now tabulated with store retailers. Industry-level data for 2015 are not comparable to that of prior years.

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

**TAXABLE SALES
2011 through 2015
San Diego County
(Dollars in Thousands)**

<u>Year</u>	<u>Retail Permits</u>	Retail Stores Taxable <u>Transactions</u>	<u>Total Permits</u>	Total Outlets Taxable <u>Transactions</u>
2011	56,723	\$31,985,292	83,971	\$45,090,382
2012	57,143	34,153,236	84,267	47,947,035
2013	58,466	35,948,594	85,143	50,297,331
2014	59,705	37,257,495	86,671	52,711,639
2015	--	37,989,566	--	54,185,588

Note: Beginning in 2015, the outlet counts in these reports show the number of outlets that were active during the reporting period. Retailers that operate part-time are now tabulated with store retailers. Industry-level data for 2015 are not comparable to that of prior years.

Source: "Taxable Sales in California (Sales & Use Tax)," California State Board of Equalization.

Construction

The tables provided below show the building permits and valuations for the City and the County for years 2012 through 2016.

**BUILDING PERMITS AND VALUATIONS
City of Chula Vista
2012 through 2016
(Dollars in Thousands)**

	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>
<u>Valuation</u>					
Residential	\$206,329	\$167,859	\$206,643	\$143,177	\$172,212
Non-residential	<u>19,841</u>	<u>54,727</u>	<u>38,198</u>	<u>61,066</u>	<u>86,935</u>
Total	\$226,170	\$222,586	\$244,841	\$204,243	\$258,147

<u>New Housing Units</u>					
Single Units	453	300	118	100	81
Multiple Units	<u>336</u>	<u>306</u>	<u>927</u>	<u>617</u>	<u>964</u>
Total	789	606	1,045	717	1,045

Note: Totals may not add due to independent rounding.

Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS
2012 through 2016
San Diego County
(Dollars in Thousands)

	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>
<u>Valuation</u>					
Residential	\$1,609,782	\$2,060,249	\$1,818,853	\$2,447,042	\$2,472,237
Non-residential	<u>1,235,122</u>	<u>1,425,426</u>	<u>1,920,627</u>	<u>1,862,502</u>	<u>1,782,421</u>
Total	\$2,844,904	\$3,485,675	\$3,739,480	\$4,309,544	\$4,254,658
<u>New Housing Units</u>					
Single Units	2,100	2,539	2,276	3,136	2,420
Multiple Units	<u>4,319</u>	<u>5,803</u>	<u>4,327</u>	<u>6,869</u>	<u>7,680</u>
Total	6,419	8,342	6,603	10,005	10,100

Source: Construction Industry Research Board.

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APPENDIX E

SAN DIEGO COUNTY INVESTMENT POOL

The following information concerning the San Diego County Investment Pool (the “Investment Pool”) has been provided by the Treasurer, and has not been confirmed or verified by the District or the Underwriters. Neither the District nor the Underwriters has made an independent investigation of the investments in the Investment Pool and neither has made an assessment of the current County investment policy. The value of the various investments in the Investment Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Investment Pool will not vary significantly from the values described herein. Finally, neither the District nor the Underwriters makes any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Additional information regarding the Investment Pool may be obtained from the Treasurer at <http://www.sdttc.com/>; however, the information presented on such website is not incorporated herein by any reference.

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COUNTY OF SAN DIEGO INVESTMENT POOL TREASURY INVESTMENT RESULTS

**SEPT
2017**

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SUMMARY PORTFOLIO STATISTICS

County of San Diego Pooled Money Fund

As of September 30, 2017

	Par Value	Book Value	Market Value	% of Portfolio	Market Price	WAM	WAC	YTM	YTW	Accrued Interest	Unrealized Gain/Loss
Asset Backed Securities	194,395,669	194,277,557	194,149,420	2.54	99.873	778	-	1.410	1.410	100,191	(128,137)
Bank Deposit	36,795,416	36,795,416	36,795,416	0.48	100.000	1	-	1.000	1.000	28,389	0
Commercial Paper Disc	1,901,000,000	1,894,718,289	1,886,980,680	24.75	99.263	85	-	1.376	1.376	-	(7,737,609)
FDIC CDs	250,000	250,000	250,000	0.00	100.000	23	-	0.700	0.700	190	-
Federal Agency - Step Up	357,077,000	357,011,984	353,758,506	4.66	99.070	1,492	31	1.915	1.385	1,240,653	(3,253,479)
Federal Agency Amer Callable	50,000,000	50,000,000	49,752,250	0.65	99.505	533	75	1.290	1.290	23,333	(247,750)
Federal Agency Berm Callable	552,910,000	552,843,733	550,988,019	7.22	99.652	691	48	1.411	1.411	1,995,127	(1,855,713)
Federal Agency Coupon Securities	866,000,000	867,521,376	862,498,180	11.33	99.602	740	26	1.290	1.290	3,572,476	(5,023,196)
Federal Agency Euro Callable	560,120,000	560,145,982	555,397,949	7.32	99.157	871	115	1.368	1.368	1,526,643	(4,748,033)
Money Market Accounts	280,000,000	280,000,000	280,000,000	3.66	100.000	1	-	0.690	0.690	51,232	-
Negotiable CDs	1,495,900,000	1,495,903,704	1,495,900,000	19.54	100.000	174	-	1.440	1.440	6,356,786	(3,704)
Supranational Callable	234,350,000	234,080,386	232,511,650	3.06	99.216	828	151	1.347	1.347	1,096,296	(1,568,736)
Supranationals	494,500,000	493,781,072	491,976,340	6.45	99.492	649	-	1.395	1.395	1,809,678	(1,804,732)
Treasury Coupon Securities	637,000,000	638,586,819	635,508,200	8.34	99.768	673	-	1.203	1.203	2,773,639	(3,078,619)
Totals for September 2017	7,660,298,085	7,655,916,318	7,626,466,610	100.00	99.560	468	62	1.365	1.340	20,574,633	(29,449,708)
Totals for August 2017	7,708,995,392	7,703,912,056	7,684,271,078	100.00	99.681	461	62	1.338	1.312	18,955,284	(19,640,978)
Change From Prior Month	(48,697,307)	(47,995,737)	(57,804,468)		(0.121)	7	-	0.027	0.028	1,619,350	(9,808,730)

Portfolio Effective Duration 1.13 years

	Fiscal Year		Calendar Year	
	Monthly Return	Annualized	To Date Return	Annualized
Book Value	0.110%	1.340%	0.330%	1.308%
Market Value	0.111%	1.345%	0.331%	1.312%

Note

Yield to maturity (YTM) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the maturity date.

Yield to call (YTC) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the call date.

Yield to worst (YTW) is the lesser of yield to maturity or yield to call, reflecting the optionality of the bond issuer.

Yields for the portfolio are aggregated based on the book value of each security.

Monthly Investment Returns are reported gross of fees. Administration fees since January 2017 have averaged approximately 8 basis points per annum

* All Investments held during the month of September 2017 were in compliance with the Investment Policy dated January 1, 2017.

CASH FLOW ANALYSIS

County of San Diego Pooled Money Fund

As of September 30, 2017

(\$000)

	Sep-17	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	Mar-18
Beginning Pool Book Balance	7,703,912	7,655,916	7,612,538	8,511,189	9,961,677	9,216,234	8,799,286
CASH FLOW ITEMS							
INFLOWS:							
Investment Inflows	676,100	678,745	476,350	698,600	534,000	280,000	405,000
Projected Credits/Deposits	1,024,875	1,106,689	2,037,151	3,021,000	775,477	821,052	1,290,000
	1,700,975	1,785,434	2,513,501	3,719,600	1,309,477	1,101,052	1,695,000
Outflows							
Investment Purchases	616,000	198,000	86,350	108,600	40,000	35,000	35,000
Projected Debits	1,072,871	1,150,067	1,138,500	1,570,512	1,520,920	1,238,000	1,149,000
	1,688,871	1,348,067	1,224,850	1,679,112	1,560,920	1,273,000	1,184,000
Net Cash Flows	(47,996)	(43,378)	898,651	1,450,488	(745,443)	(416,948)	141,000
MONTH END POOL BALANCE	7,655,916	7,612,538	8,511,189	9,961,677	9,216,234	8,799,286	8,940,286
PROJECTED MONTH END LIQUIDITY	\$ 230,000	\$ 667,367	\$ 1,956,018	\$3,996,506	\$3,745,063	\$3,573,115	\$4,084,115

Note: The above is not meant to be a complete Cash Flow Statement. The data represents a subset of the main cash flow items and does not include accrued interest or other adjustment items.

The projected cash flows indicate sufficient liquidity to meet all scheduled expenditures for the next 6 months.

PARTICIPANT CASH BALANCES

San Diego Pooled Money Fund

As of September 30, 2017

(\$000)

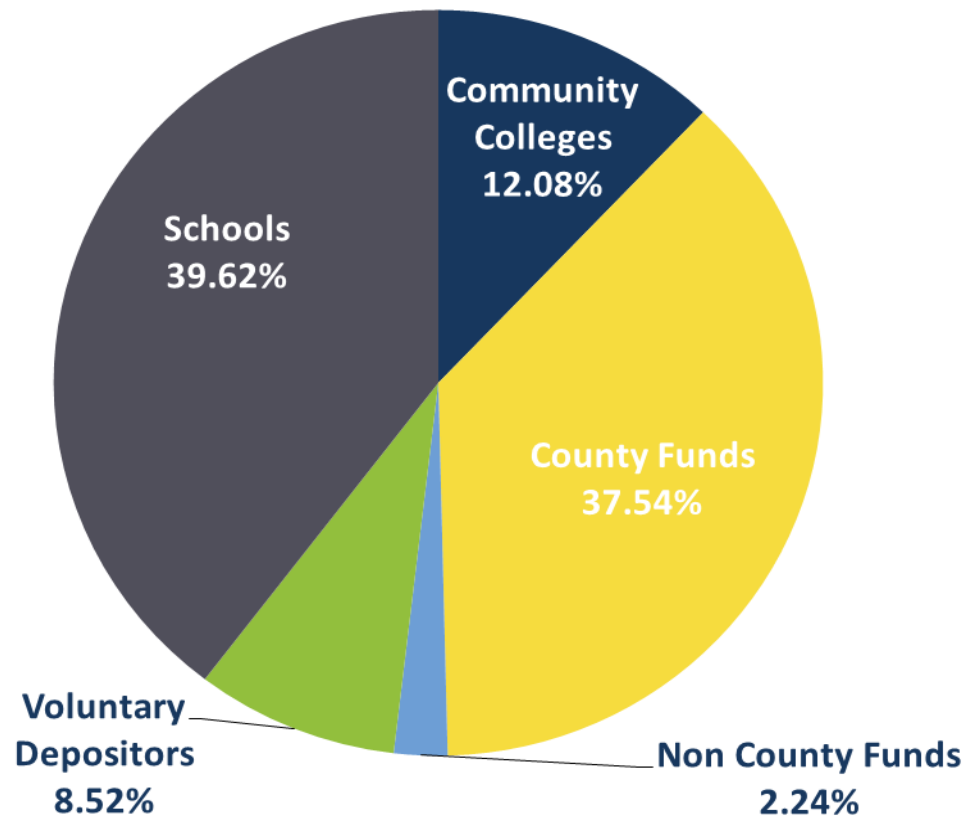
PARTICIPANT	FMV 07/31/17	FMV 08/31/17	FMV 09/30/17	% of Total
COUNTY	\$ 737,847	\$ 746,538	\$ 772,963	10.14%
COUNTY - SPECIAL TRUST FUNDS	2,120,858	2,050,987	2,089,388	27.40%
NON-COUNTY INVESTMENT FUNDS	175,223	161,182	171,114	2.24%
SCHOOLS - (K THRU 12)	3,609,906	3,236,661	3,021,728	39.62%
COMMUNITY COLLEGES				
San Diego	323,898	253,097	249,186	3.27%
Grossmont	103,757	79,830	80,261	1.04%
Mira Costa	42,112	34,845	121,225	1.59%
Palomar	393,115	361,391	343,565	4.50%
Southwestern	161,863	136,537	128,051	1.68%
Total Community Colleges	1,024,745	865,700	922,288	12.08%
SDCERA	5,466	598	596	
SANCAL	8,036	8,046	8,012	
SANDAG	32,969	34,024	34,695	
CITIES				
Chula Vista	149,368	131,633	131,080	
Coronado	0	0	19,841	
Del Mar	3,083	2,590	2,579	
Encinitas	2	2	2	
National City	8,101	8,112	8,078	
INDEPENDENT AGENCIES				
Alpine FPD	1,226	983	708	
Bonita Sunnyside FPD	5,081	5,130	4,677	
Borrego Springs FPD	1,251	1,269	1,171	
Canbrake County Water District	51	51	51	
Deer Springs FPD	9,578	9,445	9,599	
Fallbrook Public UTL	15	15	15	
Grossmont Healthcare District	1,015	1,017	1,012	
Public Agency Self Insurance System	3,386	3,391	3,376	
Julian-Cuyamaca FPD	62	65	66	
Lake Cuyamaca Rec & Park	162	157	158	
Lakeside Fire	5,919	5,211	5,028	
Leucadia Water District	9,555	9,568	9,528	

PARTICIPANT	FMV 07/31/17	FMV 08/31/17	FMV 09/30/17	% of Total
Lower Sweetwater FPD	567	470	466	
Metropolitan Transit System	6,596	6,299	8,183	
Mission Resource Conservation District	317	318	317	
North County Cemetery District	1,401	1,406	1,428	
North County Cemetry Perpetual	1,544	1,556	1,564	
North County Cemetery	997	1,051	985	
North County Dispatch	3,231	3,918	3,590	
North County Fire	2,301	1,561	1,580	
Otay Water District Investment	4,107	4,113	4,096	
Pine Valley FPD	501	331	331	
Pomerado Cemetery District	1,792	1,777	1,707	
Ramona Cemetery District	545	518	493	
Ramona Cemetery Perpetual	383	383	382	
Rancho Santa Fe FPD	13,257	12,313	11,428	
Rincon del Diablo Municipal Water District	3,045	3,049	3,036	
San Diego Housing Commission	17,201	17,225	20,625	
San Diego Geographic Information Source	413	621	561	
San Diego Law Library	3,030	3,049	3,090	
San Diego Local Agency Formation Comr	1,440	1,896	1,670	
San Diego Regional Training Center	431	305	230	
San Dieguito River	1,589	1,530	1,448	
San Marcos FPD	1	1	1	
San Miguel FPD	8,036	8,684	8,536	
Santa Fe Irrigation District	4,209	4,215	4,197	
Serra Cooperative Library System	217	230	229	
SDC Regional Airport Authority	153,754	295,054	298,949	
Upper San Luis Rey Reservoir	42	42	42	
Vallecitos Water District	5,169	5,177	5,155	
Valley Center FPD	3,399	3,060	2,825	
Valley Cntr Cemetery	88	88	88	
Valley Ctr Cem Perpetual	257	257	256	
Valley Ctr Water District	17,195	19,016	18,851	
Vista FPD	2,381	2,384	2,374	
Total Independent Agencies	503,760	623,203	648,985	8.52%
Pooled Money Fund Total	\$ 8,172,339	\$ 7,684,271	\$ 7,626,466	100.00%

INVESTMENT FUND PARTICIPANTS

San Diego Pooled Money Fund

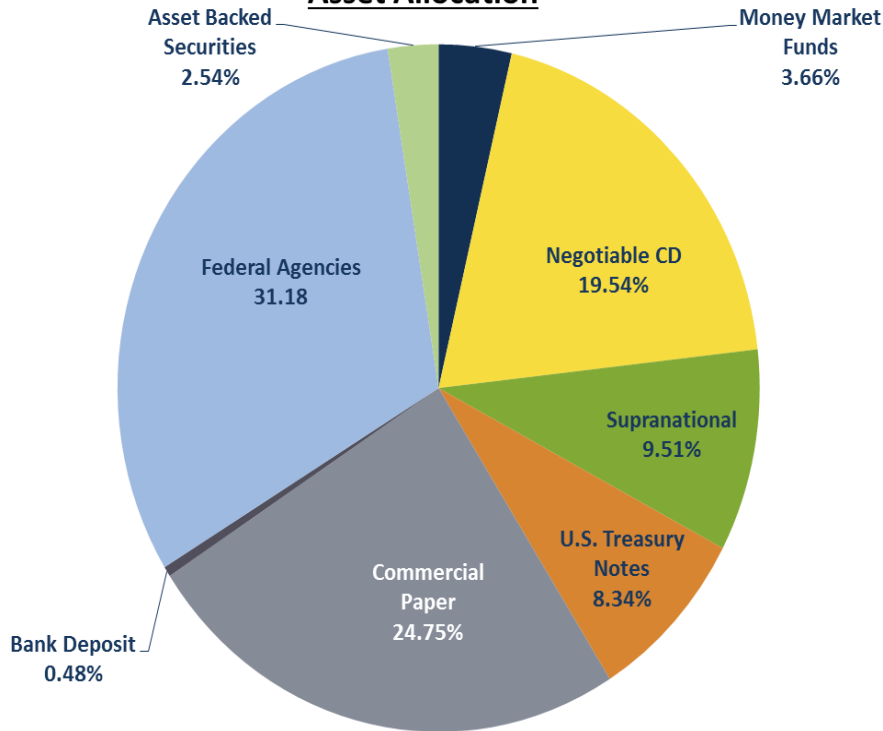
As of September 30, 2017



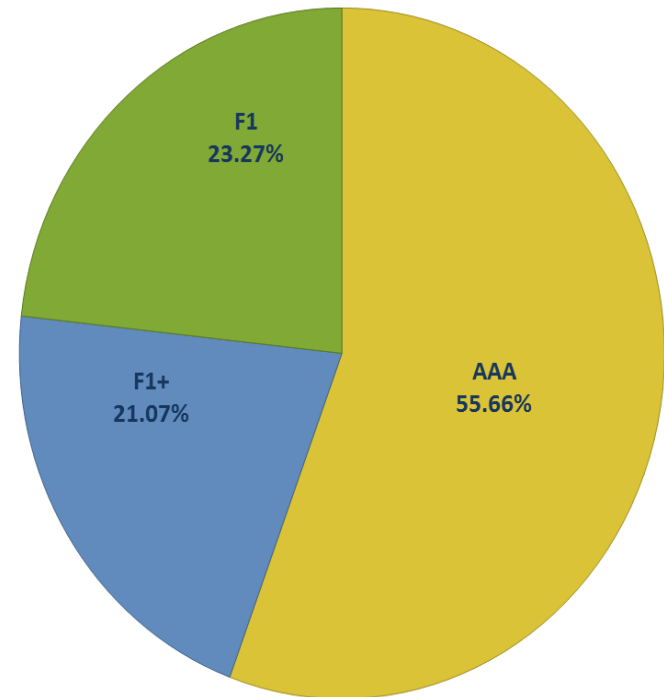
INVESTMENT FUND OVERVIEW

As of September 30, 2017

Asset Allocation



Credit Quality





APPENDIX



INVESTMENT POLICY COMPLIANCE REPORT

County of San Diego Pooled Money Fund As of September 30, 2017

Category	Standard	Comment
Treasury Issues	No Limit	Complies - 8.4%
Agency Issues	35% per issuer	Complies
Local Agency Obligations	SP-1/"A" by S&P or MIG1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; (ST ratings for 1 year or less; LT ratings for over 1 year); 15% maximum; 5% per issuer	Complies
Banker's Acceptances	A-1 by S&P or P-1 by Moody's or F-1 by Fitch minimum rating by 1 of 3 NRSROs; 40% maximum; 5% per issuer; 180 days max maturity	Complies
Commercial Paper	A-1/"A" by S&P or P-1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; 40% maximum; 5% per issuer; 270 days max maturity	Complies - 24.9%*
Medium Term Notes	A-1/"A" by S&P or P-1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; (ST ratings for 1 year or less; LT ratings for over 1 year); 30% maximum; 5% per issuer	Complies
Negotiable Certificates of Deposit	A-1/"A" by S&P or P-1/"A" by Moody's or F-1/"A" by Fitch minimum rating by 1 of 3 NRSROs; (ST ratings for 1 year or less; LT ratings for over 1 year); 30% maximum; 5% per issuer; 5 years maximum maturity for NCDs; 13 months max maturity for FDIC insured	Complies - 19.6%*
Repurchase Agreements	40% maximum; 10% per issuer if avg weighted maturity >5 days; 15% per issuer if avg weighted maturity <5 days; 1-year maximum maturity	Complies
Reverse Repurchase Agreements	20% maximum combined with Securities Lending; 10% per issuer; 92-day maximum maturity	N/A
Collateralized Certificates of Deposit	A-1 by S&P or P-1 by Moody's, or F-1 by Fitch minimum rating; 5% maximum; 5% per issuer; 13 months maximum maturity; 110% collateral required	Complies
FDIC & NCUA Insured Deposit	5% maximum; 5% per issuer; 13 months maximum maturity; No minimum credit requirement for FDIC or NCUA insured deposit accounts	Complies - 0.0%
Covered Call Option/ Put Option	10% maximum; 90-day maximum maturity	N/A
Money Market Mutual Funds	AAAm by S&P, or Aaa-mf by Moody's, or AAAMmf by Fitch minimum rating by 1 of 3 NRSROs; 15% maximum; 10% per fund	Complies - 3.7%
Investment Trust of California - Cal Trust	2.5% maximum	Complies
Supranationals	A-1/"AA" by S&P or P-1/"Aa" by Moody's, or F-1/"AA" by Fitch minimum rating by 1 of 3 NRSROs; 30% maximum; 10% per issuer; USD denominated senior unsecured unsubordinated obligations issued by IBRD, IFC, and IADB	Complies - 9.6%
Pass-Through Securities	Non-mortgaged backed; "A" minimum rated issuer by 1 of 3 NRSROs; "AA" minimum rated by 1 of 3 NRSROs; 20% maximum; 5% per issuer	Complies - 2.6%
Maximum Maturity	5 years	Complies
Illiquidity Limitations	10% maximum for combined categories for Collateralized CDs and FDIC Insured Deposit Accounts	Complies
Maximum Issuer Exposure	5% per any single issuer involved in more than one of the above categories (does not include US Government, repurchase agreements, supranationals, money market fund)	Complies *
Maturity Policy - Portfolio Structure	Minimum 25% ≤ 90 days; and minimum 50% ≤ 1 year; maximum effective duration for portfolio 1.5 years	Complies
Prohibited Securities	Inverse floaters; Ranges notes, Interest-only strips from mortgaged backed securities; Zero interest accrual securities	Complies
Credit Rating Policy - monitoring ratings	Overall credit rating of AA+/S1, by Fitch; Investments rated below A-1 (short term) or below the "A" category (long term), at the time of purchase, are prohibited in this policy	Complies
Securities Lending	92-day maximum maturity; 10% per counterparty; 20% maximum combined with Reverse Repurchase Agreements	N/A

*Complied at time of purchase; Portfolio outflows increased concentration in Credit Agricole at 5.4% and Bank of Nova Scotia at 5.1%

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Asset Backed Securities									
American Honda Finance	05/30/2016	6,100,750.86	6,100,545.26	6,098,945.04	1.13	1.14	09/15/2018	3,063.83	(1,600.22)
Honda Auto Rec Owner Trust	10/31/2016	2,250,972.46	2,250,269.03	2,249,734.43	1.01	1.01	10/18/2018	820.99	(534.60)
Toyota Auto Receivables	08/10/2016	3,068,688.16	3,068,539.33	3,066,653.62	1.00	1.01	01/15/2019	1,363.86	(1,885.71)
John Deere Owner Trust	07/27/2016	6,380,185.57	6,379,796.38	6,376,166.05	1.09	1.10	02/15/2019	3,090.84	(3,630.33)
Honda Auto Rec Owner Trust	10/25/2016	14,182,232.01	14,181,836.33	14,161,923.05	1.04	1.04	04/18/2019	5,326.17	(19,913.28)
Harley-Davidson Credit Corp	06/15/2016	3,170,152.58	3,170,067.30	3,168,805.27	1.09	1.09	06/15/2019	1,535.81	(1,262.03)
Honda Auto Rec Owner Trust	03/28/2017	24,117,687.13	24,117,110.72	24,108,522.41	1.42	1.43	07/22/2019	9,513.15	(8,588.31)
Honda Auto Rec Owner Trust	06/27/2017	33,000,000.00	32,997,261.00	32,979,771.00	1.46	1.47	10/15/2019	22,751.65	(17,490.00)
John Deere Owner Trust	03/02/2017	13,250,000.00	13,249,947.00	13,245,071.00	1.50	1.51	10/15/2019	8,833.33	(4,876.00)
Honda Auto Rec Owner Trust	09/29/2017	12,500,000.00	12,498,888.75	12,499,162.50	1.57	1.58	01/21/2020	1,090.28	273.75
USAA Auto Owner Trust	09/20/2017	15,300,000.00	15,299,713.89	15,291,263.70	1.54	1.55	02/18/2020	7,199.50	(8,450.19)
American Honda Finance	05/30/2016	10,000,000.00	9,999,806.00	9,981,110.00	1.39	1.40	04/15/2020	6,177.82	(18,696.00)
American Honda Finance	12/22/2016	26,900,000.00	26,807,531.25	26,849,185.90	1.39	1.59	04/15/2020	16,618.22	41,654.65
John Deere Owner Trust	07/18/2017	9,000,000.00	8,999,217.90	8,994,852.00	1.59	1.60	04/15/2020	6,360.00	(4,365.90)
Honda Auto Rec Owner Trust	12/10/2016	3,675,000.00	3,657,773.44	3,659,616.45	1.16	1.40	05/18/2020	1,421.00	1,843.01
Honda Auto Rec Owner Trust	10/25/2016	11,500,000.00	11,499,253.65	11,418,637.50	1.21	1.22	12/18/2020	5,024.86	(80,616.15)
Asset Backed Securities Subtotal:		194,395,668.77	194,277,557.23	194,149,419.92	1.37	1.41		100,191.31	(128,137.31)
Bank Deposit									
Wells Fargo Bank NA	07/01/2017	36,795,416.42	36,795,416.42	36,795,416.42	1.00	1.00		28,389.21	0.00
Bank Deposit Subtotal:		36,795,416.42	36,795,416.42	36,795,416.42	1.00	1.00		28,389.21	0.00
Commerical Paper									
Canadian Imp Bk Comm NY	04/10/2017	25,000,000.00	24,999,215.28	24,862,650.00	1.13	1.15	10/02/2017	0.00	(136,565.28)
Fortis/BNP Paribas Bank	07/06/2017	25,000,000.00	24,997,333.33	24,920,000.00	1.28	1.30	10/04/2017	0.00	(77,333.33)
ING (US) Funding LLC	05/12/2017	50,000,000.00	49,991,111.11	49,738,650.00	1.28	1.31	10/06/2017	0.00	(252,461.11)
Toyota Motor Credit Corp	04/10/2017	60,000,000.00	59,981,850.00	59,630,940.00	1.21	1.26	10/10/2017	0.00	(350,910.00)
Bank Tokyo-Mit UFJ NY	09/15/2017	47,000,000.00	46,975,912.50	46,950,180.00	1.23	1.25	10/16/2017	0.00	(25,732.50)
Toyota Motor Credit Corp	04/11/2017	40,000,000.00	39,974,033.33	39,737,600.00	1.23	1.28	10/20/2017	0.00	(236,433.33)
American Honda Finance	04/25/2017	15,000,000.00	14,988,541.67	14,905,725.00	1.25	1.28	10/23/2017	0.00	(82,816.67)
American Honda Finance	04/25/2017	35,000,000.00	34,973,263.89	34,780,025.00	1.25	1.28	10/23/2017	0.00	(193,238.89)
Credit Agricole CIB	05/31/2017	25,000,000.00	24,975,229.17	24,870,150.00	1.23	1.25	10/30/2017	0.00	(105,079.17)
Canadian Imp Bk Comm NY	04/06/2017	50,000,000.00	49,950,416.67	49,656,200.00	1.19	1.23	10/31/2017	0.00	(294,216.67)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Fortis/BNP Paribas Bank	04/11/2017	25,000,000.00	24,972,500.00	24,813,900.00	1.32	1.37	10/31/2017	0.00	(158,600.00)
Toyota Motor Credit Corp	04/12/2017	45,000,000.00	44,953,875.00	44,689,410.00	1.23	1.28	10/31/2017	0.00	(264,465.00)
JP Morgan	07/25/2017	50,000,000.00	49,932,500.00	49,805,000.00	1.35	1.37	11/06/2017	0.00	(127,500.00)
JP Morgan	08/10/2017	25,000,000.00	24,962,500.00	24,913,750.00	1.35	1.37	11/10/2017	0.00	(48,750.00)
Bank Tokyo-Mit UFJ NY	08/29/2017	50,000,000.00	49,890,833.34	49,830,750.00	1.31	1.33	11/30/2017	0.00	(60,083.34)
JP Morgan	03/30/2017	20,000,000.00	19,952,666.67	19,806,720.00	1.42	1.48	11/30/2017	0.00	(145,946.67)
Toyota Motor Credit Corp	04/17/2017	50,000,000.00	49,893,333.33	49,596,400.00	1.28	1.33	11/30/2017	0.00	(296,933.33)
Fortis/BNP Paribas Bank	04/05/2017	25,000,000.00	24,939,000.00	24,760,000.00	1.44	1.50	12/01/2017	0.00	(179,000.00)
Fortis/BNP Paribas Bank	04/05/2017	30,000,000.00	29,926,800.00	29,712,000.00	1.44	1.50	12/01/2017	0.00	(214,800.00)
Fortis/BNP Paribas Bank	04/05/2017	100,000,000.00	99,736,000.00	99,020,000.00	1.44	1.50	12/06/2017	0.00	(716,000.00)
Bank Tokyo-Mit UFJ NY	09/27/2017	50,000,000.00	49,863,541.67	49,858,050.00	1.31	1.33	12/15/2017	0.00	(5,491.67)
Bank Tokyo-Mit UFJ NY	09/28/2017	80,000,000.00	79,783,333.34	79,772,880.00	1.30	1.32	12/15/2017	0.00	(10,453.34)
Credit Agricole CIB	06/15/2017	50,000,000.00	49,859,375.00	49,656,850.00	1.35	1.40	12/15/2017	0.00	(202,525.00)
Fortis/BNP Paribas Bank	03/31/2017	40,000,000.00	39,881,666.67	39,591,320.00	1.42	1.47	12/15/2017	0.00	(290,346.67)
Bank Tokyo-Mit UFJ NY	09/25/2017	25,000,000.00	24,925,750.00	24,920,250.00	1.32	1.34	12/21/2017	0.00	(5,500.00)
Bank Tokyo-Mit UFJ NY	09/26/2017	25,000,000.00	24,920,569.45	24,916,400.00	1.33	1.35	12/26/2017	0.00	(4,169.45)
Bank Tokyo-Mit UFJ NY	09/27/2017	25,000,000.00	24,920,569.44	24,916,400.00	1.33	1.35	12/26/2017	0.00	(4,169.44)
JP Morgan	04/06/2017	30,000,000.00	29,892,458.33	29,677,350.00	1.45	1.51	12/29/2017	0.00	(215,108.33)
Toyota Motor Credit Corp	04/06/2017	60,000,000.00	59,799,750.00	59,399,220.00	1.35	1.40	12/29/2017	0.00	(400,530.00)
Canadian Imp Bk Comm NY	04/19/2017	24,000,000.00	23,918,160.00	23,772,960.00	1.32	1.37	01/02/2018	0.00	(145,200.00)
Fortis/BNP Paribas Bank	07/06/2017	25,000,000.00	24,907,645.83	24,821,725.00	1.43	1.46	01/02/2018	0.00	(85,920.83)
Fortis/BNP Paribas Bank	07/07/2017	25,000,000.00	24,907,645.84	24,821,725.00	1.43	1.46	01/02/2018	0.00	(85,920.84)
Bank Tokyo-Mit UFJ NY	09/29/2017	25,000,000.00	24,910,666.67	24,908,800.00	1.34	1.36	01/05/2018	0.00	(1,866.67)
JP Morgan	04/26/2017	30,000,000.00	29,875,800.00	29,694,090.00	1.38	1.43	01/17/2018	0.00	(181,710.00)
Toyota Motor Credit Corp	04/26/2017	50,000,000.00	49,797,500.00	49,501,250.00	1.35	1.40	01/17/2018	0.00	(296,250.00)
Toyota Motor Credit Corp	04/26/2017	25,000,000.00	24,898,750.00	24,750,625.00	1.35	1.40	01/17/2018	0.00	(148,125.00)
Toyota Motor Credit Corp	04/26/2017	25,000,000.00	24,898,750.00	24,750,625.00	1.35	1.40	01/17/2018	0.00	(148,125.00)
Credit Agricole CIB	05/26/2017	25,000,000.00	24,881,270.83	24,760,500.00	1.39	1.45	02/01/2018	0.00	(120,770.83)
Credit Agricole CIB	05/30/2017	25,000,000.00	24,882,125.00	24,760,500.00	1.38	1.44	02/01/2018	0.00	(121,625.00)
Credit Agricole CIB	05/26/2017	25,000,000.00	24,874,583.33	24,752,950.00	1.40	1.46	02/07/2018	0.00	(121,633.33)
Credit Agricole CIB	05/30/2017	25,000,000.00	24,875,479.17	24,752,950.00	1.39	1.45	02/07/2018	0.00	(122,529.17)
Credit Agricole CIB	05/30/2017	25,000,000.00	24,869,722.22	24,749,150.00	1.40	1.46	02/12/2018	0.00	(120,572.22)
Credit Agricole CIB	05/25/2017	25,000,000.00	24,864,944.45	24,736,825.00	1.43	1.49	02/14/2018	0.00	(128,119.45)
Credit Agricole CIB	05/30/2017	25,000,000.00	24,856,006.95	24,732,850.00	1.43	1.49	02/23/2018	0.00	(123,156.95)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
JP Morgan	08/30/2017	70,000,000.00	69,577,083.33	69,486,830.00	1.45	1.48	02/28/2018	0.00	(90,253.33)
Fortis/BNP Paribas Bank	09/08/2017	10,000,000.00	9,940,019.44	9,930,880.00	1.43	1.46	03/01/2018	0.00	(9,139.44)
Credit Agricole CIB	06/15/2017	50,000,000.00	49,679,791.67	49,462,250.00	1.45	1.51	03/09/2018	0.00	(217,541.67)
JP Morgan	08/24/2017	30,000,000.00	29,789,516.66	29,743,260.00	1.46	1.52	03/23/2018	0.00	(46,256.66)
JP Morgan	07/11/2017	25,000,000.00	24,813,541.67	24,756,075.00	1.50	1.56	03/29/2018	0.00	(57,466.67)
JP Morgan	08/03/2017	25,000,000.00	24,816,027.78	24,756,075.00	1.48	1.54	03/29/2018	0.00	(59,952.78)
JP Morgan	08/24/2017	30,000,000.00	29,782,216.66	29,707,290.00	1.46	1.52	03/29/2018	0.00	(74,926.66)
JP Morgan	07/21/2017	25,000,000.00	24,792,375.00	24,716,875.00	1.51	1.57	04/17/2018	0.00	(75,500.00)
Cooperatieve Rabobank	09/26/2017	25,000,000.00	24,789,000.00	24,784,000.00	1.44	1.48	04/30/2018	0.00	(5,000.00)
JP Morgan	08/30/2017	30,000,000.00	29,705,736.99	29,660,850.00	1.53	1.54	05/23/2018	0.00	(44,886.99)
Commerical Paper Subtotal:		1,901,000,000.00	1,894,718,288.68	1,886,980,680.00	1.35	1.38		0.00	(7,737,608.68)

FDIC CDs

SD Private Bank	10/24/2016	250,000.00	250,000.00	250,000.00	0.70	0.70	10/24/2017	190.01	0.00
FDIC CDs Subtotal:		250,000.00	250,000.00	250,000.00	0.70	0.70		190.01	0.00

Federal Agency

Federal Home Loan Bank	10/05/2015	25,000,000.00	25,000,000.00	24,999,000.00	0.73	0.73	10/05/2017	89,222.22	(1,000.00)
Federal Farm Credit Bank	11/18/2015	21,000,000.00	20,998,266.90	20,996,430.00	0.65	0.90	10/13/2017	63,700.00	(1,836.90)
Federal National Mtg Assn	11/27/2013	40,000,000.00	39,994,677.08	39,995,600.00	0.88	1.07	10/26/2017	150,694.44	922.92
Federal Home Loan Bank	10/14/2015	35,000,000.00	35,188,645.82	35,168,350.00	5.00	0.74	11/17/2017	651,388.89	(20,295.82)
Federal National Mtg Assn	12/27/2012	35,000,000.00	34,997,073.61	34,967,800.00	0.88	0.91	12/27/2017	79,965.28	(29,273.61)
Federal Farm Credit Bank	02/20/2015	20,000,000.00	20,000,000.00	19,993,800.00	1.11	1.11	02/20/2018	25,283.33	(6,200.00)
Federal National Mtg Assn	04/30/2013	50,000,000.00	49,997,968.06	49,901,500.00	1.00	1.01	04/30/2018	209,722.22	(96,468.06)
Federal National Mtg Assn	04/30/2013	50,000,000.00	50,000,000.00	49,901,500.00	1.00	1.00	04/30/2018	209,722.22	(98,500.00)
Federal National Mtg Assn	05/16/2013	25,000,000.00	24,990,774.24	24,950,750.00	1.00	1.07	04/30/2018	104,861.11	(40,024.24)
Federal National Mtg Assn	01/22/2014	15,000,000.00	14,939,475.63	14,961,600.00	0.88	1.53	05/21/2018	47,395.83	22,124.37
Federal Home Loan Mtg Corp	02/27/2014	25,000,000.00	25,606,324.06	25,613,000.00	4.88	1.30	06/13/2018	365,625.00	6,675.94
Federal Home Loan Mtg Corp	09/29/2015	25,000,000.00	25,000,000.00	24,936,000.00	1.05	1.05	06/29/2018	67,083.33	(64,000.00)
Federal National Mtg Assn	02/19/2016	35,000,000.00	35,071,536.62	34,932,450.00	1.13	0.87	07/20/2018	77,656.25	(139,086.62)
Federal Home Loan Mtg Corp	10/27/2015	25,000,000.00	25,000,000.00	24,927,250.00	1.00	1.00	07/27/2018	44,444.44	(72,750.00)
Federal Home Loan Bank	08/14/2015	25,000,000.00	25,017,823.61	24,968,000.00	1.20	1.12	08/14/2018	39,166.67	(49,823.61)
Federal Home Loan Bank	10/26/2015	35,000,000.00	35,049,384.73	34,907,600.00	1.13	0.97	09/14/2018	18,593.75	(141,784.73)
Federal National Mtg Assn	01/21/2014	30,000,000.00	30,061,516.46	30,145,500.00	1.88	1.65	09/18/2018	20,312.50	83,983.54

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Federal Home Loan Bank	03/28/2016	25,000,000.00	25,000,000.00	24,954,750.00	1.05	1.05	09/28/2018	2,187.50	(45,250.00)
Federal Home Loan Mtg Corp	10/28/2016	25,000,000.00	25,000,000.00	24,883,750.00	1.05	1.05	10/26/2018	113,020.83	(116,250.00)
Federal Home Loan Mtg Corp	02/23/2016	25,000,000.00	25,000,000.00	24,879,000.00	1.05	1.05	11/23/2018	93,333.33	(121,000.00)
Federal National Mtg Assn	01/21/2014	30,000,000.00	29,965,833.68	30,039,000.00	1.63	1.73	11/27/2018	167,916.67	73,166.32
Federal Home Loan Mtg Corp	06/14/2016	47,400,000.00	47,400,000.00	47,198,076.00	1.25	1.25	12/14/2018	176,104.17	(201,924.00)
Federal Home Loan Mtg Corp	07/25/2016	25,000,000.00	25,000,000.00	24,842,750.00	1.00	1.00	01/25/2019	45,833.33	(157,250.00)
Federal National Mtg Assn	03/22/2016	27,135,000.00	27,135,000.00	27,006,651.45	1.27	1.30	02/26/2019	33,504.19	(128,348.55)
Federal National Mtg Assn	03/11/2016	25,000,000.00	25,000,000.00	24,875,500.00	1.30	1.30	03/15/2019	14,444.44	(124,500.00)
Federal Farm Credit Bank	03/18/2016	25,000,000.00	25,000,000.00	24,876,750.00	1.28	1.28	03/21/2019	8,888.89	(123,250.00)
Federal Farm Credit Bank	10/19/2016	20,000,000.00	20,000,000.00	19,881,000.00	1.17	1.17	05/16/2019	87,750.00	(119,000.00)
Federal Home Loan Mtg Corp	06/06/2016	25,000,000.00	25,000,000.00	24,855,250.00	1.25	1.25	06/06/2019	99,826.39	(144,750.00)
Federal Home Loan Bank	06/22/2016	25,000,000.00	25,264,327.66	25,041,250.00	1.63	0.99	06/14/2019	120,746.53	(223,077.66)
Federal National Mtg Assn	07/08/2015	20,000,000.00	20,131,113.08	20,088,800.00	1.75	1.36	06/20/2019	98,194.44	(42,313.08)
Federal Home Loan Mtg Corp	07/26/2016	25,000,000.00	25,000,000.00	24,752,250.00	1.07	1.07	07/26/2019	48,298.61	(247,750.00)
Federal Home Loan Mtg Corp	06/27/2016	25,000,000.00	25,152,854.58	24,881,250.00	1.25	0.91	08/01/2019	52,083.33	(271,604.58)
Federal Home Loan Mtg Corp	08/23/2016	25,000,000.00	25,000,000.00	24,605,000.00	1.15	1.15	08/23/2019	30,347.22	(395,000.00)
Federal Farm Credit Bank	08/26/2016	50,000,000.00	50,000,000.00	49,289,500.00	1.00	1.00	08/26/2019	48,611.11	(710,500.00)
Federal Farm Credit Bank	12/06/2016	25,000,000.00	25,000,000.00	24,857,000.00	1.48	1.63	09/06/2019	25,694.44	(143,000.00)
Federal National Mtg Assn	09/30/2016	35,000,000.00	34,985,581.92	34,656,650.00	1.13	1.15	09/09/2019	24,062.50	(328,931.92)
Federal National Mtg Assn	09/13/2016	50,000,000.00	50,000,000.00	49,320,500.00	1.15	1.15	09/13/2019	28,750.00	(679,500.00)
Federal Home Loan Mtg Corp	03/30/2016	25,000,000.00	25,000,000.00	24,898,000.00	1.40	1.40	09/30/2019	175,972.22	(102,000.00)
Federal Home Loan Mtg Corp	11/21/2014	25,000,000.00	24,744,272.25	24,856,750.00	1.25	1.79	10/02/2019	155,381.94	112,477.75
Federal National Mtg Assn	10/04/2016	25,000,000.00	25,000,000.00	24,678,000.00	1.20	1.20	10/04/2019	147,500.00	(322,000.00)
Federal National Mtg Assn	10/28/2016	25,000,000.00	25,000,000.00	24,675,750.00	1.30	1.30	10/28/2019	138,125.00	(324,250.00)
Federal Home Loan Bank	05/03/2017	15,000,000.00	14,977,570.07	14,947,950.00	1.38	1.45	11/15/2019	77,916.66	(29,620.07)
Federal Home Loan Bank	01/09/2015	20,000,000.00	20,324,443.20	20,340,400.00	2.38	1.61	12/13/2019	142,500.00	15,956.80
Federal Home Loan Bank	05/03/2017	20,000,000.00	20,388,922.55	20,340,400.00	2.38	1.47	12/13/2019	142,500.00	(48,522.55)
Federal Farm Credit Bank	12/27/2016	25,000,000.00	25,000,000.00	24,950,750.00	1.70	1.70	12/27/2019	110,972.22	(49,250.00)
Federal National Mtg Assn	03/30/2016	25,000,000.00	25,000,000.00	24,836,000.00	1.38	1.38	12/30/2019	86,892.36	(164,000.00)
Federal Home Loan Mtg Corp	07/28/2016	50,000,000.00	50,000,000.00	49,412,500.00	1.10	1.10	01/28/2020	96,250.00	(587,500.00)
Federal Farm Credit Bank	02/27/2017	21,870,000.00	21,870,000.00	21,871,093.50	1.71	1.71	02/27/2020	35,320.05	1,093.50
Federal Home Loan Mtg Corp	04/13/2017	25,000,000.00	25,000,000.00	24,983,750.00	1.80	1.80	04/13/2020	210,000.00	(16,250.00)
Federal Home Loan Mtg Corp	04/13/2017	25,000,000.00	25,000,000.00	24,983,750.00	1.80	1.80	04/13/2020	210,000.00	(16,250.00)
Federal Home Loan Mtg Corp	05/19/2015	25,000,000.00	24,865,092.59	24,863,500.00	1.38	1.59	05/01/2020	143,229.17	(1,592.59)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Federal Farm Credit Bank	06/29/2016	25,000,000.00	25,000,000.00	24,748,750.00	1.42	1.42	06/29/2020	90,722.22	(251,250.00)
Federal Home Loan Mtg Corp	07/05/2017	25,000,000.00	25,000,000.00	24,966,250.00	1.75	1.75	06/29/2020	104,513.89	(33,750.00)
Federal Home Loan Mtg Corp	07/13/2017	20,000,000.00	20,000,000.00	19,974,200.00	1.85	1.85	07/13/2020	80,166.67	(25,800.00)
Federal Home Loan Mtg Corp	07/13/2017	5,000,000.00	5,000,000.00	4,993,550.00	1.85	1.85	07/13/2020	20,041.67	(6,450.00)
Federal Home Loan Mtg Corp	09/29/2017	25,000,000.00	24,982,532.41	24,956,000.00	1.80	1.82	09/29/2020	2,500.00	(26,532.41)
Federal Farm Credit Bank	11/09/2016	25,000,000.00	25,000,000.00	24,425,250.00	1.36	1.36	11/09/2020	134,111.11	(574,750.00)
Federal Home Loan Bank	09/21/2016	25,000,000.00	25,092,540.31	24,741,750.00	1.38	1.26	02/18/2021	41,059.03	(350,790.31)
Federal Home Loan Bank	02/14/2017	25,000,000.00	24,669,412.57	24,741,750.00	1.38	1.78	02/18/2021	41,059.03	72,337.43
Federal Home Loan Bank	02/17/2017	25,000,000.00	25,000,000.00	24,931,000.00	1.82	1.82	03/17/2021	17,694.44	(69,000.00)
Federal National Mtg Assn	06/17/2016	15,000,000.00	15,006,957.22	14,733,450.00	1.25	1.24	05/06/2021	75,520.83	(273,507.22)
Federal National Mtg Assn	09/21/2016	25,000,000.00	24,945,944.44	24,555,750.00	1.25	1.31	05/06/2021	125,868.06	(390,194.44)
Federal Home Loan Mtg Corp	06/28/2017	7,900,000.00	7,900,000.00	7,877,169.00	2.00	2.00	05/28/2021	40,816.67	(22,831.00)
Federal Home Loan Bank	07/14/2016	15,000,000.00	15,356,696.74	15,045,150.00	1.88	1.21	06/11/2021	85,937.50	(311,546.74)
Federal Home Loan Mtg Corp	07/12/2016	25,000,000.00	25,000,000.00	24,858,750.00	1.25	2.02	07/12/2021	68,576.39	(141,250.00)
Federal Home Loan Bank	08/04/2016	35,000,000.00	34,886,901.63	34,190,450.00	1.13	1.21	07/14/2021	84,218.75	(696,451.63)
Federal Home Loan Mtg Corp	07/20/2016	25,000,000.00	25,000,000.00	24,526,500.00	1.25	1.61	07/20/2021	61,631.94	(473,500.00)
Federal National Mtg Assn	07/20/2016	14,500,000.00	14,500,000.00	14,214,785.00	1.25	1.61	07/20/2021	35,746.53	(285,215.00)
Federal Home Loan Mtg Corp	07/27/2016	25,000,000.00	25,000,000.00	24,537,750.00	1.35	1.61	07/27/2021	60,000.00	(462,250.00)
Federal National Mtg Assn	07/27/2016	25,000,000.00	25,000,000.00	24,838,000.00	1.13	1.89	07/27/2021	50,000.00	(162,000.00)
Federal National Mtg Assn	07/27/2016	14,445,000.00	14,445,000.00	14,140,354.95	1.25	1.48	07/27/2021	32,100.00	(304,645.05)
Federal Home Loan Mtg Corp	08/03/2016	25,000,000.00	25,000,000.00	24,758,250.00	1.25	1.93	08/03/2021	50,347.22	(241,750.00)
Federal Home Loan Mtg Corp	10/05/2016	20,000,000.00	19,814,480.25	19,491,600.00	1.13	1.37	08/12/2021	30,625.00	(322,880.25)
Federal National Mtg Assn	09/21/2016	35,000,000.00	34,860,004.76	34,247,850.00	1.25	1.36	08/17/2021	53,472.23	(612,154.76)
Federal Home Loan Mtg Corp	09/07/2016	25,000,000.00	25,000,000.00	24,793,250.00	1.25	1.86	09/07/2021	20,833.33	(206,750.00)
Federal Home Loan Bank	09/27/2017	25,000,000.00	25,000,000.00	24,940,250.00	2.00	2.00	09/27/2021	5,555.56	(59,750.00)
Federal Home Loan Mtg Corp	09/30/2016	20,000,000.00	20,000,000.00	19,791,800.00	1.30	1.80	09/30/2021	115,722.22	(208,200.00)
Federal Home Loan Mtg Corp	09/30/2016	12,000,000.00	12,000,000.00	11,860,920.00	1.50	1.68	09/30/2021	90,500.00	(139,080.00)
Federal National Mtg Assn	11/08/2016	35,000,000.00	34,906,447.31	34,339,550.00	1.38	1.44	10/07/2021	232,604.17	(566,897.31)
Federal Home Loan Mtg Corp	10/07/2016	25,000,000.00	25,000,000.00	24,996,500.00	1.00	1.98	10/07/2021	120,833.33	(3,500.00)
Federal Home Loan Mtg Corp	10/28/2016	50,000,000.00	50,000,000.00	49,416,500.00	1.25	1.98	10/28/2021	265,625.00	(583,500.00)
Federal Home Loan Bank	03/27/2017	25,000,000.00	25,239,910.31	25,326,250.00	2.25	2.02	03/11/2022	31,250.00	86,339.69
Federal National Mtg Assn	09/26/2017	14,475,000.00	14,473,556.88	14,397,993.00	2.25	2.25	04/27/2022	4,523.44	(75,563.88)
Federal Farm Credit Bank	07/25/2017	20,000,000.00	20,033,660.09	19,889,600.00	2.07	2.03	05/09/2022	75,900.00	(144,060.09)
Federal Home Loan Mtg Corp	06/29/2017	15,000,000.00	14,996,441.67	14,943,150.00	2.13	2.13	06/29/2022	81,458.33	(53,291.67)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

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Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Federal Home Loan Mtg Corp	07/12/2017	40,000,000.00	39,934,984.44	39,978,400.00	2.00	2.28	07/12/2022	175,555.56	43,415.56
Federal Home Loan Bank	07/28/2017	21,000,000.00	20,984,803.71	20,893,530.00	2.16	2.18	07/20/2022	79,380.00	(91,273.71)
Federal Home Loan Mtg Corp	07/27/2017	6,132,000.00	6,132,000.00	6,109,495.56	2.05	2.22	07/27/2022	22,347.73	(22,504.44)
Federal Farm Credit Bank	08/22/2017	18,250,000.00	18,248,214.85	18,084,655.00	2.05	2.05	08/08/2022	40,530.20	(163,559.85)
Federal Home Loan Bank	08/10/2017	25,000,000.00	25,000,000.00	24,937,250.00	2.00	2.29	08/10/2022	70,833.33	(62,750.00)
Federal Farm Credit Bank	08/29/2017	30,000,000.00	29,994,107.02	29,663,100.00	2.05	2.05	08/23/2022	54,666.67	(331,007.02)
Federal Farm Credit Bank	09/12/2017	25,000,000.00	25,000,000.00	24,849,000.00	2.00	2.00	09/12/2022	26,388.89	(151,000.00)
Federal Agency Subtotal:		2,386,107,000.00	2,387,523,075.01	2,372,394,903.46	1.46	1.43		8,358,231.96	(15,128,171.55)

Money Market Accounts

BlackRock	06/01/2015	1,000,000.00	1,000,000.00	1,000,000.00	0.91	0.91		795.62	0.00
Fidelity Government Fund	06/21/2016	276,000,000.00	276,000,000.00	276,000,000.00	0.95	0.95		47,690.09	0.00
Federated Government Fund	06/30/2016	1,200,000.00	1,200,000.00	1,200,000.00	0.92	0.92		1,306.35	0.00
Morgan Stanley	06/01/2015	1,800,000.00	1,800,000.00	1,800,000.00	0.90	0.90		1,417.45	0.00
Wells Fargo Bank NA	9/19/2017	0.00	0.00	0.00	1.00	1.00		22.60	0.00
Money Market Accounts Subtotal:		280,000,000.00	280,000,000.00	280,000,000.00	0.95	0.95		51,232.11	0.00

Negotiable CDs

Bank of Montreal	04/12/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.23	1.25	10/02/2017	146,916.67	0.00
Cooperatieve Rabobank	09/21/2016	25,000,000.00	25,000,000.00	25,000,000.00	1.40	1.42	10/16/2017	364,583.33	0.00
Oversea-Chinese Banking	07/21/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.32	1.33	10/30/2017	131,500.00	0.00
Bank of America Corp	04/07/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.32	1.34	11/01/2017	324,500.00	0.00
Bank of America Corp	04/07/2017	70,000,000.00	70,000,000.00	70,000,000.00	1.33	1.35	11/08/2017	457,741.67	0.00
Cooperatieve Rabobank	09/21/2016	25,000,000.00	25,000,000.00	25,000,000.00	1.40	1.42	11/15/2017	364,583.33	0.00
Westpac Bank NY	03/31/2017	110,000,000.00	110,000,000.00	110,000,000.00	1.37	1.39	12/15/2017	770,244.44	0.00
Bank of Montreal	04/06/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.33	1.35	01/02/2018	328,805.56	0.00
Toronto Dominion NY	04/06/2017	40,000,000.00	40,000,000.00	40,000,000.00	1.34	1.36	01/02/2018	265,022.22	0.00
Canadian Imp Bk Comm NY	04/18/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.32	1.34	01/17/2018	152,166.67	0.00
Canadian Imp Bk Comm NY	04/19/2017	40,000,000.00	40,000,000.00	40,000,000.00	1.31	1.33	01/17/2018	240,166.67	0.00
Fortis/BNP Paribas Bank	04/19/2017	10,000,000.00	10,000,000.00	10,000,000.00	1.41	1.43	01/17/2018	64,625.00	0.00
Canadian Imp Bk Comm NY	04/18/2017	75,000,000.00	75,000,000.00	75,000,000.00	1.33	1.35	01/31/2018	459,958.33	0.00
Toronto Dominion NY	04/17/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.36	1.38	01/31/2018	157,722.22	0.00
Bank of Montreal	09/08/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.40	1.42	03/08/2018	22,361.11	0.00
Bank of Nova Scotia	09/12/2017	35,000,000.00	35,000,000.00	35,000,000.00	1.40	1.42	03/12/2018	25,861.11	0.00

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Bank of Montreal	09/22/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.46	1.48	03/19/2018	9,125.00	0.00
Bank of Nova Scotia	09/19/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.42	1.44	03/19/2018	11,833.33	0.00
Bank of Montreal	09/29/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.46	1.48	03/29/2018	2,027.78	0.00
Bank of Nova Scotia	09/19/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.44	1.46	03/29/2018	24,000.00	0.00
Bank of Montreal	09/21/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.46	1.48	04/20/2018	10,138.89	0.00
Bank of Nova Scotia	09/21/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.46	1.48	04/20/2018	20,277.78	0.00
Bank of Nova Scotia	09/22/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.48	1.50	04/23/2018	9,250.00	0.00
Bank of Nova Scotia	06/15/2017	100,000,000.00	100,000,000.00	100,000,000.00	1.46	1.48	05/01/2018	438,000.00	0.00
UBS AG Stamford	05/04/2017	20,000,000.00	20,000,000.00	20,000,000.00	1.53	1.55	05/02/2018	127,500.00	0.00
Bank of Montreal	05/17/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.43	1.45	05/18/2018	136,048.61	0.00
Bank of Montreal	06/02/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.47	1.49	06/01/2018	247,041.67	0.00
Canadian Imp Bk Comm NY	06/01/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.47	1.49	06/01/2018	124,541.67	0.00
Bank of Nova Scotia	06/27/2017	10,000,000.00	10,000,000.00	10,000,000.00	1.51	1.53	06/29/2018	40,266.67	0.00
Canadian Imp Bk Comm NY	06/29/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.55	1.57	06/29/2018	202,361.11	0.00
Credit Agricole CIB	06/22/2017	50,000,000.00	50,003,703.67	50,000,000.00	1.58	1.59	06/29/2018	221,638.89	(3,703.67)
Credit Agricole CIB	06/23/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.57	1.59	06/29/2018	109,027.78	0.00
Credit Agricole CIB	06/27/2017	40,000,000.00	40,000,000.00	40,000,000.00	1.56	1.58	06/29/2018	166,400.00	0.00
BNP Paribas SF	07/24/2017	900,000.00	900,000.00	900,000.00	1.60	1.62	07/24/2018	2,760.00	0.00
BNP Paribas SF	07/27/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.60	1.62	07/27/2018	73,333.33	0.00
Fortis/BNP Paribas Bank	08/02/2017	30,000,000.00	30,000,000.00	30,000,000.00	1.60	1.62	08/02/2018	80,000.00	0.00
Bank of Nova Scotia	09/27/2017	45,000,000.00	45,000,000.00	45,000,000.00	1.66	1.68	09/26/2018	8,300.00	0.00
Bank of Nova Scotia	09/27/2017	50,000,000.00	50,000,000.00	50,000,000.00	1.66	1.68	09/27/2018	9,222.22	0.00
Nordea Bank Finland	09/27/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.50	1.52	09/27/2018	4,166.67	0.00
Fortis/BNP Paribas Bank	09/28/2017	20,000,000.00	20,000,000.00	20,000,000.00	1.66	1.68	09/28/2018	2,766.67	0.00
Negotiable CDs Subtotal:		1,495,900,000.00	1,495,903,703.67	1,495,900,000.00	1.44	1.44		6,356,786.40	(3,703.67)

Supranational Callable

Intl Bank For Recon and Dev	08/22/2016	24,350,000.00	24,348,748.39	24,350,000.00	1.12	1.12	12/03/2018	90,906.67	1,251.61
Intl Bank For Recon and Dev	04/26/2016	25,000,000.00	25,000,000.00	24,862,750.00	1.25	1.25	04/26/2019	134,548.61	(137,250.00)
Intl Bank For Recon and Dev	04/26/2016	25,000,000.00	25,000,000.00	24,862,750.00	1.25	1.25	04/26/2019	134,548.61	(137,250.00)
Intl Bank For Recon and Dev	09/30/2016	25,000,000.00	25,000,000.00	24,766,750.00	1.20	1.20	09/30/2019	150,833.33	(233,250.00)
Intl Bank For Recon and Dev	09/30/2016	25,000,000.00	25,000,000.00	24,766,750.00	1.20	1.20	09/30/2019	150,833.33	(233,250.00)
Intl Bank For Recon and Dev	11/10/2016	25,000,000.00	25,000,000.00	24,747,250.00	1.30	1.30	10/25/2019	140,833.33	(252,750.00)
Intl Bank For Recon and Dev	05/12/2017	35,000,000.00	34,731,637.60	34,646,150.00	1.30	1.68	10/25/2019	175,680.56	(85,487.60)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Intl Bank For Recon and Dev	10/30/2015	25,000,000.00	25,000,000.00	24,509,250.00	1.00	1.00	10/15/2020	115,361.11	(490,750.00)
Intl Bank For Recon and Dev	09/29/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.98	1.98	09/29/2022	2,750.00	0.00
Supranational Callable Subtotal:		234,350,000.00	234,080,385.99	232,511,650.00	1.29	1.35		1,096,295.55	(1,568,735.99)

Supranationals

Intl Bank For Recon and Dev	06/23/2015	25,000,000.00	24,999,885.15	24,996,250.00	1.00	1.00	11/15/2017	94,444.45	(3,635.15)
Intl Bank For Recon and Dev	06/23/2015	25,000,000.00	24,999,885.15	24,996,250.00	1.00	1.00	11/15/2017	94,444.45	(3,635.15)
Intl Bank For Recon and Dev	06/23/2015	25,000,000.00	24,999,885.15	24,996,250.00	1.00	1.00	11/15/2017	94,444.45	(3,635.15)
Inter-American Development Bk	02/01/2017	50,000,000.00	49,922,059.41	49,891,500.00	0.88	1.22	03/15/2018	19,444.44	(30,559.41)
Intl Bank For Recon and Dev	04/30/2015	50,000,000.00	49,980,696.00	49,881,500.00	1.00	1.06	06/15/2018	147,222.22	(99,196.00)
Intl Bank For Recon and Dev	09/21/2016	22,000,000.00	21,989,793.07	21,911,340.00	0.88	0.93	07/19/2018	38,280.00	(78,453.07)
Intl Bank For Recon and Dev	10/07/2015	25,000,000.00	24,985,649.35	24,902,000.00	1.00	1.06	10/05/2018	122,222.22	(83,649.35)
Intl Bank For Recon and Dev	12/23/2016	25,000,000.00	24,690,041.75	24,712,500.00	1.13	1.72	11/27/2019	96,750.00	22,458.25
Intl Bank For Recon and Dev	01/04/2017	25,000,000.00	24,721,741.13	24,712,500.00	1.13	1.66	11/27/2019	96,750.00	(9,241.13)
Intl Bank For Recon and Dev	04/06/2017	25,000,000.00	25,138,800.27	25,093,500.00	1.88	1.97	04/21/2020	227,864.58	(45,300.27)
Intl Bank For Recon and Dev	04/20/2017	25,000,000.00	25,201,702.13	25,093,500.00	1.88	1.86	04/21/2020	209,635.41	(108,202.13)
Inter-American Development Bk	04/12/2017	50,000,000.00	49,899,541.89	49,857,000.00	1.63	1.70	05/12/2020	381,423.61	(42,541.89)
Intl Bank For Recon and Dev	08/29/2017	15,000,000.00	14,996,942.90	14,940,750.00	1.63	1.63	09/04/2020	21,666.67	(56,192.90)
Intl Bank For Recon and Dev	08/29/2017	35,000,000.00	34,992,866.77	34,861,750.00	1.63	1.63	09/04/2020	50,555.56	(131,116.77)
Intl Bank For Recon and Dev	09/21/2017	25,000,000.00	24,965,081.61	24,901,250.00	1.63	1.67	09/04/2020	11,284.72	(63,831.61)
International Finance Corp	07/20/2016	25,000,000.00	24,904,360.14	24,266,000.00	1.13	1.23	07/20/2021	54,640.00	(638,360.14)
International Finance Corp	10/07/2016	12,500,000.00	12,392,140.60	12,133,000.00	1.13	1.36	07/20/2021	28,188.13	(259,140.60)
Intl Bank For Recon and Dev	11/23/2016	10,000,000.00	10,000,000.00	9,829,500.00	1.75	1.77	11/23/2021	20,416.67	(170,500.00)
Supranationals Subtotal:		494,500,000.00	493,781,072.47	491,976,340.00	1.27	1.40		1,809,677.58	(1,804,732.47)

Treasury Coupon Securities

U.S. Treasury	06/07/2013	15,000,000.00	15,012,108.89	15,009,600.00	1.88	0.87	10/31/2017	117,697.01	(2,508.89)
U.S. Treasury	04/06/2016	10,000,000.00	10,009,407.72	10,006,400.00	1.88	0.72	10/31/2017	78,464.67	(3,007.72)
U.S. Treasury	05/20/2015	10,000,000.00	10,022,829.39	10,018,400.00	2.25	0.84	11/30/2017	75,614.75	(4,429.39)
U.S. Treasury	04/06/2016	15,000,000.00	15,037,488.34	15,027,600.00	2.25	0.72	11/30/2017	113,422.13	(9,888.34)
U.S. Treasury	04/06/2016	10,000,000.00	10,005,546.50	9,997,100.00	1.00	0.73	12/15/2017	29,508.20	(8,446.50)
U.S. Treasury	01/07/2013	15,000,000.00	14,997,713.58	14,985,300.00	0.75	0.81	12/31/2017	28,430.71	(12,413.58)
U.S. Treasury	04/06/2016	10,000,000.00	10,004,083.20	9,991,800.00	0.88	0.73	01/15/2018	18,546.20	(12,283.20)
U.S. Treasury	12/24/2014	15,000,000.00	15,068,773.77	15,071,250.00	2.63	1.22	01/31/2018	66,338.32	2,476.23

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of September 30, 2017

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
U.S. Treasury	06/07/2013	15,000,000.00	14,987,429.66	14,971,950.00	0.75	0.96	02/28/2018	9,633.98	(15,479.66)
U.S. Treasury	06/07/2013	15,000,000.00	14,999,298.42	14,974,200.00	1.00	1.01	05/31/2018	50,409.84	(25,098.42)
U.S. Treasury	06/22/2016	25,000,000.00	25,062,483.79	24,972,750.00	1.13	0.77	06/15/2018	82,991.80	(89,733.79)
U.S. Treasury	12/05/2013	10,000,000.00	9,977,755.18	9,983,600.00	1.25	1.45	11/30/2018	42,008.20	5,844.82
U.S. Treasury	02/20/2014	15,000,000.00	14,948,965.36	14,967,750.00	1.25	1.52	01/31/2019	31,589.67	18,784.64
U.S. Treasury	04/17/2014	15,000,000.00	14,993,987.10	15,043,950.00	1.63	1.65	03/31/2019	122,544.64	49,962.90
U.S. Treasury	02/14/2017	40,000,000.00	40,209,068.39	40,112,400.00	1.63	1.29	04/30/2019	272,010.87	(96,668.39)
U.S. Treasury	06/16/2014	15,000,000.00	14,951,857.63	15,014,100.00	1.50	1.70	05/31/2019	75,614.75	62,242.37
U.S. Treasury	06/27/2016	25,000,000.00	25,307,487.35	25,023,500.00	1.50	0.75	05/31/2019	126,024.59	(283,987.35)
U.S. Treasury	11/08/2016	40,000,000.00	40,474,941.65	40,114,000.00	1.63	0.94	06/30/2019	164,266.30	(360,941.65)
U.S. Treasury	07/15/2016	10,000,000.00	9,992,789.67	9,875,400.00	0.75	0.79	07/15/2019	15,896.74	(117,389.67)
U.S. Treasury	08/21/2014	15,000,000.00	14,997,397.85	15,042,750.00	1.63	1.64	07/31/2019	41,066.58	45,352.15
U.S. Treasury	12/09/2016	42,000,000.00	42,250,110.22	42,119,700.00	1.63	1.29	07/31/2019	114,986.41	(130,410.22)
U.S. Treasury	09/15/2017	10,000,000.00	9,976,323.21	9,957,400.00	1.25	1.38	08/31/2019	5,524.86	(18,923.21)
U.S. Treasury	10/24/2014	15,000,000.00	15,071,586.48	15,075,600.00	1.75	1.50	09/30/2019	131,971.15	4,013.52
U.S. Treasury	12/08/2014	15,000,000.00	14,942,711.56	14,997,600.00	1.50	1.69	11/30/2019	75,614.75	54,888.44
U.S. Treasury	01/09/2015	15,000,000.00	15,039,712.83	15,033,450.00	1.63	1.50	12/31/2019	61,599.86	(6,262.83)
U.S. Treasury	02/12/2016	20,000,000.00	20,151,132.25	19,927,400.00	1.38	1.04	01/31/2020	46,331.52	(223,732.25)
U.S. Treasury	04/09/2015	10,000,000.00	9,977,275.55	9,930,500.00	1.25	1.35	02/29/2020	10,704.42	(46,775.55)
U.S. Treasury	02/12/2016	20,000,000.00	20,146,224.84	19,917,200.00	1.38	1.06	02/29/2020	23,549.72	(229,024.84)
U.S. Treasury	04/09/2015	10,000,000.00	9,943,956.27	9,894,100.00	1.13	1.36	03/31/2020	56,559.07	(49,856.27)
U.S. Treasury	01/06/2017	20,000,000.00	19,926,334.82	19,907,000.00	1.38	1.53	03/31/2020	138,255.49	(19,334.82)
U.S. Treasury	06/05/2015	15,000,000.00	14,945,867.03	14,967,150.00	1.50	1.64	05/31/2020	75,614.75	21,282.97
U.S. Treasury	01/06/2017	20,000,000.00	19,759,227.79	19,788,200.00	1.38	1.75	01/31/2021	46,331.52	28,972.21
U.S. Treasury	06/17/2016	35,000,000.00	35,364,039.18	34,526,800.00	1.38	1.08	05/31/2021	161,731.56	(837,239.18)
U.S. Treasury	09/07/2016	5,000,000.00	4,997,566.88	4,884,400.00	1.13	1.14	06/30/2021	14,215.35	(113,166.88)
U.S. Treasury	09/07/2016	5,000,000.00	5,203,709.08	5,086,150.00	2.25	1.15	07/31/2021	18,953.80	(117,559.08)
U.S. Treasury	10/06/2016	25,000,000.00	24,876,223.39	24,342,750.00	1.13	1.25	09/30/2021	141,397.66	(533,473.39)
U.S. Treasury	12/09/2016	15,000,000.00	14,953,403.94	14,949,000.00	1.75	1.83	11/30/2021	88,217.21	(4,403.94)
Treasury Coupon Securities		637,000,000.00	638,586,818.76	635,508,200.00	1.45	1.20		2,773,639.05	(3,078,618.76)
Grand Total		7,660,298,085.19	7,655,916,318.23	7,626,466,609.80	1.38	1.37		20,574,633.18	(29,449,708.43)

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
4381	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(254,966,850.00)	09/01/2017
4380	Commercial Paper	Natixis US Finance	1.07	Redemption	320,000,000.00	09/01/2017
3766	Local CD	Torrey Pines Bank	0.63	Redemption	99,500.00	09/01/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	1,384,326.54	09/01/2017
4382	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(229,992,525.00)	09/05/2017
4381	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	255,000,000.00	09/05/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	17,039,083.41	09/05/2017
4383	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(199,993,500.00)	09/06/2017
4384	Commercial Paper	Bank Tokyo-Mit UFJ	1.19	Purchase	(74,982,645.83)	09/06/2017
4382	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	230,000,000.00	09/06/2017
4373	Commercial Paper	Bank Tokyo-Mit UFJ	1.19	Redemption	75,000,000.00	09/06/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	2,760,520.66	09/06/2017
4385	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(169,994,475.00)	09/07/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(21,076,897.97)	09/07/2017
4383	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	200,000,000.00	09/07/2017
4389	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(184,981,962.50)	09/08/2017
4391	Negotiable CD	Bank of Montreal	1.40	Purchase	(25,000,000.00)	09/08/2017
4390	Commercial Paper	Fortis/BNP Paribas	1.43	Purchase	(9,930,883.33)	09/08/2017
4385	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	170,000,000.00	09/08/2017
4374	Commercial Paper	Bank Tokyo-Mit UFJ	1.20	Redemption	50,000,000.00	09/08/2017
1198	Federal Agencies	Federal Home Loan Ba	0.75	Redemption	35,000,000.00	09/08/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	20,100,125.60	09/08/2017
4394	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(174,994,312.50)	09/11/2017
4389	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	185,000,000.00	09/11/2017
4159	Commercial Paper	Toyota Motor Credit	1.13	Redemption	75,000,000.00	09/11/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	957,371.19	09/11/2017
4397	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(219,992,850.00)	09/12/2017
4396	Negotiable CD	Bank of Nova Scotia	1.40	Purchase	(35,000,000.00)	09/12/2017
4398	Federal Agencies	Federal Farm Credit	2.00	Purchase	(25,000,000.00)	09/12/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(13,291,094.51)	09/12/2017
4394	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	175,000,000.00	09/12/2017
4324	Commercial Paper	Bank Tokyo-Mit UFJ	1.22	Redemption	25,000,000.00	09/12/2017
4399	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(299,990,250.00)	09/13/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(12,100,910.38)	09/13/2017

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Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
4397	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	220,000,000.00	09/13/2017
4384	Commercial Paper	Bank Tokyo-Mit UFJ	1.19	Redemption	75,000,000.00	09/13/2017
4400	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(334,989,112.50)	09/14/2017
4399	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	300,000,000.00	09/14/2017
3064	Federal Agencies	Federal Farm Credit	0.78	Redemption	25,000,000.00	09/14/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	25,851,544.29	09/14/2017
4403	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(299,970,750.00)	09/15/2017
4402	Commercial Paper	Bank Tokyo-Mit UFJ	1.23	Purchase	(46,950,219.17)	09/15/2017
4401	U.S. Treasury Notes	U.S. Treasury	1.25	Purchase	(9,980,960.81)	09/15/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(17,058,348.37)	09/15/2017
4400	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	335,000,000.00	09/15/2017
3580	Asset Backed Securities	American Honda Finan	1.13	Redemption	2,480,346.19	09/15/2017
3774	Negotiable CD	Cooperatieve Raboban	1.39	Redemption	25,000,000.00	09/15/2017
3594	Asset Backed Securities	Harley-Davidson Cred	1.09	Redemption	1,031,997.64	09/15/2017
3677	Asset Backed Securities	John Deere Owner Tru	1.09	Redemption	995,997.91	09/15/2017
3704	Asset Backed Securities	Toyota Auto Receivab	1.00	Redemption	650,451.04	09/15/2017
3046	U.S. Treasury Notes	U.S. Treasury	1.00	Redemption	22,000,000.00	09/15/2017
4404	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(299,990,250.00)	09/18/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(7,641,565.58)	09/18/2017
4403	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	300,000,000.00	09/18/2017
3824	Asset Backed Securities	Honda Auto Rec Owner	1.04	Redemption	1,702,158.10	09/18/2017
3844	Asset Backed Securities	Honda Auto Rec Owner	1.01	Redemption	628,326.65	09/18/2017
4223	Commercial Paper	ING (US) Funding LLC	1.22	Redemption	25,000,000.00	09/18/2017
4405	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(254,991,712.50)	09/19/2017
4406	Negotiable CD	Bank of Nova Scotia	1.42	Purchase	(25,000,000.00)	09/19/2017
4408	Negotiable CD	Bank of Nova Scotia	1.44	Purchase	(50,000,000.00)	09/19/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(4,627,970.32)	09/19/2017
4435	Money Market Funds	Wells Fargo Bank NA	1.00	Purchase	(959,216.48)	09/19/2017
4404	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	300,000,000.00	09/19/2017
4410	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(249,991,875.00)	09/20/2017
4405	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	255,000,000.00	09/20/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	19,787,003.67	09/20/2017
4435	Money Market Funds	Wells Fargo Bank NA	1.00	Redemption	959,216.48	09/20/2017
4411	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(239,992,200.00)	09/21/2017

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Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
4413	Negotiable CD	Bank of Montreal	1.46	Purchase	(25,000,000.00)	09/21/2017
4414	Negotiable CD	Bank of Nova Scotia	1.46	Purchase	(50,000,000.00)	09/21/2017
4412	Federal Agencies	Intl Bank For Recon	1.63	Purchase	(24,989,576.39)	09/21/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(1,107,536.36)	09/21/2017
4410	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	250,000,000.00	09/21/2017
3941	Federal Agencies	Federal Home Loan Ba	1.80	Redemption	25,000,000.00	09/21/2017
3942	Federal Agencies	Federal National Mtg	2.05	Redemption	25,000,000.00	09/21/2017
4109	Asset Backed Securities	Honda Auto Rec Owner	1.42	Redemption	1,882,267.88	09/21/2017
4265	Negotiable CD	Sumi Trust NY	1.26	Redemption	50,000,000.00	09/21/2017
4415	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(289,971,725.00)	09/22/2017
4417	Negotiable CD	Bank of Montreal	1.46	Purchase	(25,000,000.00)	09/22/2017
4416	Negotiable CD	Bank of Nova Scotia	1.48	Purchase	(25,000,000.00)	09/22/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(1,999,927.17)	09/22/2017
4411	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	240,000,000.00	09/22/2017
4418	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(244,992,037.50)	09/25/2017
4419	Commercial Paper	Bank Tokyo-Mit UFJ	1.32	Purchase	(24,920,250.00)	09/25/2017
4415	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	290,000,000.00	09/25/2017
4110	Local CD	Torrey Pines Bank	0.94	Redemption	20,000,000.00	09/25/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Redemption	2,819,271.11	09/25/2017
4420	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(254,991,712.50)	09/26/2017
4421	Commercial Paper	Bank Tokyo-Mit UFJ	1.33	Purchase	(24,915,951.39)	09/26/2017
4422	Commercial Paper	Cooperatieve Raboban	1.44	Purchase	(24,784,000.00)	09/26/2017
4423	Federal Agencies	Federal National Mtg	2.25	Purchase	(14,608,350.94)	09/26/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(5,677,624.06)	09/26/2017
4418	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	245,000,000.00	09/26/2017
4216	Commercial Paper	ING (US) Funding LLC	1.18	Redemption	50,000,000.00	09/26/2017
3789	Local CD	Torrey Pines Bank	0.62	Redemption	5,000,000.00	09/26/2017
4429	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(349,988,625.00)	09/27/2017
4427	Negotiable CD	Bank of Nova Scotia	1.66	Purchase	(45,000,000.00)	09/27/2017
4428	Negotiable CD	Bank of Nova Scotia	1.66	Purchase	(50,000,000.00)	09/27/2017
4425	Commercial Paper	Bank Tokyo-Mit UFJ	1.33	Purchase	(24,916,875.00)	09/27/2017
4426	Commercial Paper	Bank Tokyo-Mit UFJ	1.31	Purchase	(49,856,263.89)	09/27/2017
4424	Federal Agencies	Federal Home Loan Ba	2.00	Purchase	(25,000,000.00)	09/27/2017
4430	Negotiable CD	Nordea Bank Finland	1.50	Purchase	(25,000,000.00)	09/27/2017

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Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(3,551,128.93)	09/27/2017
4420	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	255,000,000.00	09/27/2017
4431	Commercial Paper	Abbey Natl Treasury	1.17	Purchase	(264,991,387.50)	09/28/2017
4433	Commercial Paper	Bank Tokyo-Mit UFJ	1.30	Purchase	(79,774,666.67)	09/28/2017
4432	Negotiable CD	Fortis/BNP Paribas	1.66	Purchase	(20,000,000.00)	09/28/2017
4434	Commercial Paper	Natixis US Finance	1.16	Purchase	(44,998,550.00)	09/28/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Purchase	(6,237,195.11)	09/28/2017
4429	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	350,000,000.00	09/28/2017
3963	Supranationals	Intl Bank For Recon	2.10	Redemption	6,993,000.00	09/28/2017
4278	Negotiable CD	Sumi Trust NY	1.27	Redemption	50,000,000.00	09/28/2017
4440	Negotiable CD	Bank of Montreal	1.46	Purchase	(25,000,000.00)	09/29/2017
4438	Commercial Paper	Bank Tokyo-Mit UFJ	1.34	Purchase	(24,908,805.56)	09/29/2017
4436	Federal Agencies	Federal Home Loan Mt	1.80	Purchase	(24,982,500.00)	09/29/2017
3608	Money Market Funds	Fidelity Government	0.95	Purchase	(230,000,000.00)	09/29/2017
4437	Supranationals	Intl Bank For Recon	1.98	Purchase	(25,000,000.00)	09/29/2017
4431	Commercial Paper	Abbey Natl Treasury	1.17	Redemption	265,000,000.00	09/29/2017
4139	Negotiable CD	Bank of Montreal	1.18	Redemption	100,000,000.00	09/29/2017
4116	Commercial Paper	Canadian Imp Bk Comm	1.17	Redemption	150,000,000.00	09/29/2017
3202	Federal Agencies	Federal Home Loan Mt	1.00	Redemption	19,000,000.00	09/29/2017
4434	Commercial Paper	Natixis US Finance	1.16	Redemption	45,000,000.00	09/29/2017
4393	Bank Deposit	Wells Fargo Bank NA	1.00	Net Transaction	(5,500,768.14)	09/29/2017
Grand Total					63,023,713.50	